

Sustainability Report

Sustainable Progress with Focus

AS CHAIRMAN OF THE SUSTAINABILITY STEERING COMMITTEE, I AM PLEASED TO PRESENT PROTASCO BERHAD'S (PROTASCO OR THE GROUP) SUSTAINABILITY REPORT FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025, WHICH REFLECTS OUR PROGRESS IN STRENGTHENING SUSTAINABILITY AS A FUNDAMENTAL PART OF HOW WE OPERATE AND CREATE VALUE.

Sustainability continues to guide our long-term direction, shaping how we manage our environmental responsibilities while supporting our people and communities.



Sustainability Report

In 2025, we are proud to have once again retained our 3-star standing on the FTSE4Good Index (December 2025), with an improved overall score of 2.9, up from 2.5 in the previous year. This continued recognition demonstrates the Group's consistent efforts in upholding responsible business practices and reinforces our commitment to advancing ESG excellence across all divisions.

Our efforts this year remained anchored on the I Am Protasco 3.0 (IAP 3.0) framework, which continues to steer our organisational transformation. Through this framework, we have intensified initiatives in talent upskilling, service innovation, operational efficiency, and alignment with the United Nations Sustainable Development Goals (SDGs) as well as Malaysia's climate and sustainability aspirations. These initiatives have strengthened our foundations, baseline setting and supported our ongoing initiatives.

As Malaysia progresses toward the National Sustainability Reporting Framework (NSRF), Protasco is committed to enhancing the quality and comparability of our sustainability disclosures. Strengthening data governance and aligning our reporting practices with NSRF will ensure that our transparency and accountability continue to meet the needs of regulators, investors, and stakeholders. In response, Protasco is enhancing its sustainability data management and reporting process to better align with emerging NSRF.

During the year, we partnered with external experts to undertake a Climate Risk Assessment Workshop, which enabled us to identify our material climate-related risks and opportunities and to refine our strategies for managing them. This exercise has further improved our understanding of climate impacts on our operations and supports our ongoing efforts towards resilience and long-term value creation.



Details of our **climate-related disclosures** are available in the IFRS S2 section on page 124.

Across our core businesses including road construction, maintenance, clean energy and consultancy, we have continued embedding sustainability into daily operations and strategic planning. Governance remains our strongest ESG pillar, supported by robust risk management, corporate governance and anti-corruption practices. However, our 2025 FTSE results also highlight that environmental performance and certain social aspects requiring greater focus and improvement. Addressing these gaps progressively, we intend to move beyond the current ESG standing.

While we recognise the progress achieved this year, we also acknowledge that sustainability is a continuous and evolving commitment. Our latest FTSE4Good Index results serve both as encouragement to further intensify our efforts, strengthen collaboration, and deliver sustainable outcomes that benefit our stakeholders and the communities we serve.

On behalf of the Sustainability Steering Committee (SSC), I thank our Board, management, employees and business partners for their continued support and contributions. With sustained commitment and a sharper focus on performance, we remain determined to strengthen our sustainability profile and deliver long term value to our stakeholders and the communities we serve.

Thank you for your ongoing confidence.

Sincerely,

Dato' Ir. Kenny Chong Ther Nen
Chairman of Sustainability Steering Committee (SSC)
Protasco Berhad

SUSTAINABILITY STATEMENT

AT PROTASCO, WE ARE COMMITTED TO CREATING LONG-TERM STAKEHOLDER VALUE BY EMBEDDING ENVIRONMENTAL, SOCIAL, AND GOVERNANCE (ESG) PRINCIPLES INTO OUR DIVERSE BUSINESS.

Driven by our commitment to create stakeholder value, we aim to



Deliver quality products and services



Protect the environment



Empower our people



Support communities



Uphold integrity in governance



Safeguard shareholder interests

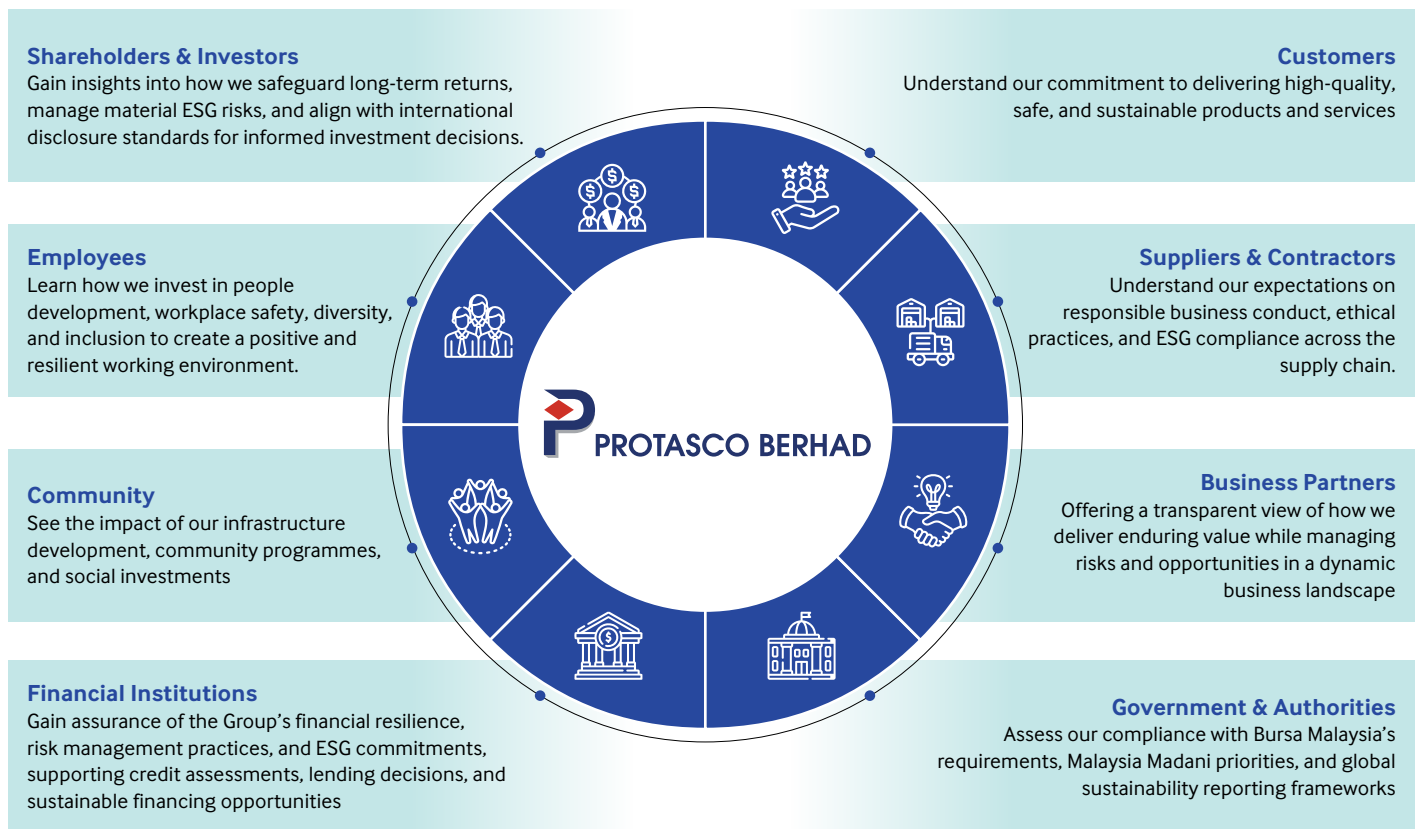
In compliance with regulatory requirements and aligned with national and global sustainability frameworks and standards, we continue to address emerging risks, enhance transparency, and improve operational processes to ensure sustainable growth that contributes to Malaysia's national priorities and the global sustainability agenda.

Sustainability Report

ABOUT THIS REPORT

Introduction

As part of our commitment to transparency and accountability, the Group provides a comprehensive overview of the entities included in our sustainability reporting. This disclosure ensures that stakeholders understand the scope of our reporting and the extent of our sustainability practices.



These are also our forward-looking statements relating to key performance indicators (KPIs), targets, strategic priorities, operational plans, and projected figures. These statements are based on reasonable assumptions and information available at the time of reporting, considering prevailing market trends and developments.

Readers are advised to exercise discretion when interpreting or relying on such statements. Protasco makes no representation or warranty, whether expressed or implied, regarding the achievement of any future outcomes or projections disclosed in this report.

Sustainability Report

Scope of Reporting

This Sustainability Report covers the reporting period from 1 January 2025 to 31 December 2025, unless stated otherwise. The scope of this Report encompasses Protasco as the holding company, together with all relevant operating companies and subsidiaries within the Group.

The Report includes disclosures and performance data from across the Group's diverse BUs, including construction, engineering, maintenance, property, hotel, trading, clean energy, and other supporting divisions. Following are the BUs and their related entities where most of the data have been compiled to present this report.

Business Unit	Entities
Corporate Office	Protasco Berhad
Agriventure	Tenggara Food Industries Sdn Bhd
Clean Energy	I2 Energy Sdn Bhd
	I2 Solarpark One Sdn Bhd
	Solarcap Sdn Bhd
	Ikrametics Sdn Bhd
	(formerly known as Ikram Greentech Sdn Bhd)
Engineering & Consultancy Services	Ikram Works Sdn Bhd
	Ikram Engineering Services Sdn Bhd
	Ikram QA Services Sdn Bhd
	Ikram Paves Sdn Bhd
	Ikram Engineering Consulting Sdn Bhd
	Ikram Premier Consulting Sdn Bhd
Maintenance	Roadcare (M) Sdn Bhd
	Permint Granite-HCM Sdn Bhd
	DAL HCM Sdn Bhd
	Empayar Indera Sdn Bhd
Property & Construction	Protasco Development Sdn Bhd
	DC Resort Homes Sdn Bhd
	KISB Property Management (Kumpulan Ikram Sdn Bhd)
	HCM Engineering Sdn Bhd
	Ikram Skills Academy Sdn Bhd
Trading & Manufacturing	Protasco Trading Sdn Bhd
	QP Industries Sdn Bhd
	QP Trading Sdn Bhd
Hotel & Hospitality	Park Inn by Radisson Putrajaya (Kumpulan Ikram Sdn Bhd)

However, the Group will indicate in the respective sections where the data was not included for some of the material topics along with justifications.

This Report has been prepared in accordance with the Global Reporting Initiative (GRI) Standards and with reference to Bursa Malaysia's Sustainability Reporting Guide (3rd Edition). The reporting process adheres to the principles of balance, comparability, accuracy, timeliness, clarity, and reliability, to ensure the information presented reflects a fair and transparent account of the Group's sustainability performance and progress.

The Group acknowledges that it is still in the process of strengthening internal processes, data collection systems, and performance metrics to enhance the consistency, reliability, and completeness of sustainability disclosures. Efforts are underway to align reporting practices with current regulatory requirements and materiality expectations, with the intention to provide more detailed, data-driven disclosures in subsequent reporting periods as systems mature and data availability improves.

Membership in Association

The subsidiaries within the Group actively participate in various professional bodies and industry associations to strengthen industry collaboration, uphold professional standards, and stay abreast of sectoral developments. The memberships for each business segment are outlined below.

Business Segments	Professional Bodies and Industry Associations
Agriventure	Malaysia Fruits Farmer Association (MFFA)
Clean Energy	- Construction Industry Development Board (CIDB) - Sustainable Energy Development Authority (SEDA) - Malaysian Photovoltaic Industry Association (MPIA) - Board of Engineers Malaysia (BEM) - MyHijau
Engineering & Consultancy Services	- Board of Engineers Malaysia (BEM) - Institution of Engineers, Malaysia (IEM) - Association of Consulting Engineers Malaysia (ACEM) - Malaysia Board of Technologists (MBOT) - Board of Geologists Malaysia (BoG) - Construction Industry Development Board Malaysia (CIDB) - National Water Services Commission (SPAN) - Department of Standards Malaysia (DSM) - Road Engineering Association of Malaysia (REAM)

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Business Segments	Professional Bodies and Industry Associations
Hotel & Hospitality	- Malaysian Association of Hotels (MAH) - Tourism Malaysia Industry Partners Network - Malaysian Employers Federation (MEF)
Maintenance	- Malaysian Road Builders Association (MRBA) - Road Engineering Association of Malaysia (REAM) - Malaysian Highway Authority (LLM) - Public Works Department (JKR) - Strategic Partners Network Malaysian Employers Federation (MEF) - Construction Industry Development Board (CIDB)
Property & Construction	- Construction Industry Development Board (CIDB) - Master Builders Association Malaysia (MBAM) - Real Estate and Housing Developers' Association (REHDA) - Malaysia Green Building Council (MGBC)
Trading & Manufacturing	- Malaysian Employers Federation (MEF) - Construction Industry Development Board (CIDB)

Entities Excluded

Data were collected from key operating facilities across Malaysia, including manufacturing plants, solar farms, substations, regional offices, and site offices where BU activities occur, to provide our stakeholders with accurate information through this report.

This report covers all active business entities within the Group during the reporting period. The education division has been excluded as it was divested prior to the end of the reporting period and is no longer under the Group's operational or management control. In addition, Ikram Skills Sdn Bhd (ISRA), which is categorised under the Property & Construction segment, has been excluded from the FY2025 sustainability reporting boundary. This exclusion is due to the nature of ISRA's operations, which primarily functions as a training and skills development centre rather than a core construction or property development activity. As such, its operational impacts, risk profile, and sustainability indicators have not been captured for this reporting period.

Due to differences in business activities and operating sectors, certain material topics may not be applicable to specific BUs. Any such exclusions are disclosed and explained within the relevant material topic sections of this report.

Reporting Boundaries

The boundaries of our sustainability reporting are defined based on operational control. This means that the report includes:

- 1) Entities where the Group has the authority to govern financial and operating policies.
- 2) Entities where the Group directly manages operations and is responsible for sustainability practices.

Reporting Period and Frequency

This Sustainability Report 2025 (SR2025 or Report) covers the period from 1 January 2025 to 31 December 2025 (FY2025). The data and information presented reflect the Group's sustainability performance, initiatives and outcomes during this reporting period. The Group continues to publish its Sustainability Report annually, underscoring our commitment to provide regular and transparent updates on our environmental, social and governance (ESG) progress. Through this Report, we aim to keep our stakeholders informed of our ongoing efforts, achievements and areas for further improvement.

Reporting Frameworks and Standards

This Report has been prepared in line with the following key frameworks, guidelines and requirements:

- Bursa Malaysia's Sustainability Reporting Guide 3rd Edition
- The Malaysian Code on Corporate Governance 2021 (MCCG)
- Selected disclosures with reference to the Global Reporting Initiative 2021 (GRI 2021) Standards
- National Sustainability Reporting Framework (NSRF) by Securities Commission Malaysia
- IFRS S1 General Requirements for Disclosure of Sustainability related Financial Information (IFRS S1) and IFRS S2 Climate related Disclosures (IFRS S2)
- Sustainability Accounting Standards Board (SASB) Industry-Specific Standards
- FTSE4Good Bursa Malaysia Index requirements
- International Sustainability Standards Board (ISSB) Standards

These frameworks guide the scope, content and structure of this Report to ensure comparability, balance and clarity for our stakeholders.

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Transparency and Accuracy

We strive to provide accurate, complete and balanced information to enable stakeholders to make informed assessments of the Group's sustainability performance. Data and narratives included in this Report have been compiled from various BUs and support functions and have undergone internal review and validation.

Where estimates, assumptions or normalisations are used, they are based on the best information available at the time of reporting and are clearly indicated where relevant. The Group will continue to strengthen its data governance, controls and documentation to enhance the robustness and reliability of sustainability-related information. Any significant changes to the scope or boundaries of our reporting are disclosed in this section.

ESG Content and Data Assurance

The information presented has been carefully compiled and structured to meet local and international regulatory requirements, align with stakeholder expectations, and address Protasco's key ESG factors and risks within its operational framework. This Sustainability Report has been internally verified by the respective data owners across the Group. In addition, key data have been audited independently by the Group's Internal Audit function and reviewed by the Board Audit Committee prior to the issuance of this Statement of Assurance.

Through this multi-level verification process, the Group ensures that the disclosures are accurate, complete, and in alignment with recognised reporting standards. Any material findings identified during the audit are addressed and resolved prior to publication, reinforcing the reliability, integrity, and credibility of the information presented in this Report. As a result, the report adheres to GRI principles, ensuring accuracy, balance, clarity, comparability, reliability, and timeliness.

For ease of reading, the data presented in tables under each materiality topic has been rounded to the nearest whole number.

Review and Updating Of This Report

Our reporting scope is reviewed annually to ensure it accurately reflects our operational structure and control. Any updates to the list of included entities or changes in reporting boundaries will be communicated in subsequent reports.

Limitations and Disclaimer

Protasco continues to enhance the depth and quality of disclosures related to key ESG indicators. Building on the groundwork laid in previous years, we are further strengthening our baseline data across various ESG focus areas. In certain instances, historical comparisons may still be limited; where data is incomplete or unavailable, we have provided clear explanations to maintain transparency.

The data reflects the best information available at the time of reporting, and some details may be omitted due to confidentiality, commercial sensitivity, or material relevance. The Group remains committed to addressing these limitations by enhancing data collection processes, strengthening reporting systems, and expanding disclosure coverage across its operations and supply chain.

Throughout FY2025, we have intensified efforts to improve data tracking and collection processes across all business divisions to more comprehensively address material ESG issues. These initiatives are aimed at strengthening the consistency, accuracy and reliability of our reporting, while providing more meaningful insights for our stakeholders.

The forward-looking statements in this report, including future plans, commitments and targets, are based on reasonable assumptions that reflect current conditions and expectations. However, actual outcomes may differ due to changes in the operating environment and other external factors beyond the Group's control.

We are constantly making an ongoing commitment to transparency and continuous improvement. The Company assumes no responsibility for any loss or damage arising from the use of the information contained in this Report.

References

In this report, 'PB', 'Protasco', 'the Group', or 'we' all refer to Protasco Berhad. 'BUs' refers to the business units within Protasco, which represent our key business segments.

Report Availability and Feedback Channel

As part of Protasco's ongoing commitment to refining sustainability practices, the Group encourages constructive input from esteemed stakeholders. For any inquiries, feedback, or suggestions, on this Report, stakeholders are encouraged to reach out to our Sustainability Reporting Team through the Company's communication channels ccd@protasco.com.my and these comments will be considered in the future reporting and sustainability improvements and practices.

This Sustainability Report is designed to be accessible to all stakeholders and should be read alongside the Protasco's Annual Report 2025 for a comprehensive view of our financial and non-financial performance. Both reports are available on our corporate website at www.protasco.com.my

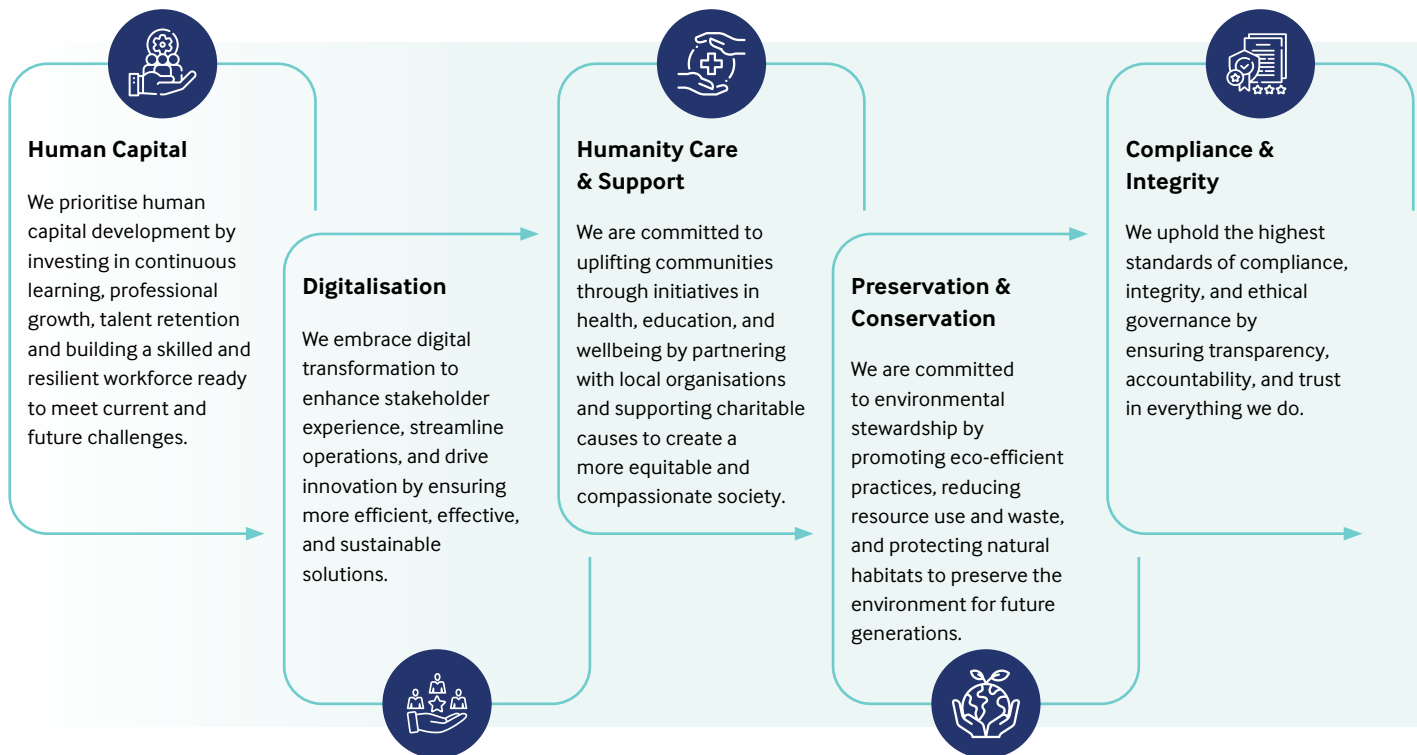


We welcome and value all forms of engagement as we strive to improve our sustainability practices and transparency.

Sustainability Report

OUR APPROACH TO SUSTAINABILITY

Our sustainability journey is anchored on key themes that align with our business priorities and stakeholder expectations. Over the years, we have embedded these themes into our operations, projects, and partnerships ensuring that our efforts go beyond compliance to deliver long-term value. These themes are:



Our Strategic Focus Areas

Guided by the principles of People, Planet, and Prosperity, we focus on initiatives that strengthen our workforce, uplift society, and protect natural resources.

Our strategy is grounded in strong governance and ethical values, ensuring that every step we take contributes to long-term growth while making a positive difference. By prioritising human capital development, digital innovation, community engagement, good governance, and environmental stewardship, we are positioning the Group for sustainable progress and shared success.

By placing the well-being of individuals and the health of the planet at the core of our efforts, and reinforcing this with strong governance and ethical principles, we are confident in our path toward lasting prosperity.

This integrated approach ensures our business growth remains aligned with our dedication to social responsibility and environmental care, creating enduring value for all stakeholders.

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Below are the strategic focus areas centred on people and the planet that will be used to bring the Group forward through a sustainable approach.

Continuous Talent Improvement and Nurturing

FOCUS

Investing in our employees' development to enhance skills, performance and career progression.

UNSDG



Process and Service Improvement and Innovation

FOCUS

Utilising digitalisation to enhance efficiency, effectiveness, and stakeholder satisfaction.

UNSDG



Commitment Towards Identified SDGs

FOCUS

Aligning our projects and practices with global sustainability goals to contribute to a sustainable future.

UNSDG



Partnering and Developing an Eco-Efficient Community and Environment

FOCUS

Collaborating with stakeholders to promote eco-friendly practices and support environmental conservation.

UNSDG



Practising Institutional Ethics and Governance

FOCUS

Upholding strong ethical standards and governance practices to ensure transparency and accountability.

UNSDG



Sustainability Report

Our Value Chain And Creation Model

The Group adopts a holistic approach in articulating its value creation story.

Its Business & Value Creation Framework presents how Protasco leverages various forms of capital specific to its own business to execute its strategy and deliver long-term value over time. This produces resilient infrastructure, good development, engineering answers, renewable power and sustainable agribusiness products to customers who promote not only financial stability but also ESG alignment, operational resilience and the creation of lasting value in these vital industries.

With the Business & Value Creation Framework setting the foundation of Protasco's value creation process, the Sustainability Value Creation Model expands on how the Group's leverages on the six primary capitals, mainly financial, human, manufactured, intellectual, natural and social, across its businesses to produce specific non-financial outputs and outcomes. The Sustainability Value Creation Model also specifically delves into how the Group's sustainability priorities, ESG initiatives and stakeholder engagements contribute to value creation, risk management and long-term resilience.

Both the Framework and the Model share a similar overarching flow, an intentional alignment thoroughly reflecting the Group's integrated thinking at every step of its value creation journey. Together, the two models provide readers with different yet interconnected perspectives of Protasco's value creation journey: one at the foundational level and the other through a sustainability and performance-centric lens.

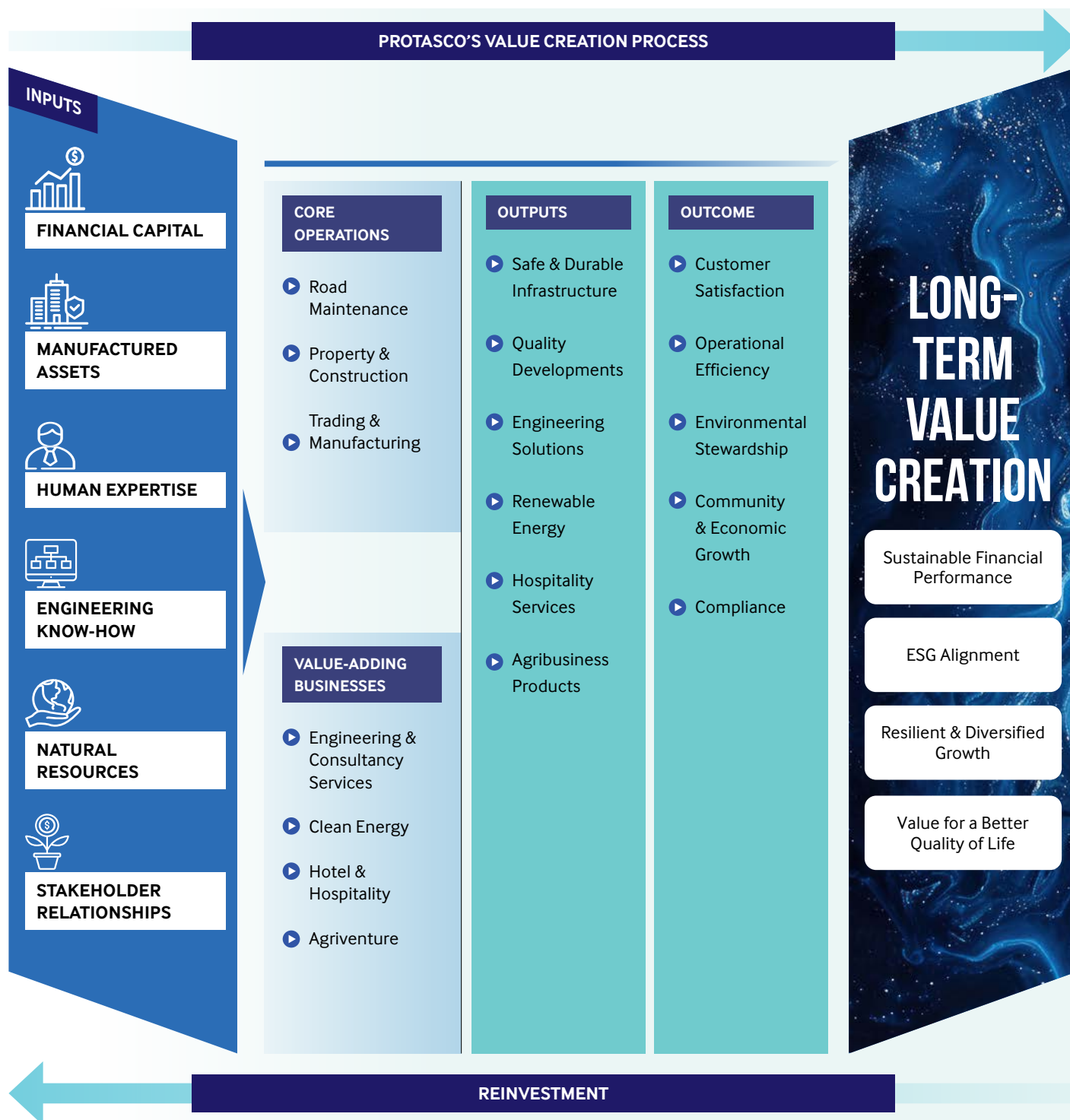
Our integrated approach allows us to deliver comprehensive solutions across these sectors while ensuring efficiency and sustainability in FY2025 and beyond.

With the Business & Value Creation Framework setting the foundation of Protasco's value creation process, the Sustainability Value Creation Model expands on how the Group's leverages on the six primary capitals, mainly natural resources, technology, relationship, human, value chain support and financial, across its businesses to produce specific non-financial outputs and outcomes.

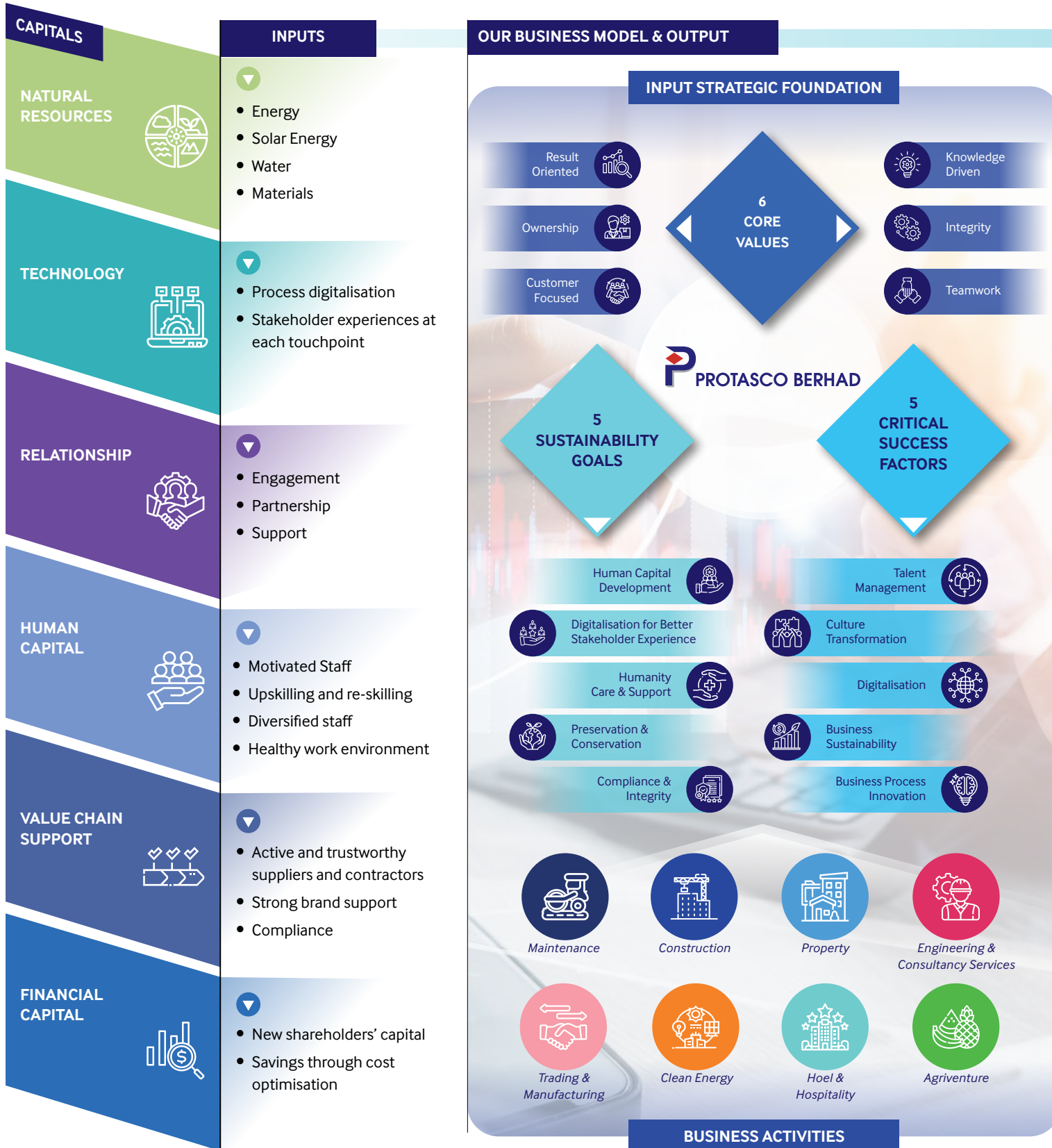


Sustainability Report

Business & Value Creation Framework



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OUR VALUE TO STAKEHOLDER

OUTPUTS

Preservation & Conservation

Support the development of eco-efficient community and environment through various initiatives and partnerships.

OUTCOMES

- Total **non-renewable energy consumption FY2025** is 4,124,003 kWh with a slight increase of 0.002% from last year. (FY2024 was 4,123,909 kWh)
- Total **renewable energy consumption FY2025** is **514,076 kWh** which reduce by 5.17% from FY2024. (FY2024: 542,094 kWh)
- **TCO₂ emission avoidance** based on consuming solar energy (tonnes) for **FY2025 is 306**. (FY2024: 260)
- **1.03% waste recycled** from landfill, non-hazardous waste from landfills: (FY2024: 35%)
- **5 user-friendly products/materials**; recycle materials used for projects. (FY2024: 5 materials)
- **Budget spent on Biodiversity** conservation efforts/programmes/initiatives/hydro seeding for **FY2025 is RM98,346**. (FY2024: RM136,404)

UNSDG*



Humanity Care & Support

Continue to provide care and support to the stakeholders for an excellent experience and quality of life.

- Customer satisfaction achieved on average for **FY2025 is 88%**. (FY2024: average about 88%)
- **0 Cybersecurity cases** received, **2 awareness programme** conducted, and **0 stakeholder data losses**. (FY2024: 30 cases reported; 2 awareness programme with 1 stakeholder data loss)
- In **FY2025 a total of 124 of philanthropic activities** were conducted with various stakeholders. (FY2024: 126 philanthropic activities)
- **Community investment for FY2025 is RM 561,776** for **13 beneficiaries**. (FY2024: RM2,006,061 with 6 beneficiaries)



Human Capital Development

To constantly improve and nurture the Group's diversified talents with up-to-date skills and provide a healthy and safe work environment.

- **RM85.5 million** paid in salaries, bonuses, and benefits. (FY2024: RM103.8 million)
- A total of **RM658,068 spent for upskilling** with a **23,030 training hours** (FY2024: RM808,928 spend with a total hour of 27,761)
- **90% of employees attended training in FY2025** (FY2024: 84% attended training).
- **2,437,288 total working manhours** with **0 fatality**. (FY2024: 2,059,632 working hours with 1 fatality)
- **201 Workplace safety and health awareness activities/programmes** were conducted. (FY2024: 374)



Compliance & Integrity

Continuously ensure businesses within the Group practises the institutional and environmental ethics guided by its core value and governance.

- Holds **9 certifications** for the **product and services provided**. (FY2024: 9 certifications)
- **RM200,000 of penalties** related to ethics and/or environment. (FY2024: RM41,497 penalties)
- **Zero cases** were recorded for **anti-corruption**. (FY2024: 0 cases)
- **819 employees trained for integrity**. (FY2024: 591 employees)



Economic Sustainability

Continuous enhancement in the generated and retained economic value, coupled with a robust commitment to community investment, resulting in a Sustainable Compound Annual Growth rate and a thriving business entity.

- Number of local suppliers **FY2025 is 650** which is **98% from the total suppliers** (FY2024: 472 with 98%)
- **RM28.1 million paid** for tax. (FY2024: RM22.1 million)
- Cumulative shareholders return since listing in year 2003: **FY2025 is 150% ROI** (FY2024: 142% ROI)
- Total proposed **dividend payment for FY2025** is **RM0** (FY2024: RM0)
- **Total finance cost FY2025: RM11.8 million** (FY2024: RM12.3 million)
- **Economic Value Retained for FY2025: RM119.4 million** (FY2024: RM55.5 million)



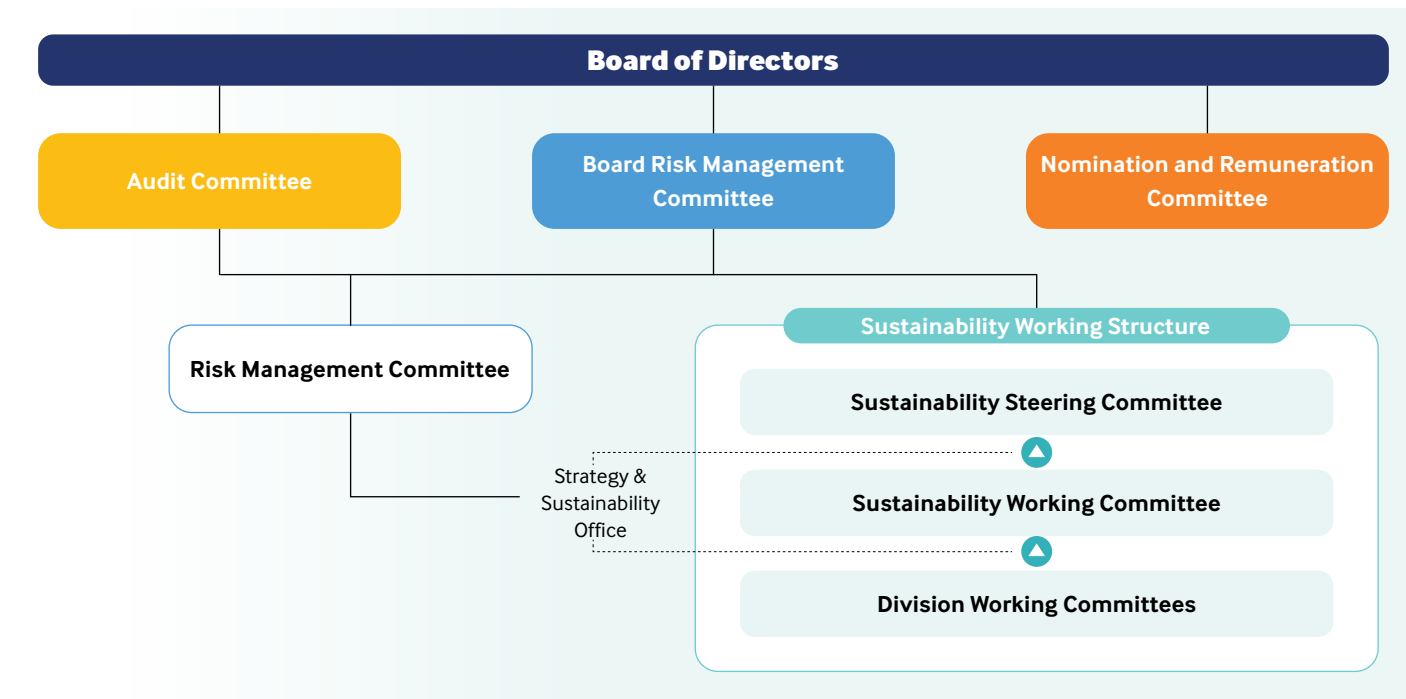
IDEAL IMAGE

To be an internationally acclaimed conglomerate ensuring growth and delivering value for a better quality of life.

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OUR SUSTAINABILITY GOVERNANCE

Guided by the principles of People, Planet, and Prosperity, we focus on initiatives that strengthen our workforce, uplift society, and protect natural resources.



At Protasco, sustainability is embedded in our governance framework to ensure accountability, transparency, and effective oversight. Our structure enables clear decision-making and alignment across all levels of the organisation:

Board Risk Management Committee (BRMC)	Provides overall oversight and ensures sustainability is integrated into the Group's strategy, risk management, and long-term value creation. The BRMC consists of three (3) Directors from the Group's Board of Directors and meets at least twice a year to discuss and review the Group's sustainability progress.
Sustainability Steering Committee (SSC)	The SSC, composed of Senior Management from all BUs, deliberates on key sustainability strategies, issues, and implementation, with the support of the Sustainability Working Committee.
Sustainability Working Committee (SWC)	Comprising representatives from key BUs and corporate office, this committee drives implementation of sustainability initiatives, monitors data, and reports performance.

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Division Working Committee (DWC)



Currently, there are 7 DWCs responsible for executing sustainability initiatives in day-to-day operations within their respective BU, ensuring that commitments are translated into measurable action.

The Sustainability Steering Office (SSO)



Responsible for coordinating, supporting, reporting and ensuring that the Group and its BUs comply with all regulatory requirements related to ESG. In addition, the SSO plays a central role in advancing the Group's sustainability agenda by aligning initiatives across BUs and driving continuous improvement. SSO sits in the RMC where the sustainability-related risks are discussed and reviewed to ensure that the Group proactively manages ESG risks alongside its broader risk management framework.

Audit Committee (AC)



The AC provides governance oversight to ensure the accuracy, reliability, and integrity of the Group's sustainability data. Supported by the Internal Audit (IA) function, periodic audits are conducted to assess data completeness and consistency. Audit outcomes are reviewed with the SSO and DWC, with corrective actions implemented where necessary. Upon the AC's satisfaction with data quality and control effectiveness, the sustainability data is endorsed for inclusion in the Group's Sustainability Report. This structure ensures that sustainability is not managed in isolation but integrated into every part of our business, with accountability at all levels from strategy-setting at the Board to on-the-ground execution by BUs.

NETWORK OF BUSINESS RELATIONSHIPS

As we continue to grow, Protasco remains committed to responsible business diversification, ensuring that each venture aligns with our business and sustainability goals and contributes to long-term value creation for our stakeholders. By integrating ESG considerations across all our businesses, we aim to build a more resilient, future-ready organisation that balances profitability with environmental and social responsibility.

An important part of maintaining sound business diversification and expansion is also ensuring our network of value chain partners are also sustainably strong. The Group maintains a broad network of business relationships that support our value chain and contribute to our sustainability efforts:

01 Strategic Partnerships

We collaborate with some of the industry leaders, government agencies, and academic institutions to drive innovation and sustainability across our various sectoral operations.

02 Supplier and Contractors Engagement

Our suppliers and contractors are key partners in our value chain, and we work closely with them to ensure ethical practices and sustainable sourcing.

03 Client and Community Engagement

We engage proactively with our clients and the communities in which we operate, ensuring that our projects meet the needs of stakeholders and contribute positively to society.

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COMMITMENT TO SUSTAINABLE BUSINESS PRACTICES

Sustainability is a core principle that guides all aspects of our business. From our construction and maintenance activities to our clean energy initiatives, we strive to reduce our environmental impact, enhance social value, and deliver long-term benefits to all stakeholders.

Guided by this direction, our sustainability policies provide a strategic framework that helps us balance economic growth with environmental stewardship, social responsibility, and robust corporate governance.

Below are some of our policies used as the guiding principles.

Group-Level Policies and Frameworks		
 Environmental Pillar	 Social Pillar	 Governance Pillar
Net-Zero GHG Transition Plan It outlines the Group's roadmap to progressively reduce greenhouse gas (GHG) emissions in line with its climate commitments. It sets out emission reduction strategies, operational efficiency measures, monitoring mechanisms and timelines to support the Group's transition towards a lower-carbon business model.	Occupational Safety & Health (OSH) Policy This group policy is set for all BUs to set their own policies and adopts the DOSH requirements and Group's OSH related data for reporting. No changes have been made as of FY2025	Integrity and Anti-Corruption Policy The Integrity and Anti-Corruption Policy outlines the Group's zero-tolerance approach towards bribery, corruption and unethical conduct. It establishes clear standards of behaviour, reporting mechanisms and disciplinary actions to uphold transparency and accountability.
Suppliers Code of Conduct Approved in 2024, the Suppliers Code of Conduct establishes minimum ESG standards for suppliers engaging with the Group. It sets expectations on ethical business conduct, regulatory compliance, human rights, labour standards, environmental stewardship and health and safety. The Code strengthens responsible supply chain management and promotes long-term partnerships aligned with the Group's sustainability objectives.		Conflict of Interest Policy This policy requires employees and directors to disclose and appropriately manage situations where personal interests may conflict with professional responsibilities. It safeguards objectivity in decision-making and protects stakeholder trust.
Code of Conduct for Contractors This Code sets behavioural, safety and compliance standards for contractors working with the Group. It ensures contractors adhere to applicable laws, safety requirements and ethical practices, while aligning with the Group's ESG commitments.		ESG Risk Management Policy The ESG Risk Management Policy integrates environmental, social and governance risks into the Group's enterprise risk management framework. It provides guidance on identifying, assessing, mitigating and monitoring ESG-related risks that may impact business continuity and long-term value creation.
Sustainability Policy The Sustainability Policy sets the overarching principles guiding the Group's ESG strategy and commitments. It ensures that all sustainability initiatives across Environmental, Social and Governance pillars are aligned with the Group's long-term objectives and regulatory expectations. Enhancements to the policy framework are planned for 2026 to reflect evolving best practices.		

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Cybersecurity Policy

The Cybersecurity Policy establishes controls and procedures to safeguard the Group's information systems and data assets. It outlines responsibilities, risk management measures and incident response protocols to protect against cyber threats and ensure data confidentiality, integrity and availability.

Human Rights Policy

The Human Rights Policy affirms the Group's commitment to respecting internationally recognised human rights principles. It covers fair labour practices, prohibition of forced and child labour, respect for freedom of association and the protection of vulnerable groups within the Group's operations.

Non-Discrimination Policy

This policy promotes a workplace free from discrimination, harassment and unfair treatment. It ensures equal opportunities in recruitment, promotion, training and career development, fostering diversity, inclusion and mutual respect.

Materiality Assessment Guide

The Materiality Assessment Guide is an internal framework managed by the Sustainability Steering Office (SSO). It outlines the structured process for identifying, prioritising and validating material ESG topics to ensure accurate and transparent reporting. The guide has been updated to reflect a more mature and systematic approach adopted by the Group.

Group ESG Framework

The Group ESG Framework provides the overall structure for integrating sustainability into business strategy and operations. It defines governance roles, reporting lines, performance indicators and monitoring mechanisms to drive ESG accountability and continuous improvement.

Whistleblowing Policy and Framework

The Whistleblowing Policy and Framework provides secure and confidential channels for reporting misconduct, unethical behaviour or regulatory breaches. It ensures protection against retaliation and promotes a culture of integrity, transparency and accountability across the organisation.

In addition to adhering to Group-level policies, each BU, based on the nature of its operations and stakeholder expectations, has its own policies and procedures, approved by senior management and implemented in day-to-day activities. Some of the policies available are being monitored under the ISO 37001: 2016 (Anti-Bribery Management System), ISO 14001: 2015 (Environmental Management System) and ISO 45001: 2018 (OH&S Management System) by construction division.

Management System	List of Policies
ISO 9001: 2015 (Quality Management System)	Quality Policy
ISO 37001: 2016 (Anti-Bribery Management System)	- Gift, Hospitality, Entertainment, Donation & Sponsorship Policy - Anti-Bribery Policy - Whistleblowing Policy
ISO 14001: 2015 (Environmental Management System)	Environmental Policy
ISO 45001: 2018 (OH&S Management System)	- OH&S Policy - Zero-Burning Policy - Drugs & Alcohol Policy

These policies are not merely about complying with regulatory requirements; they are integral to our long-term strategic vision. By embedding these policies, frameworks, and procedures into our core business practices, we enhance our capacity to innovate, improve operational efficiency, and strengthen our competitive position in the market, all while focusing on ESG considerations. This approach, in turn, supports the creation of long-term value for our shareholders, employees, customers, and other stakeholders.

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Our Future Outlook

The Group remains open to expanding and enhancing its value chain when needed in order to meet the evolving needs of our industry and the global shift towards sustainability. We will continue to innovate within our core businesses, ensuring responsible and sustainable business practices are adhered to.

We also remain committed to strengthening our relationships with current and relevant industry associations. Deepening our engagement can help to contribute to the development of industry standards, advocate for sustainable practices, and reinforce our leadership within the sector. Active participation in these associations remains a vital in our long-term growth and sustainability strategy.

STAKEHOLDER ENGAGEMENT [GRI 2]

Why is it Important?

Our commitment to sustainability is deeply rooted in active and meaningful stakeholder engagement. We are continuously improving our communication with our stakeholders, ensuring their perspectives and needs are integral to our decision-making processes.

Our Approach [GRI 2-29]

Our approach to stakeholder management is guided by our corporate values, sustainability objectives, and regulatory requirements. We aim to create shared value by progressively aligning our business practices with the needs and expectations of our stakeholders, including employees, customers, investors, suppliers, communities, and regulatory bodies. This alignment ensures that our initiatives are not only responsive but also proactive in addressing key issues that impact both our business and the wider community.

Our stakeholder prioritisation matrix was last reviewed in 2023 and was revisited in 2025. This report, thus present the updated stakeholder prioritisation from the group perspective.

Protasco's Stakeholders Prioritisation

In FY2025, the Group developed its stakeholder prioritisation matrix using the Stakeholder Engagement Toolkit (3rd Edition) issued by Bursa Malaysia.

Each BU identified its key stakeholder groups and assessed their levels of influence on, and dependence upon, the Group. The results were consolidated at the Group level to provide a balanced view of stakeholder expectations across all operations. The matrix helps the Group determine which stakeholders require closer engagement and how resources should be allocated to address their concerns effectively.

The assessment shows that Shareholders & Investors, Business Partners, Government & Authorities, and Customers have relatively higher levels of influence on the Group. These stakeholders play an important role in shaping the Group's financial performance, regulatory compliance, and market position. As such, the Group maintains regular, structured engagement with them through disclosures, meetings, contract management, and regulatory communications to ensure transparency and alignment with expectations.

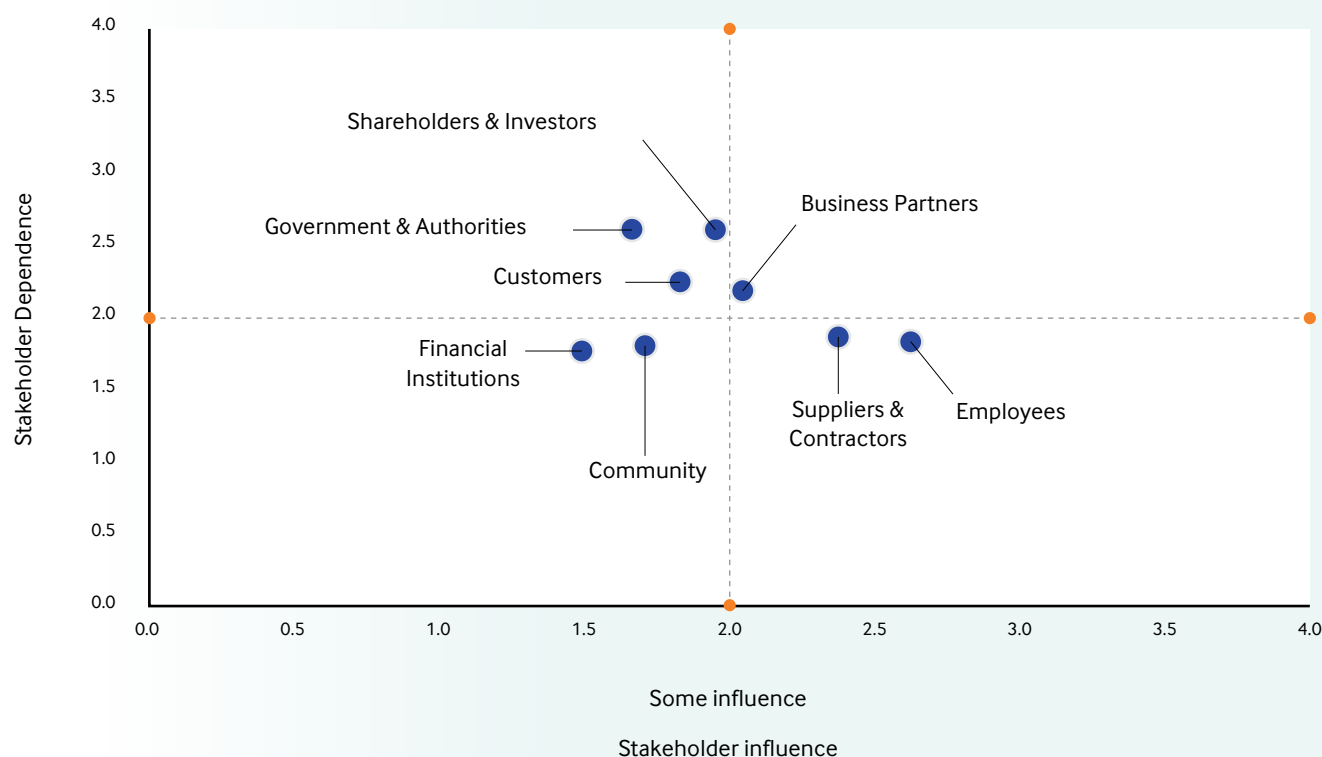
At the same time, Employees and Suppliers & Contractors demonstrate higher levels of dependence on the Group, as they rely on the Group for employment, income stability, and business continuity. This highlights the importance of fair labour practices, safe working conditions, and responsible procurement. The Community and Financial Institutions are also our important stakeholders, and the Group continues to engage them through community initiatives, transparent communication, and responsible financial management.

The Community and Financial Institutions are also our important stakeholders, and the Group continues to engage them through community initiatives, transparent communication, and responsible financial management.

Sustainability Report

Overall, the prioritisation matrix enables Protasco to focus its engagement efforts where they matter most, while maintaining open and responsible relationships with all stakeholder groups.

Protasco Berhad Stakeholder Prioritisation Matrix



Our Performance

In FY2025, Protasco strengthened its commitment to stakeholder engagement through targeted initiatives designed to foster open communication and collaboration.

Stakeholder Engagement [GRI 2-29]

Throughout the year, each BU within the Group conducted a series of engagement sessions with key stakeholder groups, including employees, customers, suppliers, and local communities (refer to the Stakeholder Engagement table). These sessions offered valuable insights that informed our sustainability strategies and ensured our business practices aligned with stakeholder expectations.

Sustainability Report

Stakeholder Group	Engagement Methods	Frequency	Key Topics/Areas of Interest	Our Response / Actions
Shareholders & Investors 	Annual General Meeting (AGM), Investor Relations periodic meetings with analysts and shareholders; Bursa announcements on material information; dedicated website with feedback emails	Quarterly/ Annually	Financial performance, corporate development, ESG disclosures and compliance, risk management, corporate governance, business resilience	Transparent reporting through Annual and Sustainability Reports, continuous engagement via investor relations team
Employees       	Town halls, departmental meetings, training and development programmes, engagement and events	Ongoing / Quarterly	Workplace safety, career growth, staff welfare, remuneration, well-being, work-life balance	Regular training and competency development, enhanced communication channels, employee recognition programmes, and improved workplace safety initiatives
Customers  	Regular meetings, customer satisfaction surveys, customer feedback channels, project review sessions	Continuous	Work progress, service quality, project delivery timelines, compliance, sustainability practices	Implementation of quality management systems, adherence to contract commitments, improvement in service delivery and communication
Suppliers & Contractors    	Supplier audits, briefings, performance reviews, safety inductions, and training	Annually/ As needed	Ethical procurement, payment transparency, health and safety compliance, partnership opportunities	Implementation of Supplier Code of Conduct, fair procurement practices, supplier capacity-building programmes
Government & Authorities  	Compliance reporting, consultation sessions, industry dialogues, site audits, meetings and workshops	Periodic/ As required	Regulatory compliance, sustainability disclosure requirements, occupational safety	Adherence to Bursa Malaysia Listing Requirements, CIDB, DOE and DOSH guidelines, continuous monitoring and reporting of compliance

Sustainability Report

Stakeholder Group	Engagement Methods	Frequency	Key Topics/Areas of Interest	Our Response / Actions
Employees 	Community development projects, dialogue sessions, CSR initiatives, volunteer programmes	Periodic	Education support, local employment, environmental impact, infrastructure development	Implementation of CSR programmes focused on education, environmental conservation, and community well-being
Business Partner 	Strategic meetings, joint ventures and collaborations, performance reviews, partnership evaluations	Periodic/ As needed	Business continuity, innovation, value creation, ethical practices, sustainability collaboration	Strengthened partnerships through transparent communication, alignment on sustainability goals, and joint initiatives for business growth and innovation
Financial Institutions 	Discussion, financial reviews, compliance reporting, sustainability-linked discussions	Quarterly/ As required	Financial stability, creditworthiness, ESG risk management, transparency, sustainability performance	Timely financial reporting; proactive communication on ESG initiatives; maintaining strong governance and compliance with financial regulations

To identify material issues most significant to both stakeholders and the business, we conducted an online survey.

The feedback gathered through these engagement channels has been instrumental in refining our stakeholder management approach. By incorporating these insights into our decision-making processes, we ensure steadily that our strategies remain responsive to the evolving needs and concerns of those impacted by our operations.

Looking ahead, we remain committed to enhancing our stakeholder engagement processes by broadening the scope to include more stakeholders within each BU, addressing material issues, responding to emerging concerns, and actively engaging with new stakeholder groups.

Sustainability Report

MATERIALITY MATTERS [GRI 3]

In our pursuit of sustainable growth and part of the requirement, we prioritise materiality matters that align with our stakeholders' concerns and our business objectives. The Group's materiality assessment was conducted using a structured, six-step process to identify, assess and prioritise sustainability topics that are material from both impact and business perspectives.

Process to Determine Material Topics [GRI 3-1]

Materiality Process

Our Approach

Step 01: Define Scope

The materiality assessment covered the Group's core business operations, key subsidiaries and operating units. In defining the scope, the Group evaluated both actual and potential impacts on the economy, environment, people and reputation of the business, which could affect the Group's ability to create long-term sustainable value.

Step 02: Identify Stakeholders

The key stakeholders were identified based on their influence on, and exposure to, the Group's activities. These stakeholder groups included employees, customers, suppliers and contractors, government and regulators, shareholders and investors, communities, business partners, and financial institutions.

Stakeholder were subsequently prioritised based on their relevance and dependence, strategic decision-making, regulatory expectations and the extent to which they may be affected by, or have an impact on, the Group's operations. The outcome is presented in the Stakeholder Prioritisation section of this report.

Step 03: Identify Potential Material Issues

A comprehensive long list of potential sustainability topics was developed through multiple sources, including a review of the GRI Topic Standards (200, 300 and 400 series), industrial benchmarking against construction and infrastructure peers, SASB metrics requirement, and a review of applicable regulatory requirements and internal policies.

Insights from prior sustainability reports and enterprise risk registers were also considered. The identified topics were consolidated into clearly sustainability themes to minimise overlap and ensure consistency across the assessment.

ESG Pillars	No.	Materiality Topics
Environment	1	Biodiversity
	2	Climate Change
	3	Energy Management
	4	Material
	5	Waste Management
	6	Water Management
Social	7	Community Development
	8	Customer Satisfaction
	9	Diversity
	10	Data Privacy & Cybersecurity (DPC)
	11	Labour Practices & Human Rights
	12	Occupational Safety & Health (OSH)
	13	Procurement Practices
	14	Economic Performance
Governance	15	Business Ethics & Compliance

Sustainability Report

Materiality Process

Our Approach

Step 04: Stakeholder Engagement

Stakeholder inputs were gathered through Stakeholder Concern Survey conducted in 2024. The survey result was disclosed in the FY2024 Sustainability Report and served as a baseline for sustainability planning and prioritisation for FY2025.

The feedback gathered were used to assess the relative importance of identified topics and to validate their relevance from stakeholder's perspectives. While the survey provided useful initial insights, participation remains limited.

In light of this, and to strengthen the robustness and representation of stakeholder engagement, the Group decided to refresh its stakeholder inputs earlier than initially indicated. Accordingly, the outcomes of the 2024 survey will be applied for a two-year period, after which a new stakeholder survey will be conducted in the next reporting cycle to enhance data quality and stakeholder coverage.

Step 05: Assess Priority Issues

The 2024 Stakeholder Concern Survey results for each sustainability topic were presented in a percentage-based priority scale. All identified topics were assessed Very High Priority, highlighting their criticality to stakeholders. Within this category:

- a) Topics scoring 85% and above represented the highest stakeholder priorities, requiring immediate and focused action.
- b) Topics scoring 75% - 84% were considered important, requiring progressive integration into the Group's strategies.

For FY2025, The Group enhanced the materiality assessment methodology, by adopting a double materiality framework, building directly on the FY2024 survey results. This approach evaluates each topic along two dimensions:

- a) Significance of Impact (X-Axis)
The impact was assessed on the severity, scope, likelihood, and irremediability of impacts on the economy, environment, and people. Construction sectoral considerations were also used during the assessment. Topics with higher risk, broader scope, or more severe consequences received higher X-axis scores.
- b) Importance to Stakeholders (Y-Axis)
Incorporated FY2024 stakeholder survey data as a baseline, reflecting stakeholder concern and expectations. It was further augmented by additional assessment of reputational, financial, operational, and regulatory implications. Topics with stronger consequences and higher potential impact on Group's value received higher Y-axis scores.

The combined assessment of X-and Y-axis scores allowed the Group to categorise each topic into a quadrant, prioritising topics for management action, resource allocation, and reporting.

Step 06: Report & Act

The result of the materiality assessment undertaken by SSO is then presented in the SWC and SSC meeting to be reviewed and validated by their members. The prioritised material topics are then used to update the Group's sustainability strategy, policies (where applicable), targets, and action plans and integrated into business decision-making processes where relevant.

The outcome of the assessment is disclosed in this Report in accordance with GRI3. Topics classified as critical and significant are prioritised for performance monitoring, management action and transparent disclosure, while emerging and monitored topics continue to be tracked and reassessed periodically.

Sustainability Report

List of Material Topics [GRI 3-2]

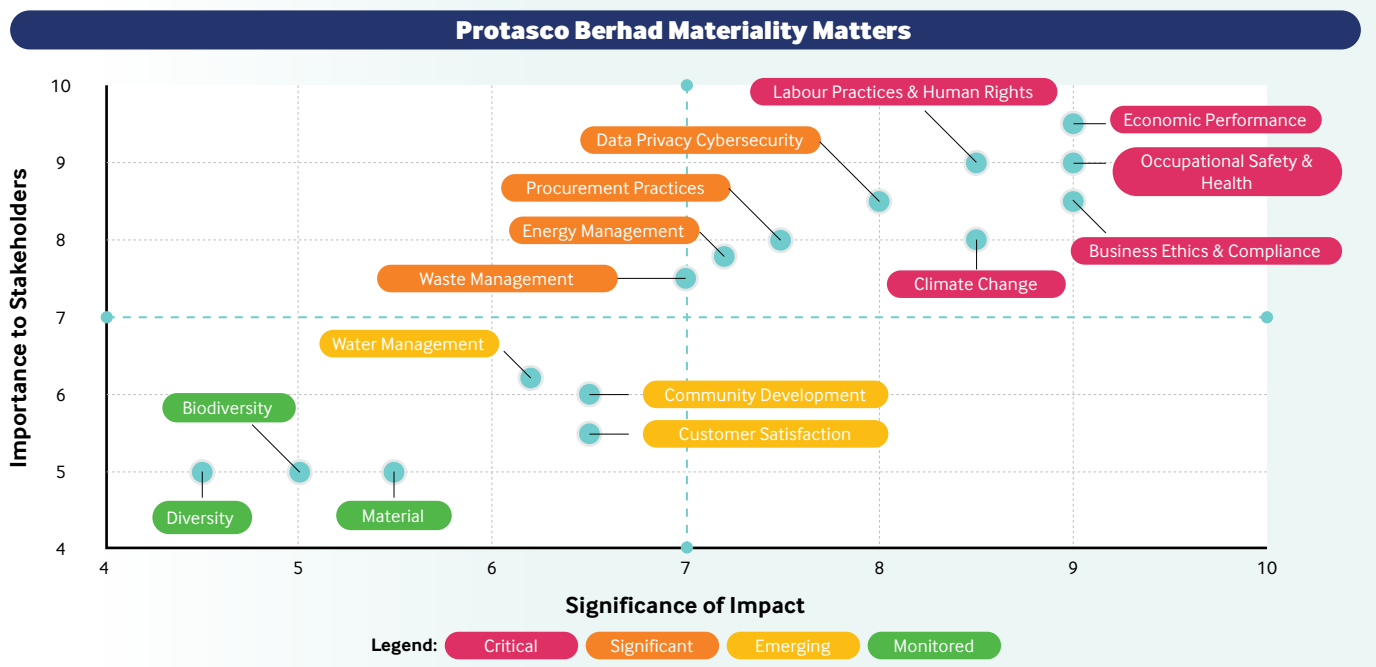
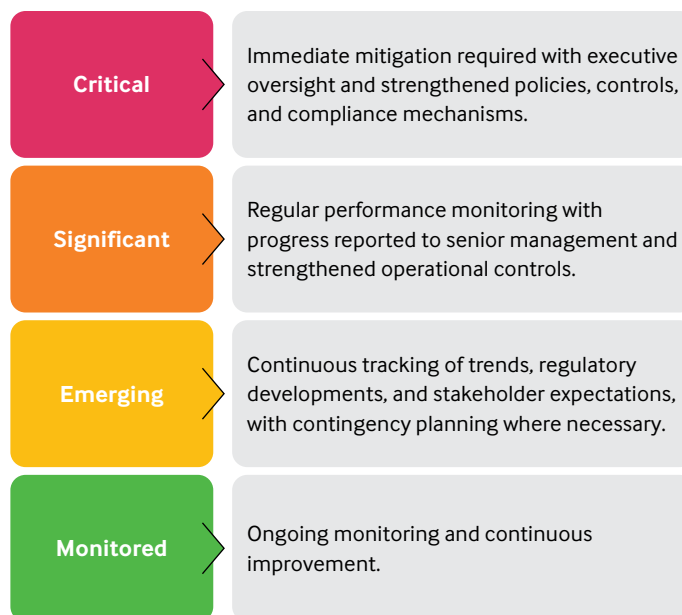
The materiality assessment identified the following sustainability topics across three ESG pillars:

ESG Pillars	No.	Materiality Topics
Environment	1	Biodiversity
	2	Climate Change
	3	Energy Management
	4	Material
	5	Waste Management
	6	Water Management
Social	7	Community Development
	8	Customer Satisfaction
	9	Diversity
	10	Data Privacy & Cybersecurity (DPC)
	11	Labour Practices & Human Rights
	12	Occupational Safety & Health (OSH)
	13	Procurement Practices
	14	Economic Performance
Governance	15	Business Ethics & Compliance

These topics represent the most significant sustainability impacts and stakeholder concerns relevant to the Group's operations.

Management of Material Topics [GRI 3-3]

The Group manages its material sustainability topics through a structured prioritisation and monitoring framework. Material issues were categorised based on their level of significance.



Sustainability Report

The Matrix above depicts the material matters identified by the Group. Each BU is responsible for implementing targeted actions, operational controls, and monitoring mechanisms to address the identified material matters.

In FY2025, the Group continued to strategically allocate resources across ESG pillars, reinforcing its commitment to environmental stewardship, strong governance, economic resilience, and social responsibility.

The final list of prioritised material topics serves as the foundation for the Group's sustainability strategy, performance monitoring, and reporting, ensuring alignment with stakeholder expectations and international sustainability standards.

ESG RISK PERFORMANCE

Our Group's ESG Risk Strategy outlines a comprehensive approach and framework for identifying, assessing, managing, and monitoring ESG-related risks across the organisation. By proactively managing ESG risks, we aim to create long-term value, enhance our resilience to challenges, and align our business practices with the principles of sustainability.

Nos	ESG Risks	Risk Identification	Opportunities	FY2025 ESG Risk Performance
1	Economic Performance	- Market volatility impacting our revenue streams. - Rising operational costs affecting profitability.	- Strengthening local supply chain integration to support economic sustainability. - Diversifying business portfolios to mitigate sector-specific risks.	 Refer to pages 56 to 59
2	Business Ethics & Compliance	- Non-compliance with anti-bribery laws affecting reputation and stakeholder trust. - Potential legal consequences due to lack of awareness and training. - Supply chain integrity issues if third-party vendors do not adhere to ethical standards. - Non-compliance with industry standards (e.g., Occupational and Safety & Health Act (OSHA), Department of Environment (DOE), Bursa Malaysia reporting) can disrupt our operations, result in the imposition of fines and penalties and be detrimental to the reputation of the Group. - Frequent or unexpected changes in laws and regulations require the Group to quickly adapt its processes, which may increase operational costs and affect business continuity.	- Strengthening governance by increasing anti-corruption training coverage beyond 50% target. - Enhancing whistleblowing framework. - Implementing a more robust supplier due diligence framework to prevent corruption risks in procurement. - Strengthening internal policies to exceed minimum legal requirements. - Conducting more compliance training for all BUs.	 Refer to pages 60 to 68
3	Procurement Practices	- Overspending on overseas suppliers can result in higher transportation costs, currency risks, supply chain disruptions, and a diminished ability to support the local economy. - Supplier ESG non-compliance affecting overall sustainability targets.	- Tracking and monitoring procurement practices. - Implementing stricter procurement evaluation metrics.	 Refer to pages 69 to 72

Sustainability Report

Nos	ESG Risks	Risk Identification	Opportunities	FY2025 ESG Risk Performance
4	Community Development	- Failure to meet community expectations may impact corporate reputation. - Inadequate outreach leading to weak social license to operate.	- Strengthening social impact through targeted education and B40 assistance programmes. - Expanding employee volunteerism to increase engagement. - Aligning projects with sustainable development goals (SDG).	  Refer to pages 73 to 75
5	Diversity	- Limited participation of women in managerial roles hinders inclusivity and limit diverse perspectives in decision-making. - Challenges in attracting and retaining diverse talent affect innovation, employee engagement, and the Group's long-term competitiveness.	- Expanding gender diversity initiatives beyond the set target. - Introducing mentoring programmes to encourage female leadership. - Creating an inclusive working environment.	  Refer to pages 75 to 81
6	Occupational Safety & Health (OSH)	- Workplace accidents or unsafe conditions compromise employee well-being and disrupt business operations. - Non-compliance with DOSH and ISO 45001 standards results in penalties and reputational damage.	- Strengthening safety culture through targeted training. - Expanding LTIR tracking for improved safety performance. - Enhancing mental health and well-being programmes.	  Refer to pages 81 to 84
7	Customer Satisfaction	- Poor service quality affecting customer trust and retention. - Failure to meet evolving customer expectations leading to decreased business growth.	- Strengthening digitalisation to enhance customer experience. - Implementing real-time feedback systems for better service improvement.	  Refer to pages 85 to 89
8	Data Privacy & Cybersecurity	- Increasing cyber threats and potential data breaches compromise system integrity and operations. - Non-compliance with Malaysia's Cybersecurity Act 2024 (Act 854) results in penalties and legal consequences. - Loss of stakeholder trust due to inadequate data protection measures lead to loss of stakeholder confidence and reputational damage.	- Strengthening cybersecurity policies in line with IAP 3.0 digitalisation strategy. - Conducting cybersecurity awareness training across all levels. - Implementing enhanced data protection systems.	  Refer to pages 89 to 93
9	Labour Practices & Human Rights	- Labour shortages impacting project timelines. - Non-compliance with fair labour practices leading to reputational risks.	- Strengthening upskilling and training programmes. - Enhancing employee well-being initiatives to boost retention. - Implementing fair employment policies to attract top talent and contribute positively to society.	  Refer to pages 93 to 100

Sustainability Report

Nos	ESG Risks	Risk Identification	Opportunities	FY2025 ESG Risk Performance
10	Water Management	- Inefficient water usage increasing operational costs. - Excessive water waste in the less water zone results in regulatory fines and compliance issues.	- Tracking and monitoring of water usage data. - Initiate water storing and usage programmes.	     Refer to pages 101 to 102
11	Waste Management	- Lack of a dedicated waste management policy and SOPs may impact long-term sustainability. - Rising waste disposal costs and regulatory compliance pressure.	- Expanding waste reduction initiatives (e.g., beach cleaning project). - Implementing circular economy principles to minimise waste. - Strengthening partnerships for sustainable waste disposal solutions. - Tracking and monitoring the waste related data.	    Refer to pages 102 to 104
12	Material	- Inconsistent sustainable sourcing affecting project certifications. - Rising costs of eco-friendly materials.	- Achieving Key Performance Indicator (KPI) for sustainable materials adoption. - Expanding supplier engagement on responsible sourcing. - Enhancing Research & Development (R&D) for cost-effective sustainable material alternatives.	    Refer to pages 105 to 107
13	Energy Management	- High energy consumption increasing operational costs. - Non-compliance with energy efficiency regulations results in penalties and operational constraints	- Cumulative reduction by 1% per square meter of building space. - Implementing energy-efficient systems/ initiatives for cost reduction.	    Refer to pages 108 and 109
14	Climate Change	- Rising carbon footprint affecting regulatory compliance and investor confidence. - Potential penalties for exceeding emissions limits.	- Strengthening Scope 1 & 2 emission tracking systems. - Implementing low-carbon strategies to align with Bursa Malaysia's TCFD reporting requirements. - Expanding renewable energy adoption across operations.	     Refer to pages 110 to 113
15	Biodiversity	- Environmental degradation impacting project approvals and community acceptance. - Loss of local biodiversity due to construction and maintenance activities. - Potential regulatory penalties due to stricter environmental policies.	- Expanding conservation projects via Non-Governmental Organisation (NGO) partnerships. - Enhancing stakeholder engagement through biodiversity impact studies.	     Refer to pages 114 to 116

Sustainability Report

ESG PERFORMANCE SCORECARD

In our pursuit of sustainable growth and part of the requirement, we prioritise materiality matters that align with our stakeholders' concerns and our business objectives. The Group's materiality assessment was conducted using a structured, six-step process to identify, assess and prioritise sustainability topics that are material from both impact and business perspectives.



Environmental

Materiality Matter	Key Performance Indicator	FY2025 Actual (Progress)
Biodiversity	Implement at least 1 biodiversity-positive project each year.	3 projects were undertaken
Climate Change (Scope 1)	Cumulative reduction of Scope 1 carbon emissions by at least 1% by 2027 compared to the baseline year (2024).	Reduced by 76.2%
Climate Change (Scope 2)	Cumulative reduction of Scope 2 carbon emissions by at least 1% by 2027 compared to the baseline year (2024).	Increased by 0.6%.
Energy Management	Cumulative reduction of electricity consumption by at least 1% per square feet of building space by 2027 compared to the baseline year (2024).	Increased by 19.32%
Materials	Minimum 3 environmentally friendly or recyclable materials used for projects within the Group.	5 materials
Waste Management	Achieve a 3% annual increase in the rate of waste recycled, treated, or diverted from landfill, based on total waste generated.	Only 1.03% from the waste has been recycled/reused from the total waste
Water Management	Reduce water consumption intensity by 1% per square meter of building space compared to the previous year.	Increase by 28%



Social

Materiality Matter	Key Performance Indicator	FY2025 Actual (Progress)
Community Development	Commit a minimum annual investment of RM200,000 in community initiatives, benefiting at least 5 community groups each year.	A total of RM561,776 was invested into community development, benefiting at least 13 community group.
Customer Satisfaction	Maintain 70% customer satisfaction score.	On average is the Group through its BU obtained 88%
Data Privacy & Cybersecurity	Achieve 50% employee participation in cybersecurity awareness programme annually.	57% employee participation in cybersecurity awareness programme
	Maintain a data loss rate of zero incidents concerning stakeholders annually.	0

Sustainability Report



Social

Materiality Matter	Key Performance Indicator	FY2025 Actual (Progress)
Diversity	Maintain a minimum of 20% representation of women in managerial roles across the Group.	31% representation of women in managerial roles across the Group
Labour Practices & Human Rights	Ensure that at least 80% of the Group's employees are permanent or contract staff receiving full benefits.	97% Group's employees are permanent or contract staff receiving full benefits.
	Ensure that at least 50% of the Group's employees receive awareness training on human rights violations.	55% received awareness training on human rights violations.
	Achieve a minimum of 70% of Group employees attending at least one (1) skills development training session.	90% of Group employees attend at least one (1) skills development training session.
Occupational Safety & Health	Reduce the number of workplace fatalities to zero or as low as reasonably achievable (ALARA).	0
	Ensure Group's Lost Time Incident Rate (LTIR) is less than 1.	0
	Achieve a minimum of 60% of Group employees attending at least one workplace safety and health awareness training session.	79% employees attend at least one workplace safety and health awareness training session.
Procurement Practices	Achieve at least 70% of total supplier spending with local suppliers.	97% total supplier spending with local suppliers.



Governance

Materiality Matter	Key Performance Indicator	FY2025 Actual (Progress)
Business Ethics & Compliance	Achieve zero reported incidents of corruption.	0
	Assess at least 10% of significant operations for anti-corruption risks.	29%
	Ensure that at least 50% of employees receive training/awareness on anti-corruption policies and procedures annually.	67% of employees receive training/awareness on anti-corruption
	Ensure zero instances of non-compliance, business ethics cases, or penalties imposed by authorities.	1 of non-compliance, business ethics cases, or penalties imposed

Sustainability Report

MANAGEMENT APPROACH FOR MATERIAL MATTERS



ECONOMIC PERFORMANCE [GRI-201; GRI-207]

Related UNSDGs:



Why is this Important?

At Protasco, economic sustainability is a core element of our business strategy, underpinning our commitment to delivering long-term value to stakeholders. Through consistent financial performance, we drive job creation, support local economic growth, and contribute to national development. Aligned with the United Nations Sustainable Development Goals (UNSDGs), we focus on enhancing infrastructure and public services, improving the quality of life in the communities we serve, and reinforcing our dedication to responsible and sustainable growth.

Our Approach

1 Financial Stability and Growth [GRI 201-1]

In FY2025, we achieved a 10% increase in revenue, reflecting our continued focus on sustainable and responsible business practices. Our profitability remained strong, with a 8.5% profit margin, driven by effective cost management and strategic investments in high-growth areas.

We remain committed to long-term value creation by prioritising projects that support business resilience and sustainable growth. Through prudent financial management and strategic decision-making, we continue to strengthen our market position while contributing to economic development.

2 Tax [GRI 207]

As part of our commitment to sustainable economic performance, we uphold responsible and transparent tax practices that contribute to national and community development. We ensure full compliance with all applicable tax laws, regulations, and public rulings in the jurisdictions where we operate, adhering to legal requirements and industry standards.

In FY2025, the tax payable was RM40.7 million, a 71.1% increase from 2024.

Through ethical tax practices and strict compliance with relevant laws, we continue to strengthen our economic contributions while maintaining responsible business operations.

3 Risk Management [GRI 2-22], [GRI 201-2]

Our economic risk management framework is designed to anticipate and mitigate potential risks that could impact our financial performance. We conduct annual risk assessments, evaluating factors such as market fluctuations, geopolitical uncertainties, and ESG-related risks.

The findings from these assessments are presented bi-annually to the Board Risk Management Committee, ensuring proactive oversight and strategic decision-making to address both short-term disruptions and long-term challenges.

Sustainability Report

Our Approach

4 Market Presence

[GRI 202-1]

Protasco operates across several states in Malaysia, including Selangor, Terengganu, Kelantan, Pahang, Perak, Johor, Melaka, and Negeri Sembilan, through its various BUs. Our expansion not only supports economic development in emerging regions but also reinforces our competitive positioning. The Group undertakes local recruitment for road construction, engineering, manufacturing, solar, and food processing projects to support local economic growth by offering products and services that meet the increasing demand for ethical and sustainable business practices. Further, the Group is also committed to engaging local suppliers and contractors. These practices align with GRI 202-1 on local hiring and wage equity, reflecting the Group's dedication to responsible market presence and sustainable community development initiatives.

5 Sustainable Investment

[GRI 203], [GRI 102], [GRI 103]

In FY2025, we strengthened our sustainable investment efforts through 2 major green agendas.

1) Renewable Energy Projects (Solar PV)

In addition to the existing Solar Farm 1 (Melaka) that continues to generate recurring revenue, the Clean Energy BU further strengthened its renewable energy portfolio through the implementation of two solar photovoltaic (PV) projects during FY2025. The installation for Solar Farm 2 (Pulau Pinang) comprises a 474.81 kWp system, which is expected to generate approximately 658,561 kWh of renewable electricity annually and avoid an estimated 7,696.55 tonnes of CO₂ emissions over a 25-year operational lifespan. Meanwhile, the 71 kWp system installed for Solar Farm 3 (Johor) is projected to produce 88,003 kWh per year and deliver approximately 1,476.91 tonnes of CO₂ emissions avoidance over 30 years.

As of FY2025, the construction of Solar Farm 2 and Solar Farm 3 were completed but yet to be operational. Collectively, these initiatives underscore the Group's commitment through its Clean Energy BU to advancing sustainable infrastructure, supporting climate change mitigation efforts, and delivering long-term value creation through innovation, environmental stewardship, and responsible growth.

2) Circular Economy Projects

Research and development initiatives was anchored into circular economy principles. A key project involves a Black Soldier Fly (BSF) farming collaboration with FELDA, converting organic waste into high-value products such as alternative protein feed and organic fertilisers, thereby enhancing resource efficiency and reducing environmental impact. To support operational reliability and scalability, the Group invested USD140,000 in the FoodyWorm Modular System Module, inclusive of equipment and intellectual property licensing.

As the project remains at the research stage, no revenue has been generated to date. In addition, an early-stage initiative to convert Palm Oil Decanter Cake (PODC) into biofertiliser received an initial investment of RM48,400, transforming agricultural waste into environmentally beneficial products while laying the foundation for future green economic opportunities and local employment.

Sustainability Report

Our Approach

6 Sustainable Growth Strategy

[GRI 203], [GRI 102], [GRI 103]

Our sustainable growth strategy is based on a sustainable business model focused on growing revenue and profitability with an emphasis on long-term sustainability. In FY2025, we achieved a 32.6% return on capital employed.

We are committed to progressively reducing our carbon footprint, improving energy and water efficiency, and managing waste effectively across all operations. We have been prioritising the well-being of our employees, support local communities and engage stakeholders through various activities and programmes. In FY2025, 98% of our procurement was sourced from local suppliers, contributing to economic development in the communities where we operate.

Transparency, ethics and compliance are central to our governance structure ensuring the Group's sustainable growth strategy are kept in oversight, monitored and reported.

Our long-term economic planning is designed to ensure resilience and adaptability, with diversified revenue streams and flexible business models that can weather economic challenges and seize new opportunities.

With all the above management approaches, our strong ESG performance has yielded significant economic benefits, including cost savings from energy efficiency and enhanced reputation, which have opened up new business avenues. These combined efforts are crucial to maintaining our financial health and securing long-term success.

Our Performance

a) Economic Value

Economic Details	FY2025 (RM'000)	FY2024 (RM'000)	FY2023 (RM'000)
Economic Value Generated	1,459,025	1,327,085	1,142,663
Economic Value Distributed			
Operating Cost	1,201,156	1,129,696	1,010,113
Employee Wages & Benefits	85,464	103,835	84,365
Payment to Providers of Capital [i.e. Dividend and Finance Costs]	11,761	12,389	12,833
Payable to Government [i.e. Tax]	40,700	23,703	13,854
Community Investment	562	2,006	425
Economic Value Retained	119,382	55,456	21,073

In FY2025, the Group recorded strong economic performance with total economic value generated (EVG) rising by 9.9%, reflecting sustained business growth across its core operations. The Group distributed RM1,339.6 million, equivalent to 91.8% of EVG (FY2024: 95.8%; FY2023: 98.2%), indicating improved cost efficiency and higher value retention. Operating costs remained the largest component at RM1,201.1 million or 82.3% of EVG (FY2024: 85.1%; FY2023: 88.4%), with the slight decline in proportion, due to the Group's better operational management despite increased activity levels.

Sustainability Report

Employee wages and benefits stand at RM85.5 million, accounting for 5.8% of EVG from 7.8% in FY2024, reflecting our workforce optimisation and improved productivity. Payments to providers of capital remained stable at RM11.8 million (0.8% of EVG), while tax payable to government increased significantly to RM40.7 million (2.8% of EVG), in line with stronger profitability and higher tax contributions. Community investments stands at RM0.6 million (0.04% of EVG), reflecting a more targeted approach to social contributions. Consequently, economic value retained (EVR) more than doubled to RM119.4 million, representing 8.2% of EVG (FY2024: 4.2%; FY2023: 1.8%), where we have demonstrated an enhanced financial resilience, improved cost discipline, and a stronger capacity to reinvest for long-term sustainable growth.

b) Sustainable Investment and Green Revenue Contribution

i) Solar PV Projects Delivered in FY2025

Details	Installed Capacity (kWp)	Estimated Annual Generation (kWh)	Estimated Lifetime CO ₂ Avoided (tCO ₂ e)	FY2025 Revenue (RM)
Solar Farm 1: Melaka	9,006	12,460,498	147,832	4,724,558
Solar Farm 2: Pulau Pinang	474.81	658,561	7,696.55 (25 years)	-
Solar Farm 3: Johor	71	88,003	1,476.91 (30 years)	-
Total Green Revenue (Renewable Energy)				RM 4,724,558

Note: Solar Farm 2 and 3 are completed but yet to be operational as of FY2025.

The Melaka Solar Farm project is an ongoing renewable energy project. There is no backlog reported during the reporting period. Furthermore, as of FY2025, the Group has no hydrocarbon-related projects.

ii) Circular Economy Innovation

Project	Partner/ Client	Description	Investment (FY2025)	Status	Expected Environmental / Social Impact
BSF Farming	FELDA / Foodyworm	Converts organic waste into protein feed and organic fertiliser using innovative biotechnology.	USD 140,000 (FoodyWorm system & IP licensing)	R&D Stage	Waste reduction, resource efficiency, scalable sustainable product development, potential local employment
PODC Biofertiliser	FELDA	Converts PODC agricultural waste into high value biofertiliser.	RM48,400	R&D Stage	Waste valorisation, circular economy solution, potential employment creation, environmental stewardship

Sustainability Report



Governance



BUSINESS ETHICS & COMPLIANCE [GRI 2-26; GRI 2-27; GRI205; GRI207]

Related UNSDGs:



Why is this Important?

Business ethics and compliance form the cornerstone of trust and integrity across our operations. By upholding rigorous ethical standards and meeting all regulatory requirements including anti-corruption measures, tax obligations, and other statutory obligations, the Group safeguards its reputation with stakeholders, mitigates legal and financial risks, and reinforces a culture of accountability. In an increasingly complex global business environment and requirement, maintaining transparency and ethical conduct is essential for sustainable growth and for sustaining long-term stakeholder confidence.

Our Approach

At Protasco, business ethics and compliance form the foundation of trust, integrity, and transparency in all our operations. Upholding ethical standards and regulatory requirements including anti-corruption measures, tax obligations, and other statutory compliance, we ensure to maintain our reputation with stakeholders, mitigate legal and financial risks, and foster a culture of accountability. In an increasingly complex business environment and constant changing requirement, transparency and ethical conduct are essential for sustainable growth, stakeholder confidence, and long-term value creation.

The Group's approach to anti-corruption is anchored in a zero-tolerance policy toward bribery, fraud, and any form of unethical conduct. We have established a comprehensive framework to ensure that our operations are conducted with the highest level of integrity and transparency.

Policies And Procedures [GRI 205-2]

- | | | |
|--|---|--|
| <ul style="list-style-type: none"> Integrity & Anti-Corruption Policy
 Our Integrity & Anti-Corruption Policy establishes a robust framework to combat corruption and bribery, clearly defining the standards of ethical conduct expected from all employees, business partners and third-party associates. This ensures that all stakeholders uphold the principles of integrity in their professional dealings. This policy is publicly accessible on our website. | <ul style="list-style-type: none"> Conflict of Interest (COI) Policy
 A COI Policy has been established specifically for all Directors of Protasco and Key Senior Management in the Company. This policy requires that all decisions and actions taken by Directors and Senior Management are made in the best interest of the Company. They are required to make an annual declaration of COI or potential COI via the COI Declaration Form. | <ul style="list-style-type: none"> Discretionary Authority Limits (DAL)
 A key pillar of this framework is our DAL, which sets out clear guidelines on the levels of authority and approval required for financial and operational decisions. By enforcing stringent oversight on transactions, the DAL minimises the risk of corruption, unauthorised activities and potential conflicts of interest. |
|--|---|--|

Sustainability Report

Training And Awareness [GRI 205-2]

We actively promote a culture of integrity through annual anti-corruption training. To ensure broad understanding, at least 50% of employees are required to undergo training on anti-corruption measures annually.

Whistleblowing Mechanism [GRI 2-26]

The Group maintains a whistleblowing mechanism that provides secure and confidential channels for employees and stakeholders to report suspected misconduct, unethical behaviour or policy breaches, including violations of DAL. All reported cases are managed in accordance with established procedures and are periodically reviewed to ensure effective handling, transparency and accountability.

In November 2024, the Group enhanced its whistleblowing framework to strengthen governance controls, and the updates were communicated to all BUs in FY2025 to reinforce the importance of ethical reporting and protection against retaliation. At the subsidiary level, the Construction Division operates its own whistleblowing policy under its Anti-Bribery Compliance Function (ABCF), overseen by a dedicated committee and aligned with ISO 37001:2025 Anti-Bribery Management System (ABMS) requirements, while the Hotel Division maintains an internal whistleblowing mechanism managed by its internal compliance team.

Risk Assessment And Due Diligence [GRI 205-1]

Annual risk assessments for anti-corruption are conducted across all BUs, scheduled and reviewed by the Board of Risk Management Committee. These assessments identify potential indicator to risks and prompting mitigation strategies to mitigate the risks. The compliance with the Group's anti-corruption policies that safeguards our operational integrity is carried out by the Internal Audit Function which reports functionally to the Audit Committee.

Monitoring And Enforcement [GRI 205-3]

The Group, through the Strategy & Sustainability Office (SSO), actively monitors anti-corruption data across all BUs, with consolidated findings reviewed biannually by the Board Risk Management Committee (BRMC). All reported data undergoes validation to ensure accuracy, completeness and transparency, supporting consistent enforcement of anti-corruption measures across the Group.

In addition, the construction team implements a structured annual audit and training plan under its compliance framework, which includes scheduled monitoring of reported cases, one internal audit and one external audit annually, as well as regular awareness programmes. Audits cover employees, suppliers, contractors and vendors to ensure comprehensive compliance oversight.

Hotel & Hospitality BU conducts monthly operational audits and spot checks across all functional areas, reviewing both financial controls (including float management) and operational procedures (such as procurement and kitchen inventory verification) to ensure adherence to established standard operating procedures. Through these multi-layered monitoring and enforcement mechanisms, the Group reinforces accountability, mitigates corruption risks and strengthens stakeholder confidence in its governance practices.

Business Compliance Framework [GRI 2-27]

The Group's compliance strategy is centred on three core areas:

Authority Compliance

Adherence to local and international regulations through engagement with regulators, audits, and ongoing legal training.

Product and Service Compliance

Each BU ensures products and services meet or exceed industry standards, supported by rigorous quality control, documentation, and customer feedback.

Value-Adding Compliance

Ethical practices and stakeholder engagement are prioritised to enhance operations, community impact, and align with SDGs.

Sustainability Report

A. Our Anti-Corruption Performance

i) Whistleblowing Report [GRI 2-26]

The Group maintains a formal whistleblowing mechanism that enables employees and external stakeholders to report suspected misconduct, including bribery and corruption, in a confidential manner. All reports received are assessed and investigated in accordance with the Group's Whistleblowing Policy, with appropriate actions taken where necessary.

3-Year Summary of Cases via Whistleblowing

Details	FY2025	FY2024	FY2023
No. of cases received	0	2	0
No. of cases resolved internally after investigation	0	2	0
No. of cases not valid after investigation	0	0	0
No. of cases reported to authorities	0	0	0

Over the past three financial years, the Group recorded a low incidence of whistleblowing reports. In FY2024, two cases were received and subsequently investigated and resolved internally in accordance with established procedures. No cases were reported in FY2023 and FY2025, and there were no invalid cases, pending cases or matters escalated to authorities during the three-year period. This reflects the Group's continued commitment to ethical conduct, transparent investigation processes and effective internal resolution mechanisms.

ii) Corruption Risk Assessment [GRI 205-1]

Each BU integrates anti-corruption and anti-bribery considerations into its enterprise risk management framework. This continues in FY2025. Corruption risk assessments are conducted periodically to identify potential exposure, evaluate control effectiveness, and implement mitigation measures where required.

Over the past three financial years, the Group has progressively expanded the scope and depth of corruption risk assessments, reflecting its commitment to strengthening governance and risk oversight. Identified risks are monitored through corrective action plans and continuous improvement measures.

3-Year Summary of Cases via Whistleblowing

Details	FY2025	FY2024	FY2023
Total number of operations assessed for corruption risk	24 (29%)	27 (33%)	12 (12%)
Number of corruption risk assessments / audits conducted	8 BUs	8 BUs	9 BUs
Significant risks related to corruption identified through the risk assessment	11	13	10

Note: The Education BU was previously included in the Group's corruption risk assessment. In FY2025, this BU is no longer under the Group's control and has therefore been excluded from the assessment. This ensures that the corruption risk assessment focuses on operations and BUs that remain under the Group's governance and direct management. The percentage of total number of operations assessed for corruption risk for FY2024 was restated for better accuracy.

In FY2025, the Group assessed 24 operations (29%) for corruption risks, a slight decrease from 27 operations (33%) in FY2024 due to structural changes, including the removal of the Education BU from Group control. Despite the reduced number of operations, 11 significant risks were identified and addressed through mitigation plans, reflecting continued focus on high-risk areas, strengthened system controls, and a targeted approach to risk management.

Sustainability Report

iii) Corruption-Related Training [GRI 205-2]

The Group places strong emphasis on awareness and capacity-building to promote ethical conduct and reinforce a culture of integrity across all levels of the organisation. In line with the Group's ESG KPI, a target was established for at least 50% of employees to be aware of anti-corruption principles. In FY2025, this target was surpassed, with 67% of employees participating in anti-corruption training and awareness programmes, demonstrating the Group's continued commitment to strengthening governance and ethical standards.

On 14 October 2025, the Group organised a session titled 'Taklimat Pengukuhan Integriti', featuring En. Mohd Firdaus Bin Ramlan, who shared his personal experience relating to bribery cases. The session provided practical insights into the consequences and broader impact of unethical practices, reinforcing the importance of integrity and responsible conduct in the workplace.

In addition to Group-level initiatives, BUs such as the Hotel & Hospitality and Engineering & Consultancy Services conducted their own anti-corruption programmes to reinforce awareness at the operational level.

On 14 August 2025, the Hotel & Hospitality BU organised an anti-corruption talk titled 'Undang-undang Pencegahan Rasuah', delivered by Ps Mohd Ihsan Bin Anuar, which was attended by 55 participants. The session focused on strengthening understanding of relevant anti-corruption laws and compliance obligations.

On 22 October 2025, a forum titled 'Antirasuah dan Pengurusan Perolehan Terbaik bersama Profesional Kejuruteraan 2025' was held. The session featured PKP Westmoreland Anak Ajom, Head of the Private Sector Branch, Community Education Division, Malaysian Anti-Corruption Commission (MACC), together with other officers, who shared insights on corruption prevention, ethical decision-making and integrity in procurement practices across both public and private sectors. The forum also included a 'Sesi Lafaz Ikrar Bebas Rasuah (IBR)', during which 48 participants collectively pledged their commitment to integrity and anti-corruption principles, followed by the formal signing of the IBR document.



Through these structured and ongoing initiatives, the Group continues to foster a culture of transparency, accountability and ethical business practices. In FY2025, these efforts were sustained and enhanced, with past performance serving as a baseline to monitor and improve annual participation rates. A summary of employees who have received anti-corruption training by employee category is presented below.

Anti-Corruption Training (Category of Employees) 3 Years Comparison

Year	Senior Management	Middle Management	Executive	Non-executive
FY2023	7 (7%)	30 (29%)	59 (57%)	7 (7%)
FY2024	8 (1%)	70 (12%)	320 (54%)	193 (33%)
FY2025	6 (1%)	72 (9%)	366 (44%)	375 (46%)

The data shows a steady increase in training participation among Executives and Non-Executives, demonstrating the Group's efforts to reach a broader workforce and reinforce anti-corruption principles at all organisational levels. Senior and Middle Management remain actively engaged through targeted sessions to strengthen leadership accountability in upholding ethical standards.

Sustainability Report

iv) Corruption Incidents [GRI 205-3]

As at FY2025, the Group continues to uphold a zero-tolerance approach towards bribery. No political contributions were made during the reporting period, and no employees were reprimanded or dismissed for breaches of the Group's anti-corruption policy.

Over the past three (3) financial years (FY2023–FY2025), we have consistently upheld a zero-incident record in relation to bribery and corruption. This reflects the effectiveness of the Group's governance controls, risk assessments, and training programmes.

Number of Confirmed incidents of corruption (by Employee Category)

Category of Employees	FY2025	FY2024	FY2023
Senior Management	0	0	0
Middle Management	0	0	0
Executive	0	0	0
Non-executive	0	0	0

Over the past three financial years, the Group has recorded no confirmed incidents of corruption across all employee categories, and there are no active projects or backlog in countries outside Malaysia. This reflects the effectiveness of its anti-corruption policies, awareness programmes, and monitoring mechanisms. This consistent track record demonstrates the Group's commitment to integrity, ethical conduct, and a zero-tolerance approach to corruption across all levels of the organisation.

B. Our Compliance Performance [GRI 2-27]

Compliance Overview

The Group is committed to maintaining high standards of compliance across all business operations. Compliance performance is monitored through internal audits, risk assessments, and established reporting mechanisms to ensure adherence to applicable laws, regulations, and internal policies, including those related to business ethics and governance.

Enhanced Compliance Monitoring and Data Collection

Under the IAP 3.0 initiative and following the internal audit completed in FY2024, the Group's enhanced compliance data-collection framework. This framework remains in place and continues to be refined in FY2025.

The enhanced framework has significantly improved tracking and reporting accuracy, ensuring that all instances of non-compliance regardless of severity; are captured, escalated and addressed in a timely manner. In FY2025, the enhanced framework has identified 1 non-compliance cases, with total fines and penalties amounting to approximately RM200,000.

Sustainability Report

COMPLIANCE METRICS AND KPIs

During the reporting period, we conducted ESG compliance audits across various BUs to ensure our practices align with regulatory and industry standards (refer to the Statement of Assurance in this report). This underscores our commitment to maintaining high standards and achieving necessary compliance. Additionally, employees participated in several ESG compliance training sessions, which improved their understanding and adherence to our policies. Detailed information on relevant training can be found under the various materiality sections of this report.

ACHIEVEMENTS AND IMPROVEMENTS

Building on the comprehensive data-capturing process introduced in FY2024, our most recent rounds of compliance audits in FY2025 have enabled better monitoring and more consistent reporting of compliance performance across the Group. The enhanced framework allows us to identify trends, close gaps more quickly and track the effectiveness of corrective actions over time. Several BUs have further refined their internal procedures and documentation to align more closely with Group-level requirements. These improvements have helped standardise practices, reduce the risk of oversight and ensure that compliance expectations are clearly understood and embedded in day-to-day operations

INCIDENTS AND RESOLUTIONS

During the FY2025 reporting period, the Group recorded 1 incident of non-compliance affecting various BUs. This incident was related to software licensing, initially identified at the end of FY2024 and largely resolved during FY2025, with total penalties amounting to RM200,000. On the project-related compliance, which includes environmental requirements and other permits, standards and regulations, the Group have met all obligations, and no issues were recorded for FY2025. The Group continues to monitor any legal claims or summonses. To prevent recurrence, the Group will continue to enhance its compliance framework through rigorous monitoring, regular audits and comprehensive training programmes. We remain committed to upholding the highest compliance standards and will continue to proactively identify and mitigate potential risks

Summary of Compliance Performance

Details	FY2025	FY2024	FY2023
Number of non-compliance in relation to business ethics	1	5	0
Total number of non-monetary sanctions for non-compliance with laws and regulations	0	0	0
Total cost (RM) of business / operation fines and penalties during financial year	200,000	41,497	0

Non-compliance case (in relation to business ethics)	Amount (RM)	Mitigation Action
A compliance matter involving software usage	200,000	The Group has strengthened its internal controls over software asset management. Previously, software procurement was centralised, but with the establishment of the Group's ICT function, processes have been improved to include enhanced monitoring mechanisms, periodic preventive maintenance, and increased employee awareness on intellectual property compliance.

Sustainability Report

Regulatory Engagement & Compliance [GRI 2-27; GRI 2-29]

The Group maintains proactive and transparent engagement with relevant regulatory authorities to ensure full compliance with applicable laws, regulations and industry standards. This structured approach enables the Group to anticipate regulatory developments, incorporate regulatory feedback into internal controls, and strengthen governance and operational oversight across all BUs.

In FY2025, key areas of compliance focus included occupational safety and health, project-level statutory adherence, industry certifications and supply chain compliance.

a) Occupational Safety and Health (OSH)

All business divisions maintain dedicated OSH teams responsible for implementing and monitoring workplace safety initiatives in accordance with the requirements of DOSH.

Regular risk assessments, site inspections and internal audits are conducted to ensure continuous compliance with statutory obligations and to mitigate workplace hazards. These measures reinforce the Group's commitment to safeguard employees, contractors and other stakeholders.

b) Project and Operational Compliance

Specific projects, including those in Kulim and Tampin, are closely monitored to ensure compliance with statutory, environmental and contractual obligations. Below are some of the compliance measures taken:

- i) Appointment of certified Safety Officers (in-house where required; external appointments made when multiple projects run concurrently, for solar projects undertaken by Clean Energy.)
- ii) Deployment of Safety Supervisors, Safety Coordinators, Traffic Management Officers and Environmental Officers for construction matters.
- iii) Conduct of environmental studies prior to project commencement and submit to Department of Environment (DOE)
- iv) Scheduled waste management and environmental monitoring.
- v) All projects fully comply with CIDB and DOE requirements. As of FY2025, no projects held sustainability-related certifications,

though the Group is actively evaluating integration of recognised sustainability standards in future projects.

Compliance activities cover construction safety, environmental protection and quality management standards. For road maintenance operations, all works are carried out in accordance with Jabatan Kerja Raya (JKR) specifications and requirements for road maintenance.

As for Hotel & Hospitality BU, compliance obligations include adherence to the requirements of the Ministry of Tourism, Arts and Culture (MOTAC), Occupational Safety and Health regulations, Radisson brand standards requirements which includes the ESG updates, Halal certification standards. A compliance visit was made by JAIS in December 2025 and was confirmed with no non-compliance findings. As part of maintaining halal certification, the requirement for a Halal Executive has been addressed, and action has been taken and appointment made.

c) ISO and Management System Certifications

The Group's core operations are guided by internationally recognised management systems to ensure structured and systematic risk management.

- i) **ISO 14001: Environmental Management System**
Implemented since 2021 and was renewed in 2024.

In FY2025, continued implementation included monitoring environmental performance, strengthening

waste management controls and enhancing compliance tracking in line with the Group's Environmental Policy.

- ii) **ISO 45001: Occupational Health and Safety Management System**
Implemented since 2022 and renewed in 2024. This management system is applicable to Construction and Maintenance BU. In FY2025, emphasis was placed on hazard identification, risk assessments, toolbox briefings and strengthened site safety monitoring.

- iii) **ISO 37001: Anti-Bribery Management System (ABMS)**
Implemented in 2024 and applied to the construction division. In FY2025, ongoing monitoring, awareness programmes and internal controls were reinforced to strengthen ethical conduct and corruption prevention.

- iv) **ISO 9001: Quality Management System**
Implemented since 2021 and applicable across core operational divisions. In FY2025, continuous quality control procedures were improvised, documentation standards and project delivery monitoring were further enhanced to ensure consistent service and project quality.

All projects and operations operate in alignment with these certified management systems, ensuring systematic management of environmental, health, safety and quality risks.

Sustainability Report

d) Supply Chain and Product Compliance

The Group also enforces compliance requirements across its supply chain to ensure product safety and market access

- i. Under the Agriventure BU, suppliers (planters) are required to apply for Skim Pensijilan Amalan Pertanian Baik Malaysia (myGAP) certification to ensure that agricultural produce supplied for manufacturing is safe for consumption and free from harmful chemicals or pesticides. This applies to both local and Singapore markets. As for exports to China, suppliers are required to obtain certified farm status (Sijil Ladang) in accordance with export regulations. In addition, water supplied by Ranhill SAJ (utility company responsible for water supply services in Johor) is treated using Reverse Osmosis (RO) systems prior to use in fruit washing processes. This treatment ensures water quality and supports hygiene standards in the handling and preparation of agricultural produce.

- ii. For the Hotel & Hospitality BU, kitchen product suppliers must possess valid halal certification, and all other products must comply with Radisson brand standards and relevant regulatory requirements.

The Group's regulatory framework is further supported by policies, training programmes, monitoring mechanisms and structured reporting processes.

Through these integrated compliance and certification initiatives, the Group demonstrates its ongoing commitment to regulatory adherence, ethical business practices and operational excellence across all its activities.

Stakeholder Feedback

Feedback from stakeholders continues to play a critical role in shaping our compliance strategies in FY2025. Through ongoing dialogue, particularly with regulators, we incorporate meaningful insights into our practices to ensure our compliance efforts remain aligned with stakeholder expectations and emerging requirements.

Looking ahead, we remain focused on elevating our compliance practices by further integrating them with our strategic and sustainability goals. This includes broadening training initiatives, strengthening a culture of accountability across all levels of the organisation, and maintaining close engagement with regulatory bodies to stay ahead of industry shifts. Upholding the highest standards of compliance continues to be a cornerstone of our operations and reinforces our commitment to responsible and sustainable growth in FY2025 and beyond.

C. Tax Compliance [GRI 207]

i) Our Tax Footprint

The Group contributes to national and international economic development through the payment of corporate income tax and other statutory taxes arising from its business activities. Our tax contributions reflect the value created through the operations across various BUs including construction, maintenance, trading, manufacturing, engineering consultancy, agriventure and hospitality services.

While the majority of our operations are based in Malaysia, the Group also generates international service income through its hospitality segment operating under the Park Inn by Radisson brand. As a result, we incurs withholding taxes in several foreign jurisdictions where these services are provided.

Approach to Tax [GRI 207-1]

The Group recognises tax as an important component of its economic contribution to the jurisdictions in which it operates and is committed to full compliance with all applicable tax laws and regulations.

We have a responsible and transparent approach to tax, ensuring that taxes are paid in accordance with the substance of its business activities and the value created through its operations.

We do not engage in aggressive tax planning or arrangements designed solely to reduce tax liabilities. All tax decisions are driven by commercial considerations and conducted in line with prevailing tax legislation and ethical business practices.

Sustainability Report

Tax Governance, Control and Risk Management

[207-2]

The Group operates a decentralised tax governance structure, enabling BUs to manage their tax obligations effectively while aligning with the Group's overall compliance objectives and applicable regulatory requirements.

Where intercompany transactions occur, transfer pricing policies are implemented to ensure that such transactions are conducted at an arm's-length basis in accordance with local transfer pricing regulations and international best practices.

Stakeholder Engagement and Management of Tax-Related Concerns

[GRI 207-3]

The Group maintains constructive and professional relationships with tax authorities, including the Inland Revenue Board of Malaysia and other relevant regulators. Each BU is responsible for liaising with tax authorities on operational tax matters, while significant issues are escalated to Group management where necessary.

The Group responds to tax audits, reviews and queries in a timely and cooperative manner, and seeks to resolve tax matters transparently and in accordance with established legal and administrative procedures.

Country-by-Country Reporting

[GRI 207-4]

The Group's primary tax contributions arise from its Malaysian operations. In addition, the Group records withholding taxes in several foreign jurisdictions relating to cross-border hospitality services. These taxes are deducted at source by foreign counterparties in accordance with local tax regulations and applicable tax treaties. The Group discloses its total corporate tax and withholding tax contributions as part of its sustainability reporting to enhance transparency regarding its economic impact.

Details	FY2025
Tax Payable (RM' million)	40.7
Effective Tax Rate (%)	26
Withholding Tax Paid (RM)	77,889.29
Transfer Pricing	Yes

During the reporting period, the Group's corporate income tax payable amounted to RM40.7 million, primarily arising from profitable operations in Malaysia. The Group recorded an effective tax rate of 26%, which is slightly above Malaysia's statutory corporate income tax rate of 24%. This reflects the impact of certain non-deductible expenses and tax adjustments while demonstrating the Group's continued commitment to complying with national tax regulations

In addition to corporate income tax, the Group incurred RM77,889.29 in withholding taxes across several international jurisdictions. These taxes mainly arise from hospitality service income associated with operations under the Park Inn by Radisson brand, where taxes are deducted at source by foreign counterparties in accordance with local tax regulations.

The Group maintains transfer pricing policies for applicable intercompany transactions to ensure compliance with relevant tax regulations and international best practices.

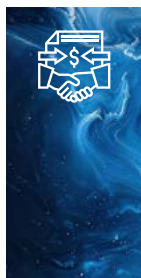
During the reporting period, the Group and its BUs complied with applicable tax laws and regulations. There were no material incidents of tax non-compliance, significant penalties or unresolved tax disputes that had a material impact on the Group's financial position or reputation.

Through the payment of corporate income taxes and other statutory taxes, the Group contributes to economic development and public finances in the jurisdictions where it operates, supporting infrastructure development, public services and broader economic growth.

Sustainability Report



Social



PROCUREMENT PRACTICES [GRI 204, GRI 308, GRI 414, GRI 412, GRI 205]

Related UNSDGs:



Why is this Important?

As a diversified enterprise engaged in every aspect of the construction and infrastructure value chain, Protasco plays a pivotal role in strengthening the local marketplace through our procurement practices. Our commitment to responsible procurement supports local industries, fosters the transfer of local knowledge, and contributes to the prosperity of the communities we serve.

We build and maintain trust with our external providers. This trust enables us to source competitively priced products and services that meet our specific needs while ensuring that our procurement activities align with our values and objectives. Our approach not only supports local economic development but also enhances our operational efficiency and effectiveness.

Our Approach

The Group adopts various approaches in implementing fair and equitable procurement practices.

Local Supplier Support and Engagement [GRI 204-1]	Supplier Environmental Assessment [GRI 308]	Supplier Social Assessment [GRI 414] Human Rights Assessment [GRI 412]	Anti-Corruption [GRI 205]
Prioritising suppliers and subcontractors from significant locations of operation to strengthen local economies and community development. Exceptions, such as sourcing specific products for the Hotel & Hospitality Division, comply with brand standards while maintaining procurement policies.	Annual evaluations of subcontractors, suppliers, and consultants by HCM and Prasarana Bistari (Construction Division) assess compliance with environmental laws, emission management, and resource efficiency. It is being done under the relevant management system.	Suppliers undergo annual evaluations on labour rights, health & safety, non-discrimination, and prohibition of child and forced labour. Worker documentation, including passports and work permits, is verified and copies are maintained for audits.	Procurement and payments are governed by the DAL, requiring management approval based on transaction value, ensuring ethical conduct and accountability.

Sustainability Report

Responsible Sourcing

While a uniform Group-wide ESG supplier selection framework is not yet established, several BUs have implemented focused initiatives.

BU	Focus Areas	Compliance Measures	Certifications / Requirements
Agriventure	Food safety, quality, price	Supplier declarations, lab test reports, documentation review	Halal certification, food safety compliance, myGAP (for agricultural produce)
Construction & Clean Energy	Quality, health & safety, anti-bribery	Pre-tender evaluation forms, Letter of Acceptance, desktop checks on contractor history and prior projects, on-site monitoring	ISO 45001 (OHS), ISO 14001 (Environment), ISO 37001 (Anti-Bribery), local statutory compliance
Hotel & Hospitality	Food safety, halal compliance, operational ESG standards	Supplier documentation review, periodic audits, operational spot checks	Halal certification, Radisson brand standards, relevant safety certifications

Fair and Equitable Practices

[GRI 2; GRI 308; GRI 414]

The Group ensures fairness, transparency, and integrity in procurement through competitive bidding, clear selection criteria, and stringent anti-corruption controls. These are governed by the DAL and certified management systems, including ISO 9001, ISO 37001, ISO 14001, and ISO 45001. Project-focused BUs, particularly Maintenance and Property Development & Construction, apply structured oversight and annual internal audits, while other BUs implement similar principles for office-related supplies. These practices build trust, prevent conflicts of interest, and reinforce supplier accountability.

Supplier Engagement and Knowledge Transfer

[GRI 2-23; GRI 2-24; GRI 2-26; GRI 308-1; GRI 308-2; GRI 414-1; GRI 414-2]

Suppliers are actively engaged through performance evaluations, feedback, ESG surveys, site visits, technical briefings, and product demonstrations.

In FY2025, the Construction Division continued ESG assessments covering regulatory compliance, environmental

management, labour rights, occupational health & safety, and anti-bribery conduct. Suppliers are required to submit integrity declarations and are reminded annually of compliance requirements.

Knowledge transfer initiatives in FY2025 focused on technical and operational expertise. For example, Clean Energy suppliers provides equipment and installation guidance, while Hotel suppliers conduct product updates and service briefings.

The Group plans to strengthen ESG-related capacity-building programmes progressively to enhance supplier capabilities, mutual growth, and long-term supply chain resilience.

Compliance and Ethical Standards

Our procurement activities adhere to internal policies, the DAL framework, and legal requirements such as OSHA and DOE regulations. All new suppliers within the core BUs are assessed under ISO 9001:2015 procedures, including quality systems, safety track records, and regulatory compliance. Ongoing monitoring occurs twice yearly using the Approved Supplier Monitoring Form. Non-compliant suppliers

receive Supplier Corrective Action Requests (SCAR), with repeated non-compliance resulting in blacklisting.

Maintenance, Trading & Manufacturing, Property and Construction BUs source from approved entities (CIDB, SIRIM, IKRAM Quality Assurance) to ensure compliance with contract specifications and industry standards. These measures safeguard project quality, reinforce ethical procurement, and strengthen supplier accountability across all operations.

Monitoring and Reporting

[GRI 2; GRI 204; GRI 308; GRI 414]

We monitor and report half yearly on the effectiveness of our procurement practices through performance metrics, audits, and regular assessments.

Procurement practices are monitored and reported semi-annually through performance metrics, audits, and supplier assessments. This oversight ensures transparency, tracks progress, supports timely corrective actions, and enhances the integrity and sustainability of the supply chain.

Sustainability Report

Our Performance

In the reporting period, our procurement practices have effectively supported our strategic objectives while enhancing local economic growth and sustainability. We have made significant strides in implementing and refining our procurement process through the ISO9001, reflecting our commitment to responsible and ethical sourcing.

Details	FY2025	FY2024	FY2023	FY2022	FY2021
Local Procurement Actual (RM)	130,272,345	277,059,071	298,483,994	259,381,475	4,942,232
Foreign Procurement Actual (RM)	3,795,115	6,762,126	3,002,531	818,349	3,020
Total Procurement Actual (RM)	134,067,460	283,821,197	301,486,526	263,199,824	4,945,252
Percentage of Local Procurement Actual	97.17%	97.62%	99.56%	98.55%	99.93%
Number of Local Suppliers	650	472	452	428	128
Number of Foreign Suppliers	10	9	15	14	1
Total Number of Suppliers	660	481	467	442	129
Percentage of Local Suppliers	98%	98%	97%	97%	99%
Number of suppliers screened / audited for good ESG performance	308	28	14	N/A	N/A
Number of suppliers removed from procurement list or cautioned for poor ESG performance	0	N/A	N/A	N/A	N/A
Number of suppliers endorsed anti-bribery anti-corruption policies	308	N/A	N/A	N/A	N/A

Interpretation:

a) Local Procurement Performance

[GRI 204-1]

The Group continues to demonstrate a strong commitment to supporting local economies. In FY2025, 97.17% of our total procurement spending was directed to local suppliers. Although this represents a slight decrease from FY2023 (99.56%) and FY2024 (97.62%), the percentage remains consistently above 97% over five years.

This consistently high proportion of local procurement reflects our strong reliance on domestic supply chains, continued contribution to local economic development, reduced exposure to foreign supply risks, and alignment with national economic participation objectives. The significant decrease in our total procurement value in FY2025 is attributed to project cycle variations and timing differences rather than a structural shift in the Group's sourcing strategy.

b) Supplier Base Expansion and Diversification [GRI 204]

The total number of suppliers increased significantly in FY2025, compared to FY2024, reflecting an expansion in the Group's operational footprint and project activities. Of these, 650 were local suppliers while only 10 were foreign suppliers, maintaining

a high local supplier representation of 98%. This trend indicates the Group's broader engagement of SMEs and domestic contractors, reinforcing strong participation within the local business ecosystem. The consistently low proportion of foreign suppliers further demonstrates that we continue to maintain a predominantly domestic procurement strategy.

c) ESG Screening and Supplier Assessment

[GRI 308-1, GRI 308-2, GRI 414-1, GRI 414-2]

The Group has made a significant improvement in supplier ESG screening, increasing from 14 suppliers in FY2023 to 28 in FY2024, and rising substantially to 308 suppliers in FY2025. This demonstrates a marked scaling-up of ESG oversight and aligns strongly with Global Reporting Initiative 308 (Environmental Assessment of Suppliers) and GRI 414 (Social Assessment of Suppliers), as well as Bursa Malaysia's expectations for supply chain ESG risk management. However, when it is compared to the total supplier base of 660 in FY2025, approximately 47% of suppliers were screened. While we acknowledge this reflects meaningful progress in strengthening ESG governance within the supply chain, it also indicates room for improvement in expanding our assessment coverage, particularly among non-project-based or ad hoc suppliers.

Sustainability Report

d) Ethical Governance and Anti-Corruption Commitment

[GRI 205-2; GRI 205-3]

In FY2025, 308 of the suppliers were required to update on their anti-bribery status, while no suppliers were removed or cautioned for poor ESG performance. As for the Construction Division all suppliers, vendors, contractors are frequently updated on the Anti-bribery and anti-corruption (ABAC) policies annually through emails. This demonstrates active communication of ethical standards, formal acknowledgment by nearly half of the supplier base especially relating to construction projects, and the strengthening of governance controls through supplier commitments. From a Bursa Malaysia governance perspective, these measures reflect enhanced third-party corruption risk mitigation, clear supplier-level ethical oversight, and alignment with Malaysia's anti-corruption regulatory framework. However in future, our disclosure will be further strengthened by providing the percentage of suppliers who signed ABAC relative to the total supplier base and clarifying whether high-risk suppliers are prioritised for monitoring and endorsement. This will be done progressively.

e) Supplier Performance and Risk Management

The absence of supplier removals for poor ESG performance in FY2025 indicates our strong compliance among suppliers, and screening processes. In line with GRI 308-2 and GRI 414-2, no significant ESG-related non-compliances were reported among suppliers, vendors and contractors in FY2025. This indicates strong adherence to environmental and social standards within the supply chain. While no corrective actions were necessary, we continue to apply rigorous monitoring and engagement practices, ensuring continuous improvement and transparency in supplier performance management.

f) Category Highlights

ESG Tracking & Support	Continuous monitoring of project-related suppliers; ad hoc suppliers not assessed. Low survey response noted; proactive measures planned.
Incident Reporting & Resolutions	No significant procurement incidents in FY2025.
Training & Capacity Building	Supplier Code of Conduct communicated; OSH safety training conducted; formal ESG training planned.
Regulatory Compliance	Continued adherence to OSHA and DOE standards; regular audits confirm compliance.



Sustainability Report



Social



COMMUNITY DEVELOPMENT [GRI 413-1, GRI 203-1, GRI 201-1]

Related UNSDGs:



Why is this Important?

At Protasco, our commitment to social responsibility drives us to actively invest in the growth and well-being of sustainable and inclusive communities. Our community investment efforts are an integral part of our corporate ethos, reflecting our dedication to creating lasting, positive impact in the areas where we operate.

Through targeted initiatives, we aim to support underserved groups, including B40 families, and provide meaningful opportunities for development. Employee volunteerism, strategic partnerships, and structured programmes across all BUs enable tangible outcomes in line with sustainable and inclusive community growth.

Our Approach

1 Supporting Community Projects and Initiatives

[GRI 413-1]

The Group undertakes environmental, social, and sustainability initiatives designed to protect natural ecosystems, support community well-being, and raise awareness of responsible practices. Programmes include health, education, and social support initiatives that empower communities and promote sustainable development.

2 Supporting Underserved Communities

[GRI 413-1, GRI 203-1]

We participate in initiatives that assist B40 families and vulnerable groups by providing essential resources, infrastructure improvements, and targeted community support. This includes aid for education, sports, flood relief, and school infrastructure development, in collaboration with external partners.

3 Employee Engagement

[GRI 413-1]

Our employees actively contribute through volunteer programmes, dedicating 384 hours across 124 community projects in FY2025. This fosters a culture of social responsibility and strengthens engagement with local communities.

Sustainability Report

Our Performance

During FY2025, all BUs contributed to community well-being through structured initiatives. Key highlights include:

a) Community Investment Metrics and KPIs

[GRI 201-1; GRI 203-1]

FY2025 Community Investment (Based on BUs)

BU	Percentage
Maintenance	80%
Engineering & Consultancy Services	10%
Hotel & Hospitality	4%
Trading & Manufacturing	4%
Clean Energy	2%
Property and Construction	1%

3-Year Comparison on the Protasco's Community Development [GRI 203-2; GRI 413-1]

Details	FY2025	FY2024	FY2023
Total amount invested where target beneficiaries are external to the Group (RM)	712,487	2,119,060	425,056
Total amount of direct cost invested (RM)	561,776	2,006,061	425,056
Total amount of indirect cost invested (RM)	150,711	112,999	N/A
Total number of beneficiaries in communities	13	6	6
Total number of programmes undertaken throughout the Group	124	126	102
Number of employees participating in community impact programmes	750	726	391
Total hours spent on community impact programmes	384	292	233

In FY2025, Protasco's community investment remained focused on delivering meaningful impact, with Maintenance contributing 80% of initiatives, followed by Engineering & Consultancy Services (10%) and other BUs making smaller contributions. The Group invested RM712,487 in 124 programmes, reaching 13 communities, with 750 employees contributing 384 volunteer hours, reflecting increased staff engagement compared to previous years. While total investment of the Group was lower than FY2024, the broader reach and structured allocation of direct and indirect costs demonstrate sustained commitment to social responsibility. Overall, we will continue to foster inclusive and sustainable community development by prioritising resources where operational presence is greatest, expanding beneficiary coverage, and strengthening employee participation, aligning with GRI 203-2 and 413-1 expectations.

Support for Underserved Communities

[GRI 413-1]

In FY2025, the Group prioritised initiatives that directly benefited underserved and vulnerable communities, particularly those aligned with poverty alleviation, food security, health, education, and social inclusion. Contributions under SDG 1 with 7 projects and SDG 2 with 13 projects focused on providing financial assistance, essential supplies, and food aid to low-income (B40) families. A significant portion of programmes supported SDG 3 with 35 projects, delivering medical assistance, welfare support, and community health initiatives aimed at improving quality of life.

A number of 19 projects related to education-related support under SDG 4 provided learning materials, school assistance, and access to better facilities for students from disadvantaged backgrounds. Efforts aligned with SDG 10 and SDG 5 further supported inclusive development by addressing social disparities and empowering vulnerable groups. Collectively, these targeted initiatives demonstrate the Group's commitment to uplifting underserved communities through structured, needs-based interventions that promote equitable access to basic necessities, healthcare, and education.

Educational Contributions

GRI 413-1, GRI 203-1

In FY2025, the Group continued to support education for underserved communities by providing learning materials, school assistance, and access to better educational facilities. Through 19 targeted projects aligned with SDG 4, we invested RM95,159 to enhance learning opportunities for students from B40 families and disadvantaged backgrounds. These initiatives aimed to improve educational outcomes, support academic development, and empower youth with the skills and resources needed for a better future.

Sustainability Report

Employee Volunteerism

[GRI 413-1]

During FY2025, 750 employees contributed to 384 volunteer hours across 124 community service projects, demonstrating strong commitment to social responsibility and active community engagement.

Social Impact Assessment (SIA)

[GRI 413-1, 413-2]

During the reporting period, none of the Group's active projects required a SIA. However, Tampin Phase 2 had its SIA completed and submitted in FY2023 before project commencement.

Although current projects did not necessitate an SIA, we remain committed to monitoring the social impacts of its operations. SIAs will continue to be conducted for projects where required, ensuring responsible operations that adhere to best practices and safeguard the interests of local communities.

Free, Prior, and Informed Consent (FPIC)

[GRI 413-2]

During this reporting period, none of the Group's projects required the application of FPIC, as no activities impacted indigenous peoples or communities, nor did they take place on lands traditionally owned or used by these groups.

Nonetheless, relevant BUs with the projects maintain ongoing dialogue with local communities throughout project lifecycles. Feedback is actively collected, addressed, and incorporated from project initiation until completion, particularly by the construction teams, ensuring community concerns are considered and local engagement is maintained.



Social



DIVERSITY [GRI 405: Diversity and Equal Opportunity]

Related UNSDGs:



Why is this Important?

Protasco recognises that a diverse workforce enriches our company by incorporating a wide range of perspectives, experiences, and ideas, which fuels creativity and enhances problem-solving capabilities. In today's complex and rapidly evolving business environment, leveraging the varied insights of a multi-ethnic and multi-cultural team is crucial for developing innovative solutions and strategies. As a Malaysian-based Group operating across multiple sectors, we believe that fostering a multi-ethnic, multi-generational, and inclusive workforce allows us to better reflect the communities we serve while remaining competitive and adaptable in the marketplace.

Our Approach

The Group is committed to cultivating a diverse and inclusive workplace where all employees are treated with dignity, fairness, and respect. This commitment is underpinned by our Human Rights Policy and Non-Discrimination Policy, which reinforce zero tolerance towards discrimination based on gender, ethnicity, religion, age,

or other socio-demographic factors; a merit-based employment framework where recruitment, performance evaluation, promotions, and career development are determined solely by performance, skills, competencies, and qualifications; and alignment with applicable regulatory guidance and recognised best practices to promote diversity at all levels of the organisation, including the Board and Senior Management.

Sustainability Report

Leadership and Governance Diversity

[GRI 405-1]

The Group remains committed to strengthening diversity at the highest levels of leadership, including the Board of Directors and Senior Management. Key focus areas include increasing female participation in managerial and leadership roles through an initial internal target of 30% female representation at the managerial level as a foundational milestone, encouraging more balanced leadership representation within a traditionally male-dominated construction industry, and periodically reviewing Board composition to enhance diversity in terms of gender, age, and experience, in line with applicable regulatory expectations and best practices.

Recruitment and Hiring Practices

[GRI 405-1; GRI 401-1]

The Group adopts fair and unbiased recruitment practices to ensure equal employment opportunities for all candidates.

Our approach includes avoiding the specification of gender or ethnicity in job advertisements unless role-specific requirements necessitate otherwise, applying consistent and standardised selection criteria across all BUs, and ensuring that recruitment decisions are based solely on job relevance, qualifications, and experience. Specific diversity-related recruitment data will continue to be tracked and disclosed as part of the Group's ongoing efforts to strengthen transparency and continuous improvement.

Supportive Policies and Inclusive Practices

[GRI 405-1, GRI 406-1]

The Group is committed to fostering a diverse and inclusive workforce through strict adherence to Malaysian labour laws and best employment practices. We ensure through our Group Human Resource Department compliance with employment standards, fair wage policies, and protection of employee rights, reinforcing a workplace grounded in fairness and equity.

Diversity and non-discrimination principles are fully integrated into our HR policies, covering recruitment, training, performance evaluation, and employee engagement programmes. All Group-wide initiatives, including training sessions and events, are designed to be inclusive, ensuring accessibility and participation for employees across different genders, ethnicities, and age groups.

The Group maintains robust compliance mechanisms, including formal HR policies aligned with statutory requirements, and mandatory training for employees and managers. Contributions to EPF and SOCSO, adherence to minimum wage regulations, and systematic monitoring of working hours and leave entitlements underscore our commitment to lawful and ethical employment practices.

During FY2025, no labour law violations were reported, demonstrating the effectiveness of these policies and our dedication to maintaining a fair, safe, and compliant workplace.

Commitment Towards Diversity

[GRI 405-1, GRI 406-1]

The Group upholds a strong commitment to diversity, equity, and inclusion through its Human Rights Policy and a robust Non-Discrimination Policy. These policies reflect our zero-tolerance stance towards

any form of discrimination, ensuring that all employees, regardless of race, gender, religion, age, or other socio-demographic factors are treated equitably, with dignity and respect.

The Group has established clear and actionable targets to strengthen gender and cultural diversity across all BUs. Recognising that the construction industry is traditionally male dominated, we set a target of 20% female representation in managerial positions and is actively creating opportunities for women to advance into leadership roles. This commitment to equitable gender representation extends to the Board of Directors and Senior Management, reinforcing a balanced and inclusive governance structure.

Aligned with relevant regulatory guidance, the Group's Diversity Policy ensures that leadership at all levels reflects diversity, while fostering a workplace culture that values different perspectives, nurtures talent, and empowers employees across the organisation.

Measuring and Monitoring Progress

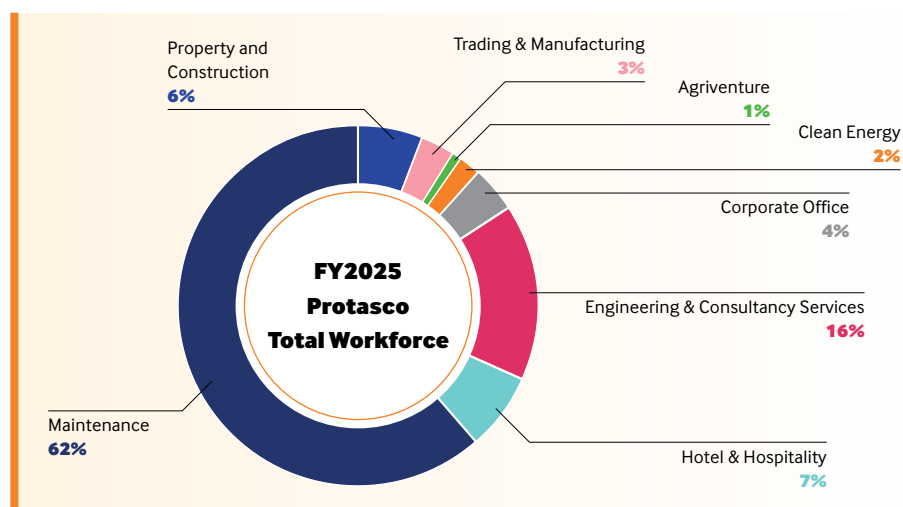
[GRI 405-1, GRI 401-1, GRI 405-2, GRI 406-1]

Our performance evaluation process is strictly merit-based, focusing solely on employees' skills, performance, capabilities, and qualifications. Factors such as ethnicity, gender, marital status, or other socio-demographic characteristics are excluded from assessments and promotion decisions, reinforcing fairness and equity across the organisation. All HR policies, including the Group's HR Manual and related procedural documents, embed principles of inclusivity and equal opportunity. This ensures that programmes and initiatives across the Group accommodate employees of diverse genders, ethnicities, and age groups, while maintaining compliance with Malaysian labour laws and relevant employment regulations.

Sustainability Report

Our Performance

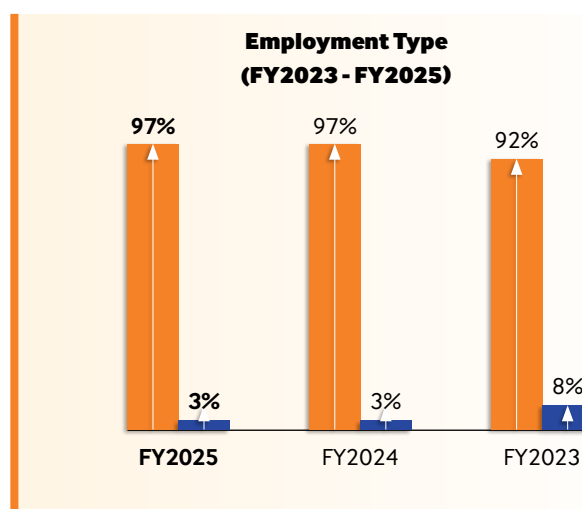
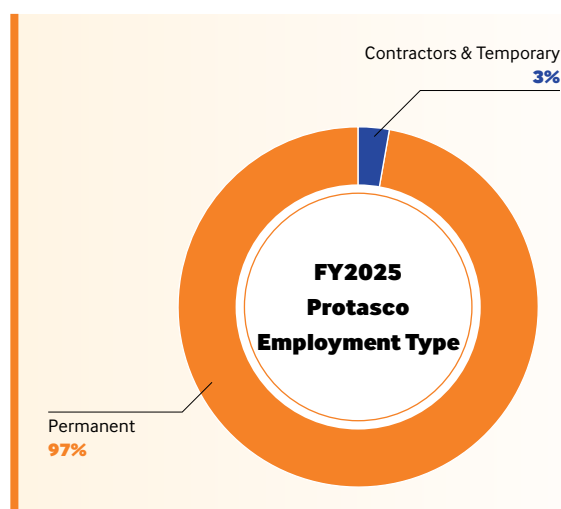
Total Workforce Composition



As of FY2025, the Group's total workforce, inclusive of permanent and temporary employees, is distributed across its BUs with Maintenance (62%), Engineering & Consultancy Services (16%), Hotel & Hospitality (7%), Property and Construction (6%), Corporate Office (4%), Trading & Manufacturing (3%), Clean Energy (2%), and Agriventure (1%).

This distribution highlights the Group's operational focus, strength and the diversity of roles across both operational and corporate functions.

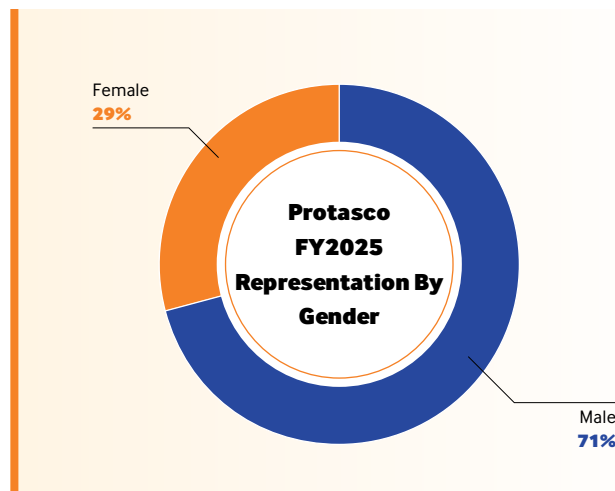
FY2025 Workforce by Employment Type [GRI 2-7, GRI 401-1]



In FY2025, the vast majority of the Group's workforce consisted of permanent employees with full benefits, representing 97% of the total workforce, consistent with FY2024 and an increase from 92% in FY2023. Contractors and temporary staff accounted for 3%, remaining stable compared to FY2024 and decreasing from 8% in FY2023. This distribution reflects the Group's commitment to employment stability, workforce retention, and operational continuity in its construction and infrastructure maintenance activities, while still allowing for selective engagement of temporary or specialised personnel to meet short-term project demands.

Sustainability Report

FY2025 Workforce Gender Composition [GRI 405-1]



As of FY2025, the Group's workforce comprised 1,257 employees, inclusive of both permanent and temporary staff. The gender distribution was 71% male and 29% female across all BUs.

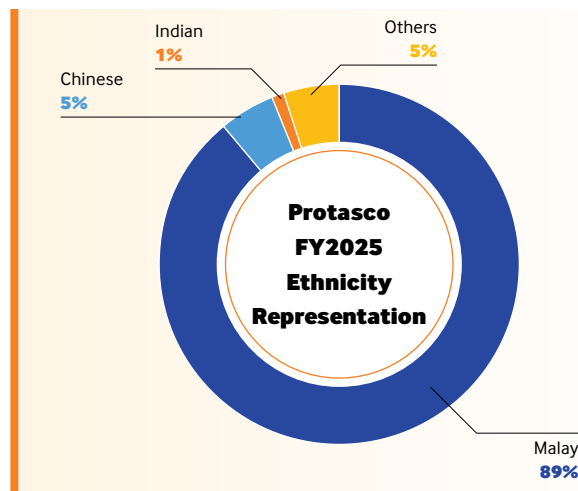
Our workforce distribution highlights a male-dominated composition in operational units, particularly Maintenance (76% male) and Engineering & Consultancy Services (72% male), reflecting the technical and field-based nature of these roles. Conversely, BUs such as the Corporate Office (64% female) and Property and Construction (50% female) shows more balanced gender representation, indicative of office-based or administrative functions.

FY2025 Age Breakdown by Employee Category [GRI 405-1]

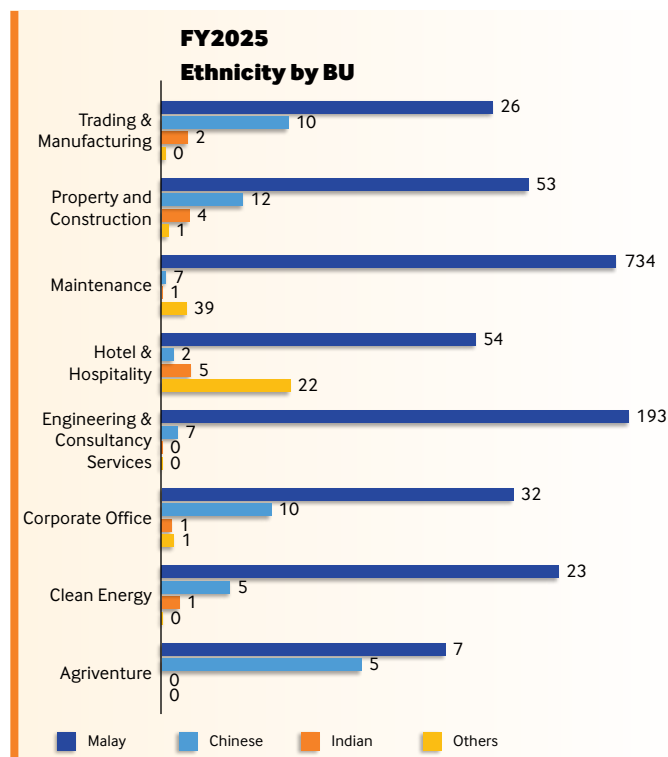
Category	<30 years old	30-50 years old	>50 years old
Senior Management	0%	1%	12%
Middle Management	0%	11%	23%
Executive	56%	41%	29%
Non-Executive	44%	47%	36%

The workforce profile shows that younger employees (<30 years) are concentrated at the Executive (56%) and Non-Executive (44%) levels, with no representation in management. The 30-50 age group forms the core of the workforce, primarily at Non-Executive (47%) and Executive (41%) levels, with a moderate presence in Middle Management (11%). Employees above 50 years are more represented in leadership roles, with 35% in Senior and Middle Management combined, indicating that senior positions are largely occupied by more experienced employees.

FY2025 Workforce Ethnic Composition [GRI 405-1]



Across the BU, workforce is predominantly Malay, with representation from Chinese, Indian, and other ethnic groups. While the composition varies by BU, the workforce reflects the multi-ethnic nature of Malaysia and the Group's commitment to fostering an inclusive and equitable workplace that values diversity across all levels of the organisation.



Sustainability Report

FY2025 Women Participation in Management [GRI 405-1]

(i) Management Position

In the reporting period, our procurement practices have effectively supported our strategic objectives while enhancing local economic growth and sustainability. We have made significant strides in implementing and refining our procurement process through the ISO9001, reflecting our commitment to responsible and ethical sourcing.

Details	FY2025	FY2024	FY2023	FY2022	FY2021
Number of female managerial staff	53	104	70	70	72
Number of male managerial staff	113	196	132	129	134
Total staff at the managerial level	170	300	202	199	206
Percentage of female managerial staff	31%	35%	35%	35%	35%
Percentage of male managerial staff	69%	65%	65%	65%	65%

In FY2025, women represented approximately 31% of managerial positions, reflecting a slight decline from previous years when female representation at the managerial level was higher, largely due to the Education BU that previously employed a significant number of women. The absence of that BU in the current structure contributed to this reduction; however, the percentage remains within the Group's 20% target for female participation in management, demonstrating continued commitment to gender diversity in leadership.

The Group continues to actively promote opportunities for women in managerial and decision-making roles across all BUs and regularly monitors progress to ensure alignment with the Group's diversity and inclusion objectives.

ii) Gender Breakdown by Employee Category in FY2025

Employee Category	Male (%)	Female (%)
Senior Management	81%	19%
Middle Management	65%	35%
Executive	58%	42%
Non-Executive	84%	16%

In FY2025, the Group's workforce composition by employee category reflects varying levels of gender representation across organisational levels. Female representation is most prominent at the Executive level (42%), indicating encouraging participation of women in professional and technical roles within the organisation. Middle Management also demonstrates

a relatively balanced composition, with 35% female representation, reflecting gradual progress in developing a diverse leadership pipeline.

However, our Senior Management (19% female) and Non-Executive roles (16% female) remain predominantly male. This distribution partly reflects the operational nature of several core BUs within the Group, where technical and field-based roles are traditionally male-dominated.

Nevertheless, The Group remains committed to strengthening gender diversity and inclusion, particularly by encouraging greater female participation in leadership and decision-making roles through talent development, equitable career advancement opportunities, and inclusive workplace policies.

Sustainability Report

iii) Gender Pay

The table below presents a comparison of gender pay. Reporting began in FY2023 and will continue to ensure ongoing transparency and accountability.

3 Years Comparison for Gender Pay

Indicator	FY2025	FY2024	FY2023
Average Hourly Pay (Male)	RM555	RM953	RM256
Average Hourly Pay (Female)	RM461	RM778	RM199
Pay Difference (RM)	RM95	RM175	RM57
Gender Pay Gap (%)	17%	18%	22%

Note:

1. An error was identified in the previously reported FY2023 pay difference, which was incorrectly stated as 56. The table above reflects the corrected value, ensuring accurate and reliable disclosure of our diversity and pay equity metrics.
2. FY2023: Initial data capturing for limited employees and BUs.
3. FY2024: Expanded reporting scope with additional BUs included.
4. FY2025: Education BU excluded from reporting scope.

Our analysis of average hourly pay shows that male employees earned RM555 in FY2025, compared to RM461 for female employees, resulting in a gender pay gap of 17%. FY2024 recorded higher average pay for both genders due to our reporting scope, while FY2023 figures were lower as data capturing was limited to fewer employees and units. Despite these variations, the gender pay gap remained relatively stable, demonstrating the Group's commitment to fair and equitable remuneration practices.

iv) Board Representation

The table below presents a comparison of gender pay. Reporting began in FY2023 and will continue to ensure ongoing transparency and accountability.

3 Years Comparison for Gender Pay

Category	FY2025	FY2024	FY2023
Age Group			
Under 30	0%	0%	0%
Between 30-50	14%	29%	29%
Above 50	86%	71%	71%
Ethnicity			
Malay	29%	29%	29%
Chinese	71%	71%	71%
Indian	0%	0%	0%
Others	0%	0%	0%
Nationality			
Local	100%	100%	100%
Foreign	0%	0%	0%

Sustainability Report

The Board's diversity profile has remained largely unchanged over the past three years, with gender composition steady at 71% male and 29% female. In terms of age, the Board continues to be predominantly represented by directors above 50 years old, increasing from 71% in FY2023 and FY2024 to 86% in FY2025, with no members under 30. Ethnically, the composition has remained consistent, comprising 71% Chinese and 29% Malay directors, while all Board members are Malaysian nationals. The Group has a stable Board composition, with limited changes in diversity across the reporting period.

5 Years Comparison of the Board Gender Representation [GRI 405-1]

Board Gender Representation (Five-Year Comparison)

Category	FY2025	FY2025	FY2024	FY2024	FY2023	FY2023	FY2022	FY2022	FY2021	FY2021
	Nos	%	Nos	%	Nos	%	Nos	%	Nos	%
Male	5	71%	5	71%	5	71%	5	71%	6	75%
Female	2	29%	2	29%	2	29%	2	29%	2	25%
Total	7	100%	7	100%	7	100%	7	100%	8	100%

Female representation on Protasco's Board has remained stable over the past five years. Women held 25% of Board seats in FY2021 and 29% from FY2022 to FY2025, with two female directors maintained throughout this period. The trend shows consistency but limited progress, with representation remaining slightly below the 30% diversity benchmark.



Social



OCCUPATIONAL, SAFETY & HEALTH [GRI 403]

Related UNSDGs:



Why is this Important?

Occupational Safety and Health (OSH) is a non-negotiable priority at Protasco, given the inherent risks associated with our construction and infrastructure activities. We believe that robust OSH practices safeguard our workforce, the communities we serve, and ensure operational continuity. The potential repercussions of an OSH incident extend beyond immediate project delays. They can disrupt our operations, jeopardise project timelines, impact revenue streams, and affect Group's reputation. Maintaining high standards of safety also ensures compliance with regulatory requirements, secures investor confidence, and supports our long-term sustainability.

By prioritising OSH, we invest in employee well-being, minimise disruptions, and reinforce Protasco's commitment to delivering high-quality projects and services safely.

Sustainability Report

Our Approach

Occupational Health and Safety Management System [GRI 403-1]

At Protasco, OSH is a core part of our culture and operations across all BUs, especially Maintenance, Property, and Construction. Our OSH Policy applies to all employees and third-party workers from all various business segments within the Group and is fully aligned with the DOSH and the Environmental Quality Act 1974 (EQA), ensuring compliance with national regulations.

Each BU has an active OSH committee that conducts regular activities, including annual training sessions such as fire drills, audits, and quarterly meetings, while reporting key OSH metrics such as total manhours, fatalities, and other work-related incidents to the Group. These measures ensure continuous monitoring and improvement of workplace safety practices.

In our road maintenance and property construction-focused BUs, including Prasarana Bistari, HCM, and Roadcare, ISO 45001 certification has been achieved and maintained, reflecting our commitment to international best practices in occupational health and safety. Prasarana Bistari and HCM have held certification since FY2022, while Roadcare obtained certification in FY2025. Across all BUs, we prioritise the provision of appropriate personal protective equipment, comprehensive safety training, and active leadership oversight, with HSE matters regularly reported to key executives.

Since 2019, the Group's adherence to both project and workplace safety & health, underscores our dedication to upholding the highest OSH standards and safeguarding the well-being of employees, contractors, and stakeholders.

Hazard Identification, Risk Assessment, and Incident Investigation (HIRARC) [GRI 403-2]

The Group, with a particular focus on property construction and road construction and maintenance, proactively manages workplace risks through a comprehensive HIRARC process. For every project, the Traffic and Safety Department conducts detailed assessments to identify potential hazards, evaluate associated risks, and implement tailored mitigation strategies prior to the commencement of work.

These measures are designed to protect employees, contractors, the public, and the environment, ensuring compliance with relevant DOE guidelines and reinforcing a safe and secure work environment across all operations.

Occupational Health Services and Promotion of Worker Health [GRI 403-3; GRI 403-6]

The Group supports employee well-being through comprehensive occupational health services and wellness initiatives. Employees have access to preventive healthcare, medical support, and mental health programmes, while awareness campaigns and health promotion activities foster a culture of holistic well-being. By prioritising both physical and mental health, we ensure a safe, productive, and resilient workforce.

At the project sites, in FY2025, the Maintenance team conducted audiometric tests for on-site employees exposed to noise, carried out by Occupational Health Doctors (OHD) registered with DOSH. In addition, noise risk assessments were performed by DOSH-registered noise assessors, and Chemical Hazard Risk Assessments (CHRA) were conducted to ensure chemicals used in operations are safely managed, monitored, and handled.

For communicable health concerns, such as influenza, the HR department especially within the Hotel & Hospitality monitors all staff and directs them to medical clinics if symptoms are reported. Security personnel conducting daily attendance checks also inquire about symptoms, ensuring that any affected staff receive appropriate testing and care.

At the Group level various programmes were conducted such as Health Screening Day by National Kidney Foundation (NKF), World Mental Health Day and ActivQWork Challenge.

All these measures reflect the Group's proactive approach to workplace health monitoring, early detection, and prevention, reinforcing a safe and healthy work environment for all employees and to ensure it does not affect to other stakeholders if it is infectious.



Sustainability Report

Worker Participation, Consultation, and Training

[GRI 403-4; GRI 403-5]

The Group actively engages employees and contractors in OSH through HSE committees, safety consultations, and regular feedback mechanisms. This participatory approach ensures that safety is a shared responsibility across all levels of operations.

Comprehensive training programmes equip both employees and contractors with the knowledge and skills necessary for safe work execution, emergency response, and proper use of personal protective equipment. These initiatives are reinforced by quarterly audits and evaluations, promoting adherence to safety protocols and cultivating a culture of vigilance and accountability.

Key employee training programmes conducted across all BUs include:

- Basic Occupational First Aid, CPR, and AED courses
- Working Safely at Height refresher training
- Fire drills and workplace inductions
- Health and safety awareness, including the dangers of smoking and vaping
- Stress management and mental health programmes
- Toolbox briefings (for on-site staff only)

For contractors, we provides:

- Safety awareness sessions
- Toolbox talks and safety briefings
- Temporary Construction Dock (TCD) inspections
- Routine maintenance safety protocols
- Safety inductions for new and ongoing project personnel

Through these initiatives, we ensure that all our personnel, employees and contractors alike are actively involved in maintaining a safe and healthy work environment.

In FY2025, both employees and contractors received various training sessions on health and safety. The table below presents a three-year comparison of the training provided.

No. of Training	FY2025		FY2024		FY2023	
	Employees	Contractors	Employees	Contractors	Employees	Contractors
Trained on health and safety standards	694	592	699	498	838	N/A
No. of training and awareness on safety & health	201	102	374	100	39	N/A

Sustainability Report

Prevention and Mitigation in Business Relationships

[GRI 403-7]

Safety extends beyond our Group's direct workforce to include contractors and third-party partners across our value chain. All on-site contractors are required to comply with the Group's OSH policies and procedures, ensuring consistent safety standards and effective mitigation of occupational risks across all project sites. Compliance is reinforced through contractual obligations, safety inductions, regular monitoring, and performance evaluations.

Contractors are integrated into the Group's safety management framework, with key safety performance indicators such as total manhours worked, number of fatalities, recordable incidents, and safety training hours tracked and reported alongside employee data. This ensures transparency, accountability, and alignment with Group-wide HSE objectives.

To strengthen prevention and mitigation measures, the Group implements the following practices for contractors:

- Mandatory Safety Induction prior to site mobilisation
- Monthly toolbox meetings and regular safety briefings
- Monthly site meetings and audits to assess compliance
- Monthly on-site machinery inspections
- Annual OSH policy refresher briefings

During toolbox sessions conducted by the Maintenance Traffic and Safety Executive, safety compliance across all sites is reviewed, including subcontractor performance. Through a digital monitoring platform, the Roadcare Apps, subcontractors are required to update daily safety compliance records. This enables real-time monitoring by Management and the OSH Officer, strengthening oversight and early risk detection.

Additional preventive health measures are also implemented where relevant. For construction sites employing foreign workers, annual anti-malaria blood tests are conducted by the local Health Department in Tampin. In the Hotel operations, outsourced foreign workers undergo medical screening to ensure fitness for work and to safeguard overall workplace health standards.

Through these structured controls and monitoring mechanisms, we ensure that safety expectations are consistently upheld across all business relationships, reinforcing a proactive and integrated approach to occupational health and safety throughout the value chain.

Work-Related Injuries and Ill Health

[GRI 403-9; GRI 403-10]

Protasco monitors work-related incidents through Lost Time Workday Rate (LTWR) and Lost Time Incident Rate (LTIR), capturing data on fatalities, injuries, and occupational illnesses.

Key OSH Data (FY2023–FY2025)

No. of Training	FY2025		FY2024		FY2023	
	Employees	Contractors	Employees	Contractors	Employees	Contractors
Total Hours Worked	2,437,288	7,313,704	2,059,632	6,789,412	1,401,944	6,961,624
Number of work-related fatalities	0	0	1	0	0	0
Lost Time Workday Rate (LTWR)	0	0	2,918.48	0	N/A	N/A
Lost Time Incident Rate (LTIR)	0	0	0.97	0	N/A	N/A

Despite increasing operational exposure (higher manhours), the Group achieved substantial improvements in safety performance in FY2025, including zero fatalities and zero lost time incidents. This outcome underscores the effectiveness of our strengthened HSE leadership oversight, ISO 45001 implementation, enhanced contractor monitoring (including digital reporting systems), and proactive health and safety interventions across all BUs.

Sustainability Report



Social



CUSTOMER SATISFACTION [GRI 2-25; GRI 2-29; GRI 416; GRI 417; GRI 418]

Related UNSDGs:



Why is this Important?

For Protasco, customer satisfaction is the cornerstone of our business growth and long-term business sustainability. Our diverse operations, which include agriventure, construction, property, maintenance, clean energy, engineering & consultancy services and trading & manufacturing, are driven by a commitment to delivering exceptional value. These operations involve direct engagement with customers, government agencies, and business partners, making service quality, reliability, and safety critical to business performance. By leveraging our integrated ecosystem of services, we enhance the quality, safety, and sustainability of our offerings. Our ability to share expertise and insights across these sectors enables us to deliver superior products and services that meet and exceed customer expectations. Maintaining high levels of customer satisfaction not only strengthens our relationships but also drives innovation and excellence across all areas of our business.

Through stakeholder engagement and materiality assessment processes, customer satisfaction has been identified as one the material topic due to expectations for high-quality service delivery, project reliability, safety, transparency, and responsiveness.

Our Approach

Stakeholder Engagement [GRI 2-29]

The Group actively engages with customers and clients across all business divisions to understand their expectations, address concerns, and continuously improve service delivery.

Engagement is conducted through various channels, including customer satisfaction surveys, project performance reviews, contract meetings, client feedback sessions, formal complaint and grievance mechanisms, as well as digital communication platforms and customer service touchpoints. Feedback collected through these channels is analysed at the BU level and escalated to management when necessary. Common issues raised by customers typically relate to service quality and reliability, timely project

delivery, health and safety performance, technical competence and innovation, and responsiveness to complaints and defects. Insights gained from these engagements are used to drive operational improvements, strengthen risk management practices, and support strategic decision-making across the Group.

In the Maintenance Division, customer surveys are specifically monitored under ISO 9001 standards. Survey forms are disseminated directly to customers in the field, including road users and communities surrounding the roads maintained by the Group. Clients also provide performance evaluations for the Maintenance business. For example, Kementerian Kerja Raya (KKR), as a customer, evaluated Road Care and DAL HCM, awarding them a 5-star rating, while the CIDB also awarded 5-star ratings for our performance as their service provider. Similarly, once projects are completed,

survey forms are sent to clients and monitored under ISO 9001 to track service quality and client satisfaction.

Other divisions also implement formal feedback mechanisms. The Agriventure Division provides Rejection/Feedback Forms directly to customers to obtain feedback for improvements to their products, while for the Hotel & Hospitality Division the Marketing & Communications (Marcomm) team handles guest reviews and feedback, including complaints and compliments received via Review Pro, typically upon customer departure.

Through these structured feedback processes, the Group ensures that customer insights are systematically captured, analysed, and used to enhance service quality, operational efficiency, and overall client satisfaction across all business divisions.

Sustainability Report

Quality Management Systems Across BUs

BU's	Quality Management System	Companies
Engineering & Consultancy Services	ISO9001:2015	Ikram Engineering Services Sdn Bhd Ikram Paves Sdn Bhd Ikram Premier Consulting Sdn Bhd
	ISO 17025	Ikram Paves Sdn Bhd Ikram QA Services Sdn Bhd
	ISO 17065	Ikram QA Services Sdn Bhd
	CIDB G7/SPKK	Ikram Engineering Services Sdn Bhd
	BEM	Ikram Premier Consulting Sdn Bhd Ikram Engineering Consulting Sdn Bhd
Maintenance	ISO9001:2015	Empayar Indera Sdn Bhd Roadcare (M) Sdn Bhd
	ISO45001:2018	Roadcare (M) Sdn Bhd
Construction	ISO9001:2015	Prasarana Bistari Sdn Bhd HCM Engineering Sdn Bhd
	ISO 14001:2015	
	ISO 45001:2018	
	ISO37001:2025	
Property	ISO9001:2015	Kumpulan Ikram Sdn Bhd
Trading & Manufacturing	ISO9001:2015	Protasco Trading Sdn Bhd

Quality Assessment System within Construction

As part of our commitment to enhancing workmanship quality, our internal Property Development and Construction team continuously strives to exceed industry standards for both landed housing and stratified buildings. We conduct thorough quality assessments of each construction unit, identifying and recording defects for rectification before handover to purchasers. This proactive approach has significantly improved construction quality and contributed to a reduction in customer complaints.

Remediation of Negative Impacts

[GRI 2-25]

The Group maintains structured processes to address customer complaints, service deficiencies, and product-related issues across all BUs. These processes include formal complaint and grievance channels, investigation and root-cause analysis of reported issues, and the implementation of corrective and preventive actions under the Quality Management System. Defects or service issues are rectified within agreed timelines, with ongoing

communication and follow-up to confirm resolution with the customer. Significant complaints or contractual disputes are escalated to senior management for review and resolution. Lessons learned from these cases are incorporated into operational improvements, staff training, and process enhancements to prevent recurrence. For customer complaints within the Construction Division, time frames for resolution are established and approved by clients depending on the nature and complexity of the issue. Once the corrective actions are completed, a formal mutual handover is conducted to officially close the case.

In the case of rejected products, the issue is debriefed with the team to ensure understanding, and more focused management and quality checks are implemented before the product is sent out again. This approach is specifically applied in the Agriventure Division to ensure continuous improvement and prevent recurrence of similar issues.

Customer Feedback and Continuous Improvement

Each BU's customer feedback is systematically integrated into management review meetings, process optimisation initiatives, service delivery improvements, and training and competency development programmes. By incorporating customer insights into these key operational areas, the Group ensures that expectations are consistently met while fostering continuous improvement and strengthening long-term customer relationships.

Sustainability Report

Our Performance

Customer Grievances

Product & Service Responsibility	FY2025	FY2024	FY2023
No. of product/service-related complaints received	6,977	5,240	7,457
No. of complaints that has been dealt (year of reporting)	5,050	5,132	7,412

In FY2025, the Group recorded 6,977 product and service-related complaints, with the majority originating from the Maintenance and Property and Construction BUs. These complaints were largely associated with road issues and property defects, which typically require coordination among multiple parties including contractors, suppliers, and internal technical teams, resulting in more complex resolution processes.

During the reporting year, 5,050 complaints were successfully resolved, while the remaining cases were carried forward due to their technical complexity and multi-stakeholder involvement. The fluctuation in complaint volumes reflects the operational nature of these business segments, improved transparency in reporting, and the Group's structured approach to managing grievances through formalised processes and active stakeholder engagement.

FY2025 Product- and Service-Related Complaints

Metric	FY2025	Notes / Explanation
Total product- and service-related complaints	6,977	Complaints mainly from Maintenance and Property and Construction BUs
Primary complaint types	Road issues, property defects	Often require coordination among contractors, suppliers, and internal teams
Resolution approach	Rework and corrective actions based on customer feedback	Ensures issues are addressed and quality improved
Major defects or safety incidents leading to legal proceedings	0	No incidents reported in FY2025

Customer Satisfaction Average Score

Year	FY2025	FY2024	FY2023
Customer Satisfaction Score	88%	88%	86%

Despite operational challenges, customer perception remained resilient. The Customer Satisfaction Score was sustained at 88% in FY2025, consistent with FY2024 and improved from 86% in FY2023. This stable performance indicates that the Group has maintained customer confidence and service reliability even amid varying complaint volumes. While the consistent 88% score reflects strong foundational service quality, we acknowledge that it does highlight an opportunity to further strengthen preventive quality controls, enhance responsiveness, and drive service innovation to achieve incremental improvements in customer satisfaction.

Sustainability Report

Our Performance

Customer Health and Safety [GRI 416-2]

FY2025 Complaints Related to Health & Safety

Metric	FY2025
Number of complaints received regarding non-compliance with health & safety impacts	4,872
Number of product/service-related complaints received (total)	6,977
Number of complaints dealt with through CRM/grievance mechanisms	5,050

Assessment of Health & Safety Impacts

Metric	FY2025
Assessment reports conducted on health & safety impacts of products/ services	4,896
Assessment reports pending	0
Total assessment reports for the year	4,896



In FY2025, the Group received a total of 6,977 product and service-related complaints, of which approximately 4,872 (70%) were specifically related to the health and safety impacts of its products and services. This high proportion underscores the critical importance of robust monitoring, reporting, and mitigation practices to safeguard customers. Through the respective BUs Customer Relationship Management (CRM) system and grievance mechanisms, 5,050 complaints were addressed within the reporting period, reflecting a proactive and responsive approach to resolution. While some complaints remained unresolved due to their complexity or the involvement of multiple stakeholders, particularly in the Maintenance, Property and Construction BUs, these instances highlight the Group's commitment to managing intricate operational challenges without compromising customer safety or accountability.

Complementing complaint management, the related BUs conducted 4,896 assessments to evaluate the health and safety impacts of its products and services, with no pending assessments by year-end. This demonstrates a systematic and proactive approach to identifying and mitigating potential risks, ensuring that all products and services were reviewed in line with compliance requirements and customer protection standards. The comprehensive coverage of assessments, coupled with structured complaint handling, highlights the Group's diligence in preventing adverse health and safety outcomes and its commitment to continuous improvement in operational safety and customer trust.

Overall, FY2025 reflects the Group's ongoing focus on customer safety, risk awareness, and effective grievance management, balancing operational complexity with transparent and accountable processes.

Sustainability Report

Marketing and Labelling

[GRI 417-2; GRI 417-3]

During FY2025, the Group recorded no incidents of non-compliance related to product and service information, labelling, or marketing communications. All BUs adhered fully to applicable regulations, standards, and voluntary codes, reflecting a strong commitment to transparency and accuracy in customer communications.

The Group maintains stringent oversight to prevent misleading or deceptive practices in product labelling and marketing materials. All projects and initiatives are marketed only after obtaining relevant approvals (e.g., from the Ministry of Housing and Local Government for sales of housing), and product labelling complies with statutory requirements, such as the Food Act 1983 for food products. For the Hotel & Hospitality business, all communications and labelling comply with brand standards, ensuring consistency and quality across services.

These measures reinforce the Group's commitment to ethical marketing, accurate product information, and customer trust, aligning with both regulatory obligations and best practise standards.

Customer Privacy

[GRI 418-1]

During the reporting period, there were no substantiated complaints concerning breaches of customer privacy or losses of customer data, reflecting the Group's commitment to stakeholder trust and regulatory compliance.

The Group ensures that all BUs comply with the requirements of the Personal Data Protection Act 2010 (PDPA). Compliance is maintained through operational oversight and coordination with BUs to ensure that personal data is collected, processed, stored, and retained in accordance with statutory obligations. Hotel & Hospitality Division for instance conducts regular operational spot checks to verify adherence to data handling procedures and ensure that personal data is collected, processed, stored, and retained in accordance with regulatory obligations.

The Group will continue to monitor compliance across all BUs and promptly address any potential issues, ensuring that its commitment to ethical conduct, confidentiality, and transparency in managing customer information is consistently upheld.



Social



DATA PRIVACY & CYBERSECURITY

[GRI 2-25; GRI 2-29; GRI 3-1; GRI 3-2; GRI 3-3; GRI 418]

Related UNSDGs:



Why is this Important?

In our mission to harness technology for greater operational efficiency and a competitive edge, the Group is dedicated to advancing stakeholder value through innovative and digital solutions. Digitalisation, a cornerstone of our IAP 2.0 strategy and continued into IAP 3.0, is central to our ongoing progress and success.

We recognise the heightened importance of robust data privacy and cybersecurity measures. Ensuring the protection of our data against breaches and cyber threats is critical to maintaining the integrity of our operations and safeguarding stakeholder trust.

Effective data security is not only essential for operational continuity but also for upholding our reputation. Vulnerabilities or breaches can undermine stakeholder confidence and disrupt our business engagements. By prioritising cybersecurity, we are committed to protecting our stakeholders and maintaining a secure, reliable digital environment.

Sustainability Report

Our Approach				
1 Policy and Commitment	2 Data Privacy	3 Cybersecurity	4 Training and Awareness	5 Monitoring and Continuous Improvements
The Group remains committed to upholding the highest standards of data privacy and cybersecurity. We have implemented policies to safeguard stakeholder information, secure our digital infrastructure, and ensure compliance with relevant regulations, including the Cybersecurity Act 2024 (Act 854). While these policies provide a strong foundation, we are continuously refining them to address all aspects of cybersecurity and Information Technology (IT), ensuring full alignment to regulatory requirements and industry best practices.	We prioritise the protection of personal and sensitive information through stringent data privacy measures, ensuring full compliance to the Personal Data Protection Act and other relevant regulations. Our practices are designed to uphold our data security, safeguard stakeholder information with robust policies and controls as required by the regulators.	Our Group is progressively looking into the cybersecurity protocols to defend against potential threats and vulnerabilities. This includes deploying security technologies, and ensuring that our IT systems are resilient against cyber-attacks. Cybersecurity is integral to our risk assessment processes, enabling us to identify and mitigate potential risks associated with our digital operations.	We recognise the critical role that employee awareness and training play in maintaining a secure digital environment. We provide ongoing training programmes to ensure that our staff are knowledgeable about data privacy and cybersecurity practices. These programmes are designed to equip our employees with the skills to identify and respond to potential threats, fostering a culture of security within the organisation.	The Group is committed to monitoring our data privacy and cybersecurity practices to ensure their effectiveness. This is achieved by establishing KPIs aligned to the sustainability agenda and collecting relevant data.

Through these measures, the Group aims to ensure that our digital operations are secure and that stakeholder trust is upheld. We remain committed to enhancing our practices in line with evolving threats and regulatory requirements.

Process to Determine Data privacy and Cybersecurity

[GRI 3-1]

Data privacy and cybersecurity have been identified as material topics due to the Group's increasing reliance on digital solutions across all BUs and the potential operational, financial, and reputational risks associated with data breaches or cyberattacks. The introduction of the Cybersecurity Act 2024 (Act 854) further underscores the importance of protecting sensitive data and maintaining secure digital operations to uphold stakeholder trust.

Approach to Stakeholder Engagement

[GRI 2-29]

The Group engages with key stakeholders including employees, IT service providers, and business partners to identify risks, gather feedback, and strengthen cybersecurity practices. Engagement occurs through multiple channels, including IT service provider feedback, cybersecurity audits, employee participation in awareness and training programmes, internal risk assessments, reporting mechanisms, and regulatory compliance updates. Insights from these interactions lead the enhancement of cybersecurity policies, the reinforcement of risk mitigation strategies, and the development of targeted employee education, ensuring stakeholder concerns are addressed proactively and effectively.

Sustainability Report

Management of Data privacy and Cybersecurity

[GRI 3-3]

The Group manages data privacy and cybersecurity through a comprehensive framework of governance, policies, and operational measures. The Group's Information Technology Centre (ITC) coordinates centralised cybersecurity monitoring across all BUs with support from IT service providers, while formal incident management procedures are in place to detect, investigate, and remediate cyber incidents, including root-cause analysis and corrective actions.

Preventive controls, such as regular system updates, software patches, and access management, are implemented to reduce vulnerabilities, and cybersecurity training and awareness programmes are conducted to enhance employee knowledge and adherence to best practices. Collectively, these measures aim to prevent cyber risks,

mitigate the impact of potential incidents, and strengthen the Group's overall digital resilience.

Processes to Remediate Negative Impacts [GRI 2-25]

In FY2025, the Group recorded Zero incidents of cyberattacks across its business units. Reported incidents are managed according to defined procedures, including immediate containment, investigation, and corrective action.

No data loss was reported during the reporting period. However, an incident involving the use of unlicensed software was identified during a software audit. The matter was confined with no impact to other stakeholders. Corrective actions were implemented, including upgrading all affected devices with licensed software and enhancing security protocols to prevent recurrence.

As part of the Group's proactive approach to remediating negative impacts, regular cybersecurity awareness training is conducted for employees. This training reinforces safe digital practices, educates staff on potential cyber threats, and strengthens the organisation's overall risk management culture.

For the Hotel & Hospitality Division, operations comply with brand standards, including proactive cybersecurity awareness measures. Staff receive daily simulated phishing emails, and employees who fall victim to the simulations are required to complete targeted online cybersecurity training, reinforcing awareness and preventive practices.

Through these initiatives, the Group collectively demonstrate a structured and proactive approach in managing digital risks, protecting stakeholders, and fostering a culture of cybersecurity vigilance and continuous improvement across all BUs.

Our Performance

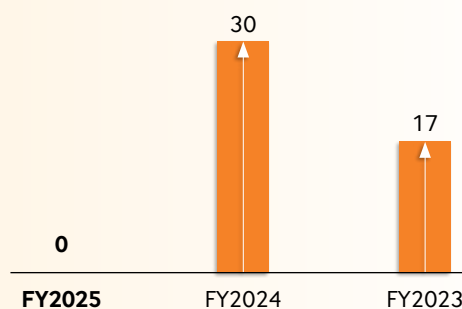
Cyber Attacks Incidents [GRI 418-1]

In FY2025, the Group recorded zero incidents of cyber-attacks across all BUs, a significant improvement compared to 30 incidents in FY2024 and 17 in FY2023.

In FY2025, the Group recorded zero incidents of cyber-attacks across all BUs, attributable to the implementation of robust cybersecurity measures, including the deployment of Acronis Cyber Protect for real-time threat detection, endpoint protection, automated patch management, and continuous system monitoring, alongside strengthened internal controls and user awareness practices.

The incidents reported in FY2024 and FY2023 were derived from system-generated security alerts and have been reassessed as non-material cybersecurity events, rather than confirmed cyber-attacks. These events were managed in accordance with the Group's established cybersecurity framework and controls.

Total Number of Incidents of Cyber Attacks

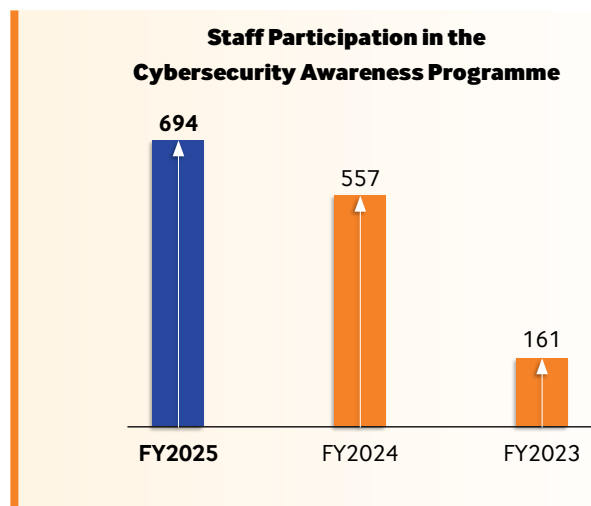


Sustainability Report

Key clarifications are as follows:

Nature of Events	Automated Mitigation Measures	No Operational or Data Impact	Materiality Assessment	Data Privacy and Breach Status
▼ The reported incidents primarily relate to routine security detections (e.g., malware signatures, suspicious files, or system-triggered alerts) identified through automated monitoring systems.	▼ All events were fully contained and neutralised through standard security protocols, including real-time detection, antivirus flagging, and auto-quarantine functionalities within Acronis Cyber Protect, without requiring user intervention.	▼ There was no impact on business operations, system availability, or data integrity, and no unauthorised access, data exfiltration, or system compromise was recorded.	▼ In line with internal governance and ESG reporting principles, events that are fully mitigated within routine security processes, with zero user interaction and no impact, are not classified as material cyber-attack incidents.	▼ The Group confirms that there were no material cybersecurity breaches and no reported complaints concerning the privacy of customers, employees, or contractors during the reporting periods.

Cybersecurity Awareness Training [GRI 2-25]



In FY2025, the Group reinforced its commitment to protecting its digital environment and mitigating cybersecurity risks that could affect employees, customers, and other stakeholders. A total of 694 employees participated in cybersecurity awareness programmes, an increase from 557 in FY2024 and 161 in FY2023, surpassing the target participation rate of 50% with an achieved rate of 57%. These

programmes are designed to equip staff with the knowledge and practical skills to identify, prevent, and respond to potential cyber threats, reflecting the Group's proactive and preventive approach to managing digital risks.

While no cyberattacks or data loss were reported in FY2025, the Group recognises the evolving nature of cybersecurity threats. Accordingly, it continues to refine training, enhance system controls, and enforce preventive measures, ensuring that risks are mitigated before they materialise and that stakeholder trust remains protected.

Customer Privacy [GRI 418-1]

The Group is committed to protecting the personal information of its customers and employees, ensuring full compliance with the Personal Data Protection Act 2010 (PDPA) and cybersecurity best practices. Robust monitoring systems and operational oversight are maintained across all BUs to safeguard data from unauthorised access, misuse, or loss.

During FY2025, the Group recorded zero substantiated complaints regarding breaches of customer privacy or loss of customer data, demonstrating the effectiveness of its privacy safeguards and adherence to regulatory requirements.

Sustainability Report

FUTURE COMMITMENTS

Under the Group's IAP 3.0 strategic framework, digitalisation continues to be a key focus area, driving operational efficiency, innovation, and stakeholder value across all BUs. As part of this digital transformation, the Group is committed to strengthening the capabilities of the ITC for real-time cybersecurity monitoring, expanding cybersecurity awareness programmes to reach all employees, and enhancing preventive measures through regular penetration testing and system audits. These initiatives are aligned with IAP 3.0's emphasis on leveraging technology to improve resilience and performance, while maintaining full compliance with the Cybersecurity Act 2024 and other regulatory obligations, ensuring a secure and reliable digital environment for all stakeholders.



Social



LABOUR PRACTICES & HUMAN RIGHTS

[GRI 2-6; GRI 2-7; GRI 2-29; GRI 2-25; GRI 401 – 412]

Related UNSDGs:



Why is this Important?

Fair labour practices with an inclusion of human rights are of paramount importance to the Group. These principles form the foundation of our commitment to ethical business operations and are essential for building trust and credibility with our stakeholders. By upholding these standards, we not only comply with legal and regulatory requirements but also foster a positive work environment that enhances employee well-being and productivity. Moreover, our dedication to human rights and fair labour practices supports the Group's long-term sustainable growth, ensuring that we remain competitive and respected in the global market.

As for continuous training and development, the Group recognises it is essential for maintaining a workforce that is not only competent in their roles but also aligned to the Group's sustainability goals. Our Talent Management Programme plays a critical role in equipping employees with the skills and knowledge needed to navigate the complexities of sustainability in a rapidly evolving business environment. This focus on learning and development enhances employee satisfaction and engagement, reinforcing the Group's reputation as an employer of choice for individuals who value continuous professional growth. By investing in our people, the Group ensures that all BUs remain agile, responsible, and well-prepared to face future challenges, supporting long-term sustainable success.

Sustainability Report

Our Approach

Approach to Stakeholder Engagement

[GRI 2-29]

The Group engages with employees, regulators, business partners, and contractors to ensure fair labour practices and uphold human rights. Engagement channels include employee feedback, training participation records, internal reporting mechanisms, and HR consultations. Feedback gathered informs policies, training programmes, and operational improvements to ensure concerns are addressed proactively and that labour practices meet both stakeholder expectations and regulatory requirements.

Management Approaches [GRI 3-3]

a) Labour Practices & Human Rights

The Group adopts a structured and accountable approach to managing labour practices and human rights across all BUs, underpinned by clear governance oversight, formal policies, and operational controls. Our framework is designed not only to ensure compliance with applicable labour laws but also to embed a culture of fairness, dignity, and respect throughout the organisation.

Human Rights and Non-Discrimination Policies are firmly established to prevent harassment, discrimination, forced labour, and any form of unfair treatment. These policies are supported by accessible grievance mechanisms and whistleblowing channels to ensure concerns can be raised safely and addressed promptly. The Group recognises that policy effectiveness

depends on employee understanding and engagement. Therefore, structured training and awareness initiatives are implemented to reinforce ethical labour practices, non-discrimination principles, and mutual workplace respect.

In FY2025, the Group conducted three targeted awareness programmes which are Grievance Procedure Awareness Talk, Workplace Bullying Awareness Talk, and Sexual Harassment Awareness in the Workplace session conducted by external experts. These initiatives were designed to strengthen employees' understanding of reporting channels, clarify behavioural expectations, and promote accountability at all levels of the organisation. By proactively investing in awareness and preventive education, the Group demonstrates not only its commitment but also its seriousness in safeguarding human rights and fostering a safe, inclusive, and respectful workplace environment.

While we acknowledge no organisation is immune to workplace risks, the Group through its centralised HRD remains vigilant in continuously reviewing its policies, strengthening training coverage, and enhancing monitoring mechanisms to ensure labour practices align with both regulatory requirements and stakeholder expectations.

b) Training and Development

The Group recognises that continuous learning and professional development are fundamental to sustaining a competent, ethical, and high-performing workforce in every sector of business. Training participation is

systematically tracked and integrated into the Group's Performance Management System (PMS) to ensure transparency, accountability, and alignment with organisational objectives. This structured approach enables management to monitor compliance with mandatory training requirements while identifying skill gaps and development needs across all BUs.

Beyond compliance-driven training, the Group invests in broader people-development initiatives, including career progression pathways, employee recognition programmes, and comprehensive employee benefits. These initiatives are designed to enhance well-being, strengthen retention, and foster long-term engagement.

As part of our measurable commitment, the Group has established a KPI requiring at least 75% of employees to attend a minimum of one training programme annually, whether technical or soft skills based. Training participation against this KPI is closely monitored and reported to management, ensuring sustained focus on workforce capability development.

By embedding structured training, performance monitoring, and employee-centric initiatives into daily operations, the Group reinforces its commitment to ethical labour practices and human rights while cultivating a motivated, productive, and inclusive workforce.

Sustainability Report

Our Performance [GRI 401 – 412]

In the reporting period, the Group has made significant strides in enhancing our labour practices and upholding human rights across all operations. Below are key highlights of our performance:

a) Incidents of Discrimination and Harassment [GRI 406-1]

As of FY2025, we are pleased to report that there have been no recorded incidents of discrimination or harassment within the Group. This reflects the effectiveness of our Non-Discrimination and Sexual Harassment Policies, as well as the ongoing training and awareness programmes aimed at fostering a respectful and inclusive workplace.

Indicator	FY2025
Total number of incidents of discrimination and harassment reported	0
Incidents reviewed by management	0
Incidents resulting in corrective / disciplinary action	0
Incidents where remediation plan was implemented	0
Incidents resolved and closed during the reporting period	0
Incidents pending resolution at year-end	0

b) Human Rights and Ethical Labour Practices Training [GRI 412-2]

In FY2025, 55% of employees completed training on human rights, non-discrimination, and ethical labour practices, surpassing the Group's internal target of 50% and demonstrating strong engagement in fostering an ethical and inclusive workplace. This marks a significant improvement from 35% in FY2024, reflecting the effectiveness of ongoing awareness initiatives and the organisation's commitment towards mitigating any human rights, non-discrimination, and ethical labour practices issues within the Group.

Details	FY2025	FY2024	FY2023
Total training hours on human rights	6	2	N/A
Average employee participation	671	524	N/A
% Participated	55%	35%	N/A

c) Incidents on Rights Violations [GRI 406-1, GRI 412-3]

In FY2025, there were no reported violations of human rights across the Group's operations. This includes the absence of any labour rights infringements, such as unfair labour practices, harassment, or forced labour, underscoring the effectiveness of the Group's policies, awareness initiatives, and monitoring mechanisms.

The Group has established a robust reporting system that allows employees to raise concerns at multiple levels directly to their superior, the Head of Division, and ultimately to Human Resources Managers. During the reporting period, no complaints were submitted through this system, demonstrating both the low occurrence of human rights issues and the strong culture of compliance and respect within the workplace.

Details	FY2025	FY2024	FY2023	FY2022[N]
Number of substantiated complaints concerning human rights violations	0	0	0	0

The consistent absence of reported incidents over multiple years highlights our commitment to ethical labour practices, human rights, and maintaining a safe, inclusive, and respectful workplace. The reporting mechanism ensures that employees can raise concerns confidently, while ongoing monitoring reinforces proactive compliance and continuous improvement.

Sustainability Report

d) Operations Subject to Human Rights Reviews or Impact Assessments [GRI 412-1]

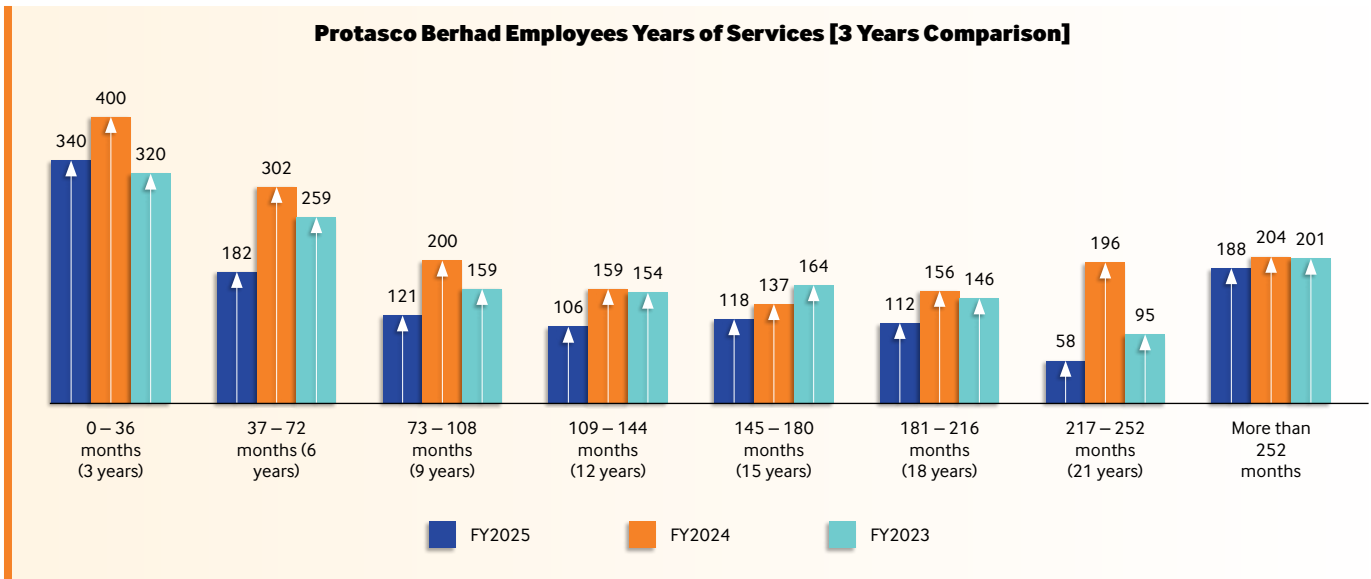
In FY2025, the Group did not conduct formal human rights reviews or impact assessments across its operations. Instead, the Group focused on proactive prevention of human rights risks through robust governance, policies, and awareness initiatives. The HRD implemented comprehensive Human Rights and Non-Discrimination Policies, alongside training programmes and awareness sessions, to ensure all employees understand their rights and responsibilities in the workplace.

A structured reporting system is in place, enabling employees to raise any concerns regarding human rights issues. During the reporting period, no complaints or incidents were raised, reflecting the effectiveness of the Group's preventative approach. The Group remains committed to embedding human rights awareness into daily operations and will continue to evaluate opportunities to strengthen due diligence processes in future reporting periods.

e) Employee Retention and Attrition [GRI 401-1]

The Group takes pride in its deeply committed workforce, a testament to the enduring tenure of our employees.

On average, our employees remain with us for approximately more than 10 years. The table below illustrates the distribution of our employees' tenure.

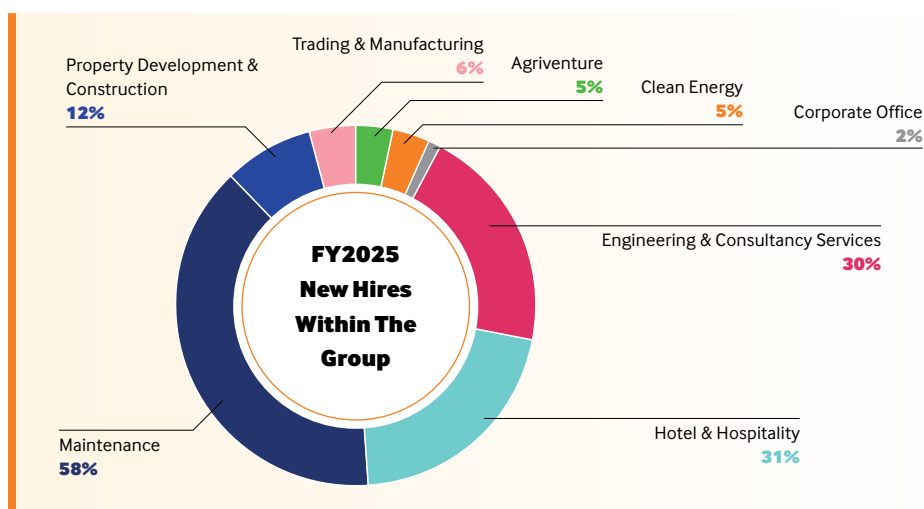


Over the three-year period, workforce composition reflects a phase of expansion in FY2024, followed by normalisation in FY2025, with early tenure employees (0–36 months) increasing in FY2024 due to active recruitment and moderating thereafter in line with a more measured hiring approach and natural attrition. A decline across mid-tenure categories (37–144 months) in FY2025 indicates movement within the Group's core operational workforce, underscoring the continued need to strengthen retention, engagement and career development initiatives. Similarly, reductions in long-tenure categories (145–252 months) were primarily driven by retirements and workforce transitions, prompting ongoing focus on succession planning and knowledge transfer to ensure continuity of expertise. Employees with more than 252 months of service remained relatively stable, reflecting sustained organisational loyalty and a strong base of institutional knowledge. Overall, the Group remains committed to maintaining a balanced workforce through disciplined hiring and targeted retention strategies to support long-term business sustainability.

Sustainability Report

f) New Hires and Turnover [GRI 401-1]

In FY2025, the Group welcomed a total of 146 new employees across all of its BUs. Recruitment efforts continued to emphasise diversity, equity, and inclusion, ensuring candidates were evaluated based on merit and skills in alignment with the Group's corporate values.

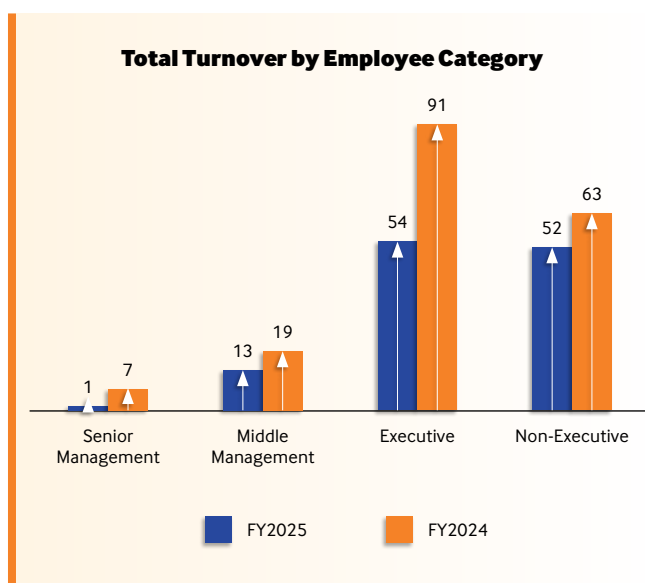


This hiring pattern demonstrates our Group's strategic approach to workforce planning, ensuring critical functions are staffed to support business operations.

g) Employee Turnover [GRI 401-1]

In FY2025, the Group demonstrated overall improvement in employee retention compared to FY2024.

In FY2025, the Group achieved a notable reduction in employee turnover across all employee categories compared to FY2024. Turnover among Senior Management reduce approximately 42.9% and Middle Management was 31.6% reduction.



At the operational levels, both Executive and Non-Executive turnover reduced to 39.6%, and 17.5% respectively. These reductions demonstrate the effectiveness of our retention and engagement initiatives, including targeted career development programmes, structured learning opportunities, and proactive human resource interventions.

We have substantial improvements among Senior Management, Middle Management, and Executives through our retention strategies addressing both leadership and operational talent needs. However, the smaller reduction in Non-Executive turnover is due to our operational and project-based roles which remains more exposed to relevant BUs workforce mobility and external market pressures. We are committed to continued focus on retention strategies, employee engagement, and career development programmes at this level to maintain workforce stability and sustaining organisational performance across all employee categories.

Sustainability Report

Turnover Rate by BUs

Details	FY2025	FY2024	FY2023
Agriventure	0%	64%	N/A
Clean Energy	11%	3%	0%
Corporate Office	5%	17%	13%
Engineering & Consultancy Services	12%	13%	1%
Hotel & Hospitality	28%	60%	N/A
Maintenance	7%	7%	4%
Property and Construction	24%	26%	0%
Trading & Manufacturing	18%	13%	0%

In FY2025, employee turnover across the Group's BUs generally showed a mixed trend compared to FY2024, with improvements in some BUs, while others recorded increase or remained relatively stable.

The Agriventure BU recorded a full stabilisation of workforce, with turnover decreasing from 64% to 0% in FY2025, reflecting a strong retention workforce. Similarly, the Corporate Office saw turnover decline, indicating strengthened organisational stability and effective retention practices. Several BUs maintained low to moderate turnover levels.

Higher turnover was recorded in Clean Energy and Trading & Manufacturing, indicating higher workforce movement within this segment in the Group.

Overall, our data proves that the Group's retention and workforce management initiatives are beginning to yield positive outcomes, particularly in stabilising previously high-turnover units.

h) Parental Leave [GRI 401-3]

In FY2025, a total of 37 employees took parental leave, with 24 employees utilising paternity leave and 13 employees taking maternity leave. This represents a slight decrease from FY2024, where 48 employees benefited from parental leave, and is an increase from FY2023, when 31 employees availed themselves of this entitlement. The Group's parental leave programme, implemented in accordance with applicable legal requirements, supports employees in balancing work and family responsibilities. While aligned with statutory requirements, this provision forms a part of the Group commitment to social sustainability by promoting gender equality, fostering a family-supportive workplace, and encouraging shared caregiving responsibilities.

Parental Leave	FY2025	FY2024	FY2023
Employees Who Took Paternity Leave	24	27	17
Employees Who Took Maternity Leave	13	21	14
Total Employees Who Took Parental Leave	37	48	31

Sustainability Report

i) Employee Benefits [GRI 401-2]

The Group offers a competitive benefits package that includes health insurance, retirement plans, paid time off, and wellness programmes.

Details	FY2025 (RM)	FY2024 (RM)	FY2023 (RM)
Total payments made to employees in terms of salaries, bonuses, and benefits	77,398,835	71,292,932	70,532,372
Total statutory payments made for employees' retirement benefits (EPF)	8,410,902	8,263,483	7,748,507
Total payments in medical insurance (SOC SO) for employees	979,404	944,612	900,836
Payments made for life insurance, including death and disability	1,780,363	1,858,110	1,281,517
Staff Training	658,068	800,795	626,165
Total	89,227,572	83,159,932	81,089,397

Employee Benefits Breakdown

List of Benefits	FY2025		FY2024	
	Amount (RM)	Nos of Staff Benefitted	Amount (RM)	Nos of Staff Benefitted
Medical Outpatient	1,568,331	1,376	2,371,345	1,455
Insurance - GHS	1,347,160	180	900,880	108
Insurance - GTL/GPA	186,809	65	272,657	3
Marriage Leave	3,636.91	18	4,433	20
Exam Leave	6,561.54	4	1,267	11
Compassionate Leave	19,819.6	51	83,858	61
Hajj Leave	5,830.75	1	10,018	4
Festive Leave	213,814	1,231	173,795	1,362
Special Leave (Natural Disaster Leave)	700	5	34,877	10
Company Declared Leave	173,173	1,170	86,928	1,362
Total	3,525,836		3,940,058	

Note: Nos of staff benefitted in the above table indicates how many utilised the benefits in FY2025.

In FY2025, the Group invested RM3.53 million in employee benefits, ensuring well-being and work-life balance, compared to RM3.94 million in FY2024. Medical Outpatient assistance was the highest allocated benefit at RM1.57 million, supporting 1,376 employees, slightly lower than RM2.37 million for 1,455 employees in the previous year. Insurance coverage for hospitalisation, surgical, and personal accident protection increased in both investment and coverage, benefiting 180 (Insurance - GHS) and 65 (Insurance - GTL/GPA) employees in FY2025, compared to 108 and 3 employees respectively in FY2024. Various leave entitlements, including Marriage, Exam, Compassionate, Hajj, Festive, Special (Natural Disaster), and Company-Declared Leave, continued to provide essential support, with Festive and Company-Declared Leave benefiting 1,231 and 1,170 employees, respectively, reflecting minor shifts from FY2024. This continued investment demonstrates the Group's commitment to employee welfare, financial security, and fostering a supportive work environment.

Sustainability Report

j) Employee Training Hours [GRI 404-1]

In FY2025, the Group continued its commitment to employee development, maintaining a structured training programme across all BUs. Over the three-year period, training initiatives were aligned with operational priorities, skill enhancement, and efficiency improvement objectives.

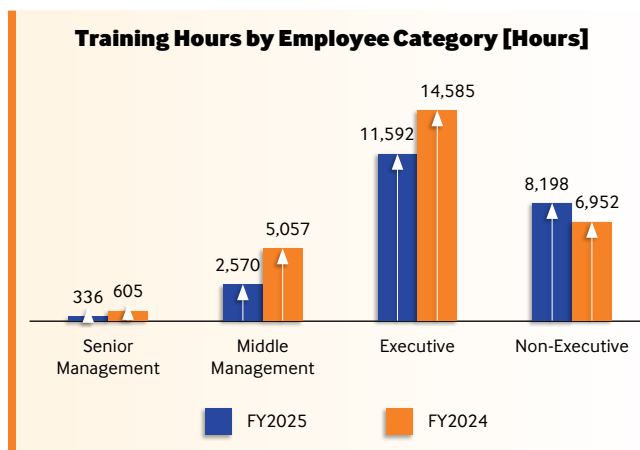
Three-Year Training Performance

Details	FY2025 (RM)	FY2024 (RM)	FY2023 (RM)
Total training hours	23,030	27,761	20,520
Total training spend	658,068	808,928	626,165
Total training hours per BU	2,879	3,084	2,931
Total training spend per BU	82,259	89,881	89,452
Average training hours per employee	20.26	19.08	14.80
Average training days per employee	3.00	3.17	2.04
Average training spend per employee	579	556	451

A total of 23,030 training hours were delivered in FY2025, reflecting a strategic focus on targeted, high-impact programmes, including those eligible for HRDF claims. While this represents a 17.0% decrease from FY2024, it marks a 12.2% increase compared to FY2023, demonstrating continued progress in strengthening workforce capability.

Total training expenditure amounted to RM658,068, a 18.6% reduction from FY2024, achieved through more cost-efficient delivery methods such as leveraging in-house expertise and structured learning approaches, without compromising training quality. On average, employees received 20.26 hours of training (approximately 3.00 days), with an average investment of RM579 per employee, ensuring meaningful skill development and operational readiness. These results underscore the Group's continued commitment to enhancing workforce competencies while balancing efficiency and sustained investment in employee growth.

Training Hours by Employee Category [GRI 404-1]



In FY2025, training hours were allocated based on operational priorities and employee categories, reflecting the Group's focus on developing skills across all levels of the workforce. Executives received the largest share of training, totalling 11,592 hours, followed by non-executive employees with 8,198 hours, highlighting the Group's emphasis on enhancing frontline skills and operational competency. Middle Management participated in 2,570 hours of training, while Senior Management received 336 hours, primarily focused on strategic and leadership development. Compared to FY2024, training hours decreased for Executives, Middle Management, and Senior Management, while Non-Executive training increased, demonstrating a deliberate shift toward strengthening operational capabilities at the frontline level without compromising overall workforce development.

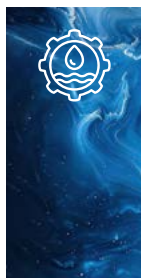
k) Performance and Career Development Reviews [GRI 404-3]

The Group conducts regular performance and career development reviews through its Performance Management System (PMS). These reviews assess employee performance, identify development needs, and support career progression planning across all BUs. In FY2025, 100% of employees received formal performance and career development reviews, reflecting the Group's commitment to structured feedback, continuous improvement, and employee growth.

Sustainability Report



Environmental



WATER MANAGEMENT [GRI 303]

Related UNSDGs:



Why is this Important?

Protasco recognises the critical role water plays in our operations and the wider environment. We remain committed to responsible water use and conservation. Effective water management helps mitigate risks associated with resource scarcity and regulatory compliance, while also enhancing operational efficiency and reducing costs.

Our Approach

Interactions with Water as a Shared Resource [GRI 303-1]

Although our operations are not classified as water intensive, the Group is deeply committed to responsible water management as part of our broader sustainability agenda. In FY2024, we established a baseline to monitor this material topic to drive sustainable water practices. Through this step, we intend to set the foundation for long-term conservation efforts. In FY2025, we continue to build on this baseline.

Water is a shared natural resource that supports communities, ecosystems, and economic activities. The Group uses water primarily for operational purposes across its BUs, including construction activities, facility maintenance, and general office use. Water utilised in operations is mainly sourced from municipal water supply, ensuring compliance with local regulatory requirements and responsible water management practices.

Given the shared nature of water resources, the Group recognises the importance of responsible water use across its operations. Water consumption is currently monitored across BUs to better understand usage patterns and support the Group's ongoing efforts to manage water resources responsibly. Basic operational practices, such as routine maintenance to prevent leakages and general

water management at construction sites, are carried out to ensure efficient use of water where applicable.

During FY2025, water usage within most BUs is limited to domestic or operational purposes, and any wastewater produced is discharged through municipal sewerage systems in accordance with local regulations.

Management of Water Discharge-Related Impacts [GRI 303-2]

The Group's business operations rely primarily on municipal water supply, and all wastewater discharges are managed in accordance with applicable regulatory and municipal requirements.

For construction and project sites, no untreated water is released directly into the environment. Any wastewater generated is handled in compliance with relevant environmental and local authority guidelines to prevent adverse impacts.

For housing development projects, wastewater from completed residential units is connected to and stored within approved sewerage or treatment systems, in line with municipal housing and infrastructure requirements. This ensures that all discharges are properly managed and treated through the appropriate public systems.

Sustainability Report

Water Withdrawal [GRI 303-3]

The Group's business operations do not involve the direct withdrawal of water from surface water, groundwater, or other natural sources. The Group primarily relies on municipal or third-party supplied water for its operational and office-related needs.

Although our activities are not water-intensive and do not require direct abstraction from rivers, lakes, or aquifers, the Group continues to monitor total water consumption across all BUs. In FY2024, we established a baseline by measuring water usage in cubic metres, providing a reference point for future efficiency initiatives and reduction targets.

In FY2025, this monitoring approach continues, enabling the Group to track consumption patterns, identify high-usage areas, and implement practical water-saving measures. This data-driven approach supports responsible resource management, cost optimisation, and alignment with our environmental objectives.

Our Performance

Water Consumption [GRI 303-5]

Details	FY2025 (RM)	FY2024 (RM)
Total volume of water used (m ³)	85,614	64,246
Amount paid for the volume used (RM)	226,200	177,173
Recycled water (m ³)	0	0
Building occupancy (m ²)	88,973	85,527
Water intensity (total ML per m ²)	0.96	0.75

Note: FY2024 data has been restated, replacing the Education BU with Hotel & Hospitality BU. FY2023 is excluded as a comparison is not possible with the revised scope.

Water consumption increased from 64,246 m³ in FY2024 to 85,614 m³ in FY2025, representing a 33% rise. The associated cost also increased by 28% to RM226,200. While building occupancy grew slightly by 4%, water intensity per m² rose by 28%, indicating higher operational demand. No recycled water was used during the reporting period. The Group continues to monitor water usage across its BUs to better understand consumption patterns and identify potential efficiency improvements.



Environmental



WASTE MANAGEMENT [GRI 306]

Related UNSDGs:



Why is this Important?

The Group recognises waste management as a critical aspect of sustainability, helping to minimise environmental impact, conserve natural resources and reduce pollution. Effective waste management strengthens our commitment to environmental stewardship, improves operational efficiency and supports regulatory compliance, reinforces our commitment to environmental stewardship across all BUs.

Sustainability Report

Our Approach

Waste Generation and Significant Waste-Related Impacts

[GRI 306-1]

The Group's operations, particularly in property development, construction, and maintenance activities, generate various types of non-hazardous waste, including paper, plastics, metals, packaging materials, and general construction waste. Improper handling of such waste may lead to pollution, resource depletion, and increased disposal costs. As a construction-related organisation, the Group recognises the importance of minimising material wastage and promoting responsible resource use.

To address these impacts, construction division focuses on efficient material planning and procurement, the reuse of surplus construction materials, recycling initiatives for paper, plastics, metals, and other materials, and strict compliance with environmental and waste regulations. In property construction, intelligent material planning systems are used to order materials according to project requirements, reducing excess inventory and associated waste, while any remaining materials are reused in subsequent projects where feasible.

Management of Significant Waste-Related Impacts

[GRI 306-2]

The Group is committed to managing waste in compliance with all applicable regulatory requirements. While a formal standalone waste management policy has not yet been established, environmental regulations are strictly adhered to across operations.

Our key practices include:

- Compliance with relevant waste management laws and regulations.
- Engagement of independent environmental consultants to conduct Environmental Impact Assessments (EIA) prior to project commencement.
- Implementation of waste reduction and recycling initiatives where feasible.
- Awareness programmes to promote responsible waste practices among employees and contractors.
- Improved data monitoring and reporting across project-related BUs.

For road maintenance operations, most waste generated is collected and managed by the project client, and the Group divisions do not maintain records for these materials. Where possible, waste is reused within operations, contributing to circular use of resources.

Our Performance

Waste Generated

[GRI 306-3]

Details	FY2025	FY2024	FY2023
Total waste generated (tonnes)	1,549	14	12

Note: FY2025 data includes two additional BUs, which contributed to higher waste generation. As a result, direct comparisons with FY2024 and FY2023 are not applicable.

The significant increase in reported waste in FY2025 reflects the expanded reporting boundary rather than a sudden surge in waste generation. Waste management practices continue to comply with regulatory requirements, and the Group is monitoring waste streams across all BUs to improve tracking and management. Most waste from road maintenance projects is collected by project clients, and where feasible, materials are reused to support circular resource use.

Waste Diverted from Disposal

[GRI 306-4]

Details	FY2025	FY2024	FY2023
Reused waste (tonnes)	9.3	0	0
Recycled waste (tonnes)	6.6	5	3
Total waste diverted (tonnes)	15.9	5	3
% recycled and reused	1.03%	35%	29%

Note: FY2025 data includes two additional BUs, which contributed to higher waste generation. As a result, direct comparisons with FY2024 and FY2023 are not applicable.

Although the total volume of waste diverted in FY2025 appears high at 15.9 tonnes, the proportion of reused and recycled waste relative to total waste generated remains low at 1.03%, as most waste is project-related and managed by clients. Within the Group's operations, small quantities were reused (9.3 tonnes) or recycled (6.6 tonnes). With the inclusion of additional BUs in the reporting boundary, the Group will continue to monitor waste generation and explore opportunities to strengthen waste diversion and recycling initiatives in future sustainability efforts.

Sustainability Report

Waste Directed to Disposal [GRI 306-5]

Details	FY2025	FY2024	FY2023
Waste directed to disposal (tonnes)	1,533	9	8

Note: FY2025 data includes two additional BUs, which contributed to higher waste generation. As a result, direct comparisons with FY2024 and FY2023 are not applicable.

The substantial increase in waste directed to disposal in FY2025 reflects the inclusion of 2 additional BUs in the reporting boundary, rather than a sudden surge in operational waste. Most of this waste is project-related and managed by clients. The Group continues to monitor waste streams across all BUs and will explore opportunities to enhance waste diversion and recycling initiatives in future sustainability efforts.



Waste Reduction and Recycling Initiatives [GRI 306-4]

a) Recycling Initiatives within Workspace

Small efforts have been implemented to reduce and recycle materials such as papers, plastics and metals within the workspace. These initiatives aim to minimise environmental impact, promote responsible use of resources, and support the Group's ongoing monitoring of waste streams. While quantities are currently limited, such practices lay the groundwork for broader waste reduction and recycling initiatives in the future.

BUs	Total Waste (tonnes)
Engineering & Consultancy Services	920.00
Maintenance	0.61
Property and Construction	0.04
Total	920.65

The majority of recycled waste in FY2025 originated from the Engineering & Consultancy Services BU, reflecting the higher potential for workspace material reuse in office-based operations. These efforts complement project-related waste initiatives and provide a foundation for the Group to expand recycling and waste minimisation practices across all BUs in the future.

b) Circular Economy Projects

As of FY2025, the Group is focusing on transforming organic and agricultural waste into high-value products. A key project involves a collaboration with FELDA on BSF farming, converting organic waste into alternative protein feed and organic fertilisers to improve resource efficiency and reduce environmental impact. To support operational reliability and scalability, the Group invested USD140,000 in the FoodyWorm Modular System, covering equipment and intellectual property licensing.

Another project which is also at the research stage is to convert PODC into biofertiliser. It is the Group's commitment to turn agricultural waste into environmentally beneficial products and lay the foundation for future green economic opportunities.

Sustainability Report



Environmental



MATERIALS [GRI 301]

Related UNSDGs:



Why is this Important?

Materials are a key component of the Group's operations, particularly in road maintenance and construction. The selection and use of materials directly influence environmental footprint, resource efficiency and regulatory compliance. By prioritising more sustainable and innovative materials, the Group aims to minimise resource depletion and waste, support long-term project viability, and align with stakeholder expectations. This approach also encourages innovation and can deliver financial benefits through cost savings and regulatory incentives, contributing to both environmental and economic sustainability.

Our Approach

In line with our commitment to environmental stewardship, we continue to explore and integrate more environmentally friendly materials into our operations.

This approach supports our sustainability goals and contributes to a more circular economy by promoting resource efficiency and reducing environmental impact, while maintaining or improving performance and durability of our road assets.

1) Sourcing and procurement of materials



We prioritise sourcing materials from suppliers who demonstrate environmental responsibility and comply with quality standards set by relevant regulatory bodies, such as the Construction Industry Development Board Malaysia (CIDB).

2) Environmentally friendly and waste reduction focus



While cost and other practical considerations may influence the extent to which we can procure environmental friendly materials, we remain committed to optimising material use, minimising waste and enhancing resource efficiency across our operations.

Sustainability Report

Our Performance

Materials Used by Weight or Volume [GRI 301-1]

The Group monitors the consumption of key construction and road maintenance materials across its projects. This data provides insight into resource usage trends and supports efforts to optimise material efficiency and reduce environmental impact.

Material Consumption (FY2023–FY2025)

The Group utilises a range of construction materials in its roadworks, infrastructure maintenance and engineering activities. These include conventional materials such as cement, crusher run and asphalt concrete, as well as specialised asphalt binders and pavement technologies designed to enhance durability and sustainability. Material consumption is monitored to support efficient resource management and responsible procurement practices across the Group's operations.

The table below summarises the key materials used in the Group's construction and pavement works for FY2023–FY2025.

Details	FY2025	FY2024	FY2023
Cement (tonnes)	1,043	5,478	1,969
Crusher run (tonnes)	2,359	20,505	4,030
Asphalt Concrete 28mm (AC28)	12,119	34,579	15,677
Asphalt Concrete 14mm (AC14)	16,126	33,377	32,870
Crumb Rubber Modified Bitumen (CRMB)	0	NIL	8,688
Cuplump Modified Bitumen (CMB)	0	NIL	10,796
Polymer Modified Bitumen (PG76)	0	NIL	208
Cuplump Modified Asphalt (CMA)	0	NIL	20,864
Crumb Rubber Modified Gap Graded Asphalt (CRMA)	34,528	83,738	109,943
Petronas Plastic Modified Binder (PMB)	34,407	2,107	—
Fibre Mastic Asphalt (FMA)	14,982	18,262	—
MacRebur 6 (MR6)	18,931	74,380	—
Polymer Modified Cementitious Binder – RHAzyme	654	16,897	—

Recycled Input Materials Used

[GRI 301-2]

Since the maintenance and construction of road has been the core area for the Group, it continues to incorporate recycled and recycle-based materials into its projects. These materials help divert waste from landfills, reduce reliance on virgin resources, and improve durability, thereby lowering overall material consumption over the asset lifecycle.

In addition to conventional construction materials, we incorporate alternative and recycled-based materials such as Crumb Rubber Modified Gap Graded Asphalt (CRMA), plastic-modified binders, and rice husk ash-based cementitious binders as part of our commitment to responsible material use and waste reduction, in line with GRI 301.

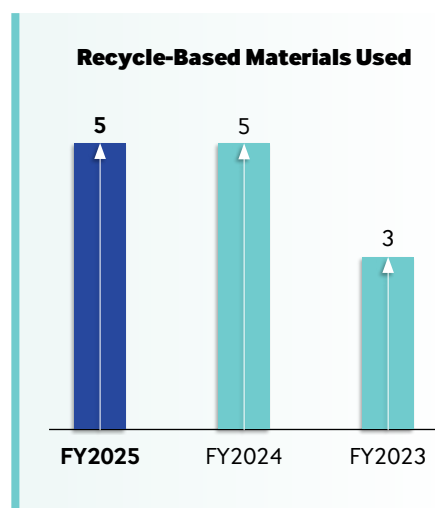
By using these materials, we recover and repurpose waste streams including end-of-life tyres, plastic waste, and agricultural by-products. Our approach diverts these materials from landfills and reintegrates them into construction applications, supporting circular economy practices while reducing reliance on virgin raw materials. Furthermore, the enhanced durability and performance of these recycled materials contribute to longer-lasting pavements, helping us reduce the frequency of road maintenance, material consumption, and the associated environmental impacts across our infrastructure projects.

Sustainability Report

Recycled or Recycle-Based Materials in Use

Material	Recycled Content	Sustainability Contribution	Contribution Through the use of this material
CRMA	Recycled rubber from end-of-life tyres	Uses tyres from landfills while improving asphalt elasticity, durability and resistance to cracking	We support the diversion of end-of-life tyres from landfills, reduce the need for virgin asphalt materials, and lower carbon emissions associated with raw material extraction.
Petronas Plastic Modified Binder (PMB)	15% - 22% recycled rubber	Reduces landfill waste from used tyres and supports resource recovery in asphalt production	We minimise tyre waste in landfills, promote resource recovery in asphalt production, and reduce carbon emissions from producing virgin bitumen.
Fibre Mastic Asphalt (FMA)	5% - 15% recycled plastics	Reduces plastic waste while enhancing pavement strength and durability	We divert plastic waste from landfills, support circular use of plastics, and reduce greenhouse gas emissions from producing new polymer materials.
MacRebur 6 (MR6)	0.3% - 0.6% recycled plastic waste	Diverts plastic waste from landfills and reduces reliance on virgin polymer modifiers	We reduce plastic waste disposal, limit reliance on virgin polymers, and lower carbon emissions associated with polymer production.
RHAzyme Binder	6% - 10% rice husk ash	Utilises agricultural by-products, reducing cement consumption and promoting circular use of biomass waste	We divert rice husk ash from disposal, reduce cement consumption, and decrease CO ₂ emissions associated with cement production.

Trend in Recycled or Recycle-Based Materials



Reclaimed Products and Their Packaging Materials [GRI 301-3]

Due to the nature of the Group's core activities in construction and road maintenance, there are currently no significant programmes for reclaiming products or packaging materials. However, we place strong emphasis on the reuse of surplus construction materials wherever feasible, efficient material planning to minimise excess inventory, and the ongoing exploration of circular construction practices.

For example, in property construction, we carefully plan material orders to match consumption needs, avoiding unnecessary waste. Materials such as cement, steel, and wood are stocked for reuse where possible, ensuring that they are fully utilised before being replenished. Through these practices, we optimise material efficiency, reduce waste generation on-site, and support more sustainable construction operations.

Material Sourcing and Sustainability Approach [GRI 301-1 & GRI 301-2]

The Group recognises that material selection is critical to advancing sustainability objectives and has implemented key practices to support this goal. Sustainable sourcing is prioritised through procurement from suppliers who comply with regulatory and quality standards, including those set by the Construction Industry Development Board Malaysia (CIDB), and by giving preference to suppliers demonstrating environmental responsibility.

In addition, the Group focuses on environmentally friendly and waste reduction practices by exploring and adopting innovative, more sustainable materials, integrating recycled and recycle-based materials into road projects, optimising material use to minimise waste and improve efficiency, and considering cost, performance, and practical constraints while maintaining sustainability objectives. Through these initiatives, the Group promotes a more circular economy while maintaining or enhancing the performance and durability of its infrastructure assets, even though they are at a small scale.

Sustainability Report



Environmental



ENERGY MANAGEMENT [GRI 103]

Related UNSDGs:



Why is this Important?

Effective energy management remains critical for reducing environmental impact, managing operating costs and supporting our broader climate strategy and regulatory obligations. By improving efficiency and increasing the share of renewable energy, the Group strengthens its resilience and contributes to national decarbonisation efforts.

Our Approach [GRI 103-1, GRI 103-3, GRI 103-4, GRI 103-7]

The Group tracks energy consumption across all BUs and facilities, including offices, operational buildings, and construction sites. Total energy consumption is monitored for both renewable and non-renewable sources to understand usage patterns, identify hotspots, and guide efficiency interventions to guide investment decisions, evaluate project performance and support long-term energy cost optimisation.

a) Energy Efficiency Initiatives

[GRI 103-7]

The Group has implemented a range of energy efficiency initiatives to reduce consumption and environmental impact, including solar photovoltaic installations at De Centrum City and Park Inn that supply renewable energy to offset grid demand, optimisation of equipment scheduling, and upgrades to lighting and HVAC systems where feasible.

b) Data Monitoring and Analysis

[GRI 103-3]

The Group continuously tracks energy consumption across both renewable and non-renewable sources to maintain a comprehensive understanding of operational energy use. Annual assessments of this data inform decision-making, guide investment planning, and support the optimisation of facility operations.

Energy performance is further evaluated through the calculation of Energy Use Intensity (EUI), expressed as total energy consumption per square metre of occupied space, enabling benchmarking and the identification of opportunities for improved efficiency.

c) Continuous Improvement

[GRI 103-7]

Energy management is a continuous improvement process for the Group. We regularly review and enhance our strategies by analysing performance data, incorporating stakeholder feedback, and adapting to emerging trends. This commitment ensures sustained progress in our sustainability efforts.

Sustainability Report

Our Performance

Details	FY2025	FY2024	FY2023
Total energy consumption (kWh) from non-renewable sources	4,124,003	4,123,909	1,707,795
Total energy consumption (kWh) from renewable sources	514,076	542,094	1,264,152
Total energy consumption (kWh) from renewable and non-renewable sources	4,638,079	4,666,003	1,062,795
CO ₂ emission avoidance based on consuming solar energy (tonnes)	306	260	691
Building Occupancy	938,840	1,128,415	1,062,730
Energy Use Intensity (EUI)	4.94 kWh/sq ft	4.14 kWh/sq ft	2.80 kWh/sq ft

Note:

1. $EUI = \text{Total Energy Consumption (kWh)} / \text{Total Occupied Space (m}^2\text{)}$
2. FY2024 and FY2023 data updated: Education BU excluded; Hotel & Hospitality BU included for better comparison
3. FY2023 does not include Agriventure and Hotel & Hospitality data

In FY2025, the Group consumed a total of 4,638,079 kWh of energy, comprising 4,124,003 kWh (89%) from non-renewable sources and 514,076 kWh (11%) from renewable sources.

This represents a decrease approximately 0.6% in total energy consumption compared to FY2024, which recorded 4,666,003 kWh, largely due to lower non-renewable energy use. Compared to FY2023, total energy consumption increased by approximately 56%, driven by operational changes and occupancy adjustments.

Energy Use Intensity by Energy Source

Year	Non-Renewable EUI (kWh/sq ft)	Renewable EUI (kWh/sq ft)	Total EUI (kWh/sq ft)
FY2025	4.39	0.55	4.94
FY2024	3.65	0.48	4.14
FY2023	1.61	1.19	2.80

These EUI trends highlight the effectiveness of energy efficiency measures implemented across BUs and provide stakeholders with transparent, comparable data aligned with GRI reporting standards, showing measurable progress in reducing environmental impact.

In line with reporting expectations, the Group monitors its total energy consumption and energy intensity across all occupied spaces, distinguishing between renewable and non-renewable sources.

In FY2025, the Group's Total EUI was 4.94 kWh/sq ft, comprising 4.39 kWh/sq ft (89%) from non-renewable sources and 0.55 kWh/sq ft (11%) from renewable sources. This represents an increase approximately 19% in total EUI compared to FY2024 (4.14 kWh/sq ft), primarily driven by higher non-renewable energy consumption across key business operations.

The consistent use of renewable energy contributes to carbon footprint reduction, as evidenced by CO₂ emissions avoided through solar energy use. Although renewable energy accounted for a smaller share of total energy in FY2025 compared to FY2023, its demonstrates our commitment and progressive steps to transitioning towards lower-carbon operations. The reduction in non-renewable energy consumption directly mitigates greenhouse gas emissions, supporting the Group's broader sustainability and environmental stewardship objectives.

Sustainability Report



Environmental



CLIMATE CHANGE [GRI 102]

Related UNSDGs:



Why is this Important?

Addressing climate change is a key regulatory and economic priority for Protasco. By adopting a structured approach to climate-related risks and emissions, the Group is able to comply with evolving regulatory standards, mitigate both physical and transition risks, build operational resilience, and ensure long-term business continuity. In addition, embedding low-carbon practices and improving resource efficiency enables the Group to reduce operational costs, meet stakeholder expectations, and contribute meaningfully to global and national climate objectives.

Our Approach

Protasco applies a comprehensive approach to climate change that brings together risk assessment, compliance and emissions management.

Climate Risk Assessment and Management

[GRI 102-1, GRI 102-2, GRI 102-3, GRI 102-8, GRI 102-9, GRI 102-10]

The Group systematically identifies and evaluates climate-related risks and opportunities across all operations, considering both physical risks, such as the impacts of extreme weather and climate events, and transition risks, including regulatory changes, market shifts, and the low-carbon transition. Insights from these assessments are integrated into BU and Group-level risk registers, enabling the Group to refine strategies, guide investment decisions, and strengthen the resilience of its assets against climate-related disruptions. Readers can refer to IFRS S2 Climate-Related Disclosures section of this AR2025 on page 124 for Protasco's NSRF-compliant climate-related disclosures, as reported using the IFRS S2 standards.



Sustainability Report

Emission Reduction Initiatives [GRI 102-8]

a) Monitoring and Continuous Improvement



The Group remains committed to reducing greenhouse gas (GHG) emissions through continuous improvement and targeted initiatives. A comprehensive emissions baseline, encompassing both mobile combustion and stationary emissions, has been established to guide priority-setting and track progress. Key focus areas include reducing fuel consumption, enhancing energy efficiency in operational buildings, and improving monitoring and management of refrigerants and other fugitive emissions.

All initiatives are aligned with national climate objectives and regulatory requirements, ensuring that emission reduction efforts support both compliance and long-term operational sustainability. In recent years, efforts have been directed toward strengthening the emissions baseline by improving data capture across all BUs, particularly in mobile combustion and stationary emissions. This enhanced data enables the Group to define realistic reduction pathways and set measurable performance indicators.

b) Emission Reduction Projects



In parallel, the Group is advancing research and development in Solid Recovered Fuel (SRF) as a carbon-optimised, charcoal-replacement solution for energy-intensive industries. The SRF programme integrates feedstock characterisation, controlled sorting and preprocessing (drying, shredding, densification), and fuel formulation engineering to achieve stable calorific value, low moisture content, controlled chlorine levels, and predictable combustion performance suitable for high-temperature kilns and boilers.

A dedicated carbon-accounting and emissions assessment module complements this initiative, quantifying the biogenic fraction, lifecycle CO₂ reductions, landfill methane avoidance, and potential carbon tax mitigation under applicable regulatory frameworks. Pilot-scale combustion trials, ash behaviour studies, and quality assurance protocols validate the technical performance, environmental compliance, and economic viability of SRF, positioning it as a scalable, climate-aligned industrial energy solution.

Compliance and Reporting [GRI 102-1, GRI 102-2, GRI 102-3, GRI 102-9, GRI 102-10]

Protasco ensures compliance with climate-related regulations and reporting frameworks, including NSRF, IFRS S1 and S2, and SASB standards. Through transparent reporting, the Group provides stakeholders with clear insights into its climate-related performance, risks, and progress, supporting informed decision-making and reinforcing accountability across all BUs. Readers can refer to IFRS S2 Climate-Related Disclosures section of this AR2025 on page 124 for Protasco's NSRF-compliant climate-related disclosures, as reported using the IFRS S2 standards.

Sustainability Report

Our Performance

In recent years, Protasco has significantly strengthened its approach to climate-related disclosures by building a more complete GHG inventory. Scope 1 and Scope 3 emissions, which were not previously recorded, are now being tracked, while Scope 2 data continue to be refined. The figures for FY2024 provide a baseline for ongoing improvement

GHG Scope 1: Direct Emissions [GRI 102-4]

FY2025 Scope 1 Emissions (by BU)

BU's	Petrol (tCO ₂ e)	Diesel (tCO ₂ e)	LPG (tCO ₂ e)	Total Scope 1 (tCO ₂ e)	% Contribution
Agriventure	10.80	6.12	0.00	16.92	0.48%
Clean Energy	44.06	2.03	0.00	46.09	1.30%
Corporate Office	0.00	0.00	0.00	0.00	0.00%
Engineering & Consultancy Services	57.19	161.75	0.52	219.46	6.20%
Hotel & Hospitality	0.00	10.36	0.00	10.36	0.29%
Maintenance	1,019.91	1,897.13	8.58	2,925.62	82.68%
Property and Construction	72.75	69.80	9.1	151.65	4.29%
Trading & Manufacturing	57.51	111.01	0.00	168.52	4.76%
Total Scope 1	1,262.22	2,258.20	18.20	3,538.62	100%

Note:

1. LPG emissions are calculated using 1.60 kgCO₂e per litre of LPG.
2. % contribution = (unit total ÷ total Scope 1 including LPG) × 100.

GHG Scope 2: Indirect Emissions from Purchased Energy [GRI 102-5]

Scope 2 emissions represent the Group's indirect GHG emissions from purchased electricity. These emissions arise entirely from electricity consumption, with no steam or heating accounted for.

Source	FY2025 (tCO ₂ e)	FY2024 (tCO ₂ e)
Purchased Electricity	3,617.70	3,639.48

In FY2025, Scope 2 emissions totalled 3,617.70 tCO₂e, representing a slight decrease of approximately 0.60% compared to 3,639.48 tCO₂e in FY2024.

The FY2024 figure has been restated to reflect the exclusion of the Education BU and the inclusion of Hotel & Hospitality. These emissions arise entirely from electricity consumption, with no steam or heating included. The Group continues to implement energy efficiency measures and explore renewable energy solutions to manage and reduce indirect emissions, supporting both regulatory compliance and long-term sustainability objectives.

Sustainability Report

GHG Scope 3: Other Indirect Emissions [GRI 102-6]

Scope 3 emissions, which include other indirect GHG emissions from sources not owned or directly controlled by the Group, are currently in the early stages of monitoring and data collection.

Category	FY2025 (tCO ₂ e)	FY2024 (tCO ₂ e)	Notes
Category 5: Waste	1,239	3	Waste-related emissions captured; data collection ongoing across all operations.
Category 6: Business Travel	N/A	N/A	Early stage of monitoring; data to be collected in the next reporting period.
Category 7: Employee Commute	1,637,875	N/A	Data from 731 employees were collected from an online survey; further participation required to improve coverage.
Total Scope 3	1,639,114	3	Focus on improving accuracy and coverage over time; total to be updated as data matures.

In FY2025, the Group's Scope 3 emissions, representing other indirect GHG emissions from sources not directly controlled, totalled 1,639,114 tCO₂e. Of the categories with available data, employee commuting contributed the majority (99.9%), while waste-related emissions accounted for a minimal 0.08%. Data for upstream transportation and business travel yet to be collected, and the total Scope 3 emissions will be updated as monitoring and coverage improve. This early-stage reporting highlights the Group's ongoing efforts to expand Scope 3 tracking across all relevant indirect emission sources.

Total GHG Emissions and Trends [GRI 102-4, GRI 102-5, GRI 102-6]

Details	FY2025 (tCO ₂ e)	FY2024 (tCO ₂ e)
Scope 1	3,539	14,886
Scope 2	3,618	3,639
Scope 3	1,639,114	3
Total GHG Emissions	1,646,271	18,528

Note: Previously, the FY2024 data included the Education BU. Since FY2025, this entity is no longer under the Group, and it has been removed and Hotel & Hospitality data for FY2024 was included. FY2024 data has been restated to show this data update.

Efforts to reduce emissions include energy efficiency measures, renewable energy adoption, and improved monitoring and reporting, forming the basis for future reduction targets.

Ozone-Depleting Substances [GRI 102-2]

The Group during this reporting period does not report on ozone-depleting substances due to limited data availability across its operations. This is because systematic monitoring and data collection processes for these emissions have not yet been established. To address this gap, the Group plans to implement improved data collection and reporting systems in future, enabling accurate tracking, management, and reduction of ozone-depleting substances as part of its broader environmental compliance and sustainability strategy.

Other Significant Air Emissions [GRI 102-2]

The Group does not currently report on other significant air emissions, including nitrogen oxides (NO_x), sulfur oxides (SO_x), and particulate matter, due to limited operational data and measurement capabilities. To address this limitation, the Group is committed to gradually enhancing its emissions monitoring framework, enabling the capture of these pollutants in future reporting cycles. This will allow the Group to integrate these emissions into its environmental management practices and provide more comprehensive sustainability disclosures once reliable data becomes available.

Continuous Improvement and Future Focus

The Group is committed to continuously enhancing its climate change management by expanding GHG emissions monitoring across all BUs, covering Scope 1 (direct), Scope 2 (energy indirect), and Scope 3 (other indirect) emissions to ensure more comprehensive and reliable reporting. Currently, Scope 3 data management systems are being strengthened to enhance granularity, traceability, and overall reliability of indirect emissions reporting. Additionally, climate considerations are being progressively integrated into investment decisions, business planning, and operational strategies, supporting long-term resilience and reinforcing our commitment to sustainability performance.

Sustainability Report



Environmental



BIODIVERSITY [GRI 101]

Related UNSDGs:



Why is this Important?

Biodiversity plays a critical role in supporting sustainability across the Group, as it underpins essential ecosystem functions such as pollination, water purification, natural habitat regulation and soil fertility, processes that indirectly enable and safeguard our operations. Protecting biodiversity also supports regulatory compliance, reduces the risk of legal or environmental breaches and strengthens our reputation as a responsible and environmentally conscious organisation.

By conserving biodiversity, the Group reduces operational risks related to resource availability, climate variability and ecosystem degradation. These efforts also align with global sustainability priorities and national expectations. Integrating biodiversity considerations into our strategy helps ensure responsible land use, protects natural resources vital to our operations and responds to rising stakeholder expectations for environmental stewardship.

Our Approach

We take a structured approach to biodiversity that focuses on minimising ecological footprint, strengthening monitoring mechanisms and supporting conservation efforts where feasible.

1. Significant Impacts of Activities on Biodiversity

[GRI 101-4]

The Group conducts EIAs and environmental monitoring before any projects as required by DOE and submit the report accordingly, where required, across relevant projects to identify, mitigate and manage potential effects on local ecosystems and wildlife. This compliance ensures that our operations align with conservation objectives and regulatory requirements. To minimise our ecological footprint, we adopt sustainable practices such as reducing habitat disruption during project execution, eliminating or minimising the use of harmful substances, and promoting responsible land use and resource management. These measures reflect our commitment to environmental stewardship and support the long-term sustainability of our operations.

Sustainability Report

2. Habitats Protected or Restored

[GRI 101-6]

The Group supports and participates in biodiversity-related initiatives aimed at protecting and restoring natural habitats. While these efforts are currently implemented on a modest scale, they reflect our ongoing commitment to environmental stewardship across our operations.

Tree planting is carried out as a programme-based initiative, contributing to habitat enhancement and environmental awareness. Within the Construction division, tree tagging activities are conducted primarily within project areas and on a small scale to support site-level biodiversity monitoring and responsible land management.

The Maintenance division undertakes environmental initiatives including tree planting, reforestation programmes and beach cleaning activities as part of its broader environmental responsibility efforts. Although the Group does not yet have a long-term conservation programme in place, we are exploring structured conservation initiatives and partnerships and will report further developments in due course

3) Monitoring and Reporting

Operational Sites in or Adjacent to Protected Areas [GRI 101-3]

In FY2025, the Group did not operate within or in close proximity to any legally protected areas or locations recognised as having high biodiversity value. The Group continues to assess site conditions during project planning to ensure that operational activities do not adversely affect ecologically sensitive areas.

IUCN Red List Species [GRI 101-7]

During the reporting year, no IUCN Red List species or nationally protected species were identified within the Group's owned or managed operational sites. Regular site assessments and monitoring activities are conducted, where relevant, to support early identification of biodiversity risks.

The Group continues to monitor biodiversity-related indicators through the relevant divisions and incorporate relevant metrics into its sustainability reporting framework. Biodiversity considerations are integrated into operational planning and environmental management practices to promote responsible land use and ensure ongoing compliance with regulatory and environmental expectations.

Our Performance

In FY2025, Protasco continued to strengthen the integration of biodiversity considerations across its operations and project activities. The Group remains committed to responsible environmental management and ongoing improvement in biodiversity-related practices. Below is a summary of our performance for the year:

EIAs

Ongoing environmental monitoring were undertaken where required to ensure compliance with applicable environmental laws, regulations and standards. In FY2025, the Group, through its various projects, submitted to the DOE its Environmental Management Plan (EMP) for all of its projects. By integrating environmental considerations into project planning and execution, the Group strengthens its risk management approach and promotes responsible development practices.

Conservation Projects

No standalone, large-scale conservation projects were implemented in FY2025, consistent with the previous reporting year. While biodiversity conservation remains part of Group's long-term sustainability commitment, the Group continues to evaluate the feasibility, resource requirements and potential strategic partnerships necessary to implement structured conservation programmes. Future initiatives will be pursued in alignment with operational priorities and sustainability objectives, and progress will be disclosed in subsequent reporting periods.

Sustainability Report

Monitoring And Reporting

Monitoring efforts were further strengthened through the continued application of biodiversity-related metrics developed in previous years.

Items	FY2025	FY2024	FY2023
Number of Trees Planted (Tree Planting Programme)	286	1,816	0
Number of Tree Tagging Activities	0	166	0
Budget Spent on Biodiversity and Conservation Efforts / Programmes / Initiatives (RM)	98,346	136,404	11,296
Identification of IUCN Red List of Threatened Species on Owned Sites	0	0	0
Number of Biodiversity Assessments Undertaken on New Sites	0	0	0
Number of Biodiversity Audits Undertaken on Existing Sites	0	7	0

Group continued to implement biodiversity-related initiatives across its operations, focusing on tree planting, tree tagging, and environmental stewardship activities.

Tree planting was conducted as part of programme-based initiatives, while the Construction division carried out tree tagging within project areas to support site-level biodiversity monitoring and responsible land management. The Maintenance division also contributed through activities such as tree planting, reforestation programmes, and beach

cleaning initiatives, reflecting the Group's broader commitment to environmental sustainability.

The overall number of trees planted in FY2025 was lower compared to previous years, primarily because certain construction projects, where tree planting was scheduled, did not materialise during the reporting period. Despite this, the Group remains committed to promoting biodiversity through ongoing and planned initiatives across all operational units.

Biodiversity audits and related assessments were conducted on selected sites, where applicable, to support responsible land use and ensure continued compliance with environmental expectations. The Group also continued to allocate resources to biodiversity-related programmes, reflecting its commitment to environmental protection and gradual improvement in biodiversity practices.

Moving forward, we intend to progressively integrate biodiversity considerations into our broader sustainability strategy. We are exploring a more structured and long-term conservation initiatives and will provide updates as these programmes are developed and implemented in due course.

Sustainability Report

SASB CONTENT INDEX

Engineering and Construction Services

Topic	Code	Unit of Measure	Metric	Disclosure/ Page Reference
Environmental Impacts of Project Development	IF-EN-160a.1	Number	Number of incidents of non-compliance with environmental permits, standards and regulations	Pages 65 - 66
	IF-EN-160a.2	n/a	Discussion of processes to assess and manage environmental risks associated with project design, siting and construction	Pages 43; 71 - 72; 115
Structural Integrity & Safety	IF-EN-250a.1	Presentation currency	Amount of defect- and safety-related rework costs	Page 87; Numbers are reported but currency is not disclosed
	IF-EN-250a.2	Presentation currency	Total amount of monetary losses as a result of legal proceedings associated with defect- and safety-related incidents	Page 84
Workforce Health & Safety	IF-EN-320a.1	Rate	(1) Total recordable incident rate (TRIR) and (2) fatality rate for (a) direct employees and (b) contract employees	Pages 83 - 84
Lifecycle Impacts of Buildings & Infrastructure	IF-EN-410a.1	Number	Number of (1) commissioned projects certified to a third-party multi-attribute sustainability standard and (2) active projects seeking such certification	N/A
	IF-EN-410a.2	n/a	Discussion of process to incorporate operational-phase energy and water efficiency considerations into project planning and design	Pages 101 - 104; 108
Climate Impacts of Business Mix	IF-EN-410b.1	Presentation currency	Amount of backlog for (1) hydrocarbon-related projects and (2) renewable energy projects	Page 59
	IF-EN-410b.2	Presentation currency	Amount of backlog cancellations associated with hydrocarbon-related projects	N/A
	IF-EN-410b.3	Presentation currency	Amount of backlog for non-energy projects associated with climate change mitigation	Pages 57; 111
Business Ethics	IF-EN-510a.1	Number, Presentation currency	(1) Number of active projects and (2) backlog in countries that have the 20 lowest rankings in Transparency International's Corruption Perception Index	Page 64
	IF-EN-510a.2	Presentation currency	Total amount of monetary losses as a result of legal proceedings associated with charges of (1) bribery or corruption and (2) anti-competitive practices	(1) RM 0 (2) RM 0
	IF-EN-510a.3	n/a	Description of policies and practices for prevention of (1) bribery and corruption, and (2) anti-competitive behaviour in the project bidding processes	Pages 60 - 67; 70
Activity Metrics	IF-EN-000.A	Number	Number of active projects	8
	IF-EN-000.B	Number	Number of commissioned projects	2
	IF-EN-000.C	Presentation currency	Total backlog	RM1,293.2 million

Sustainability Report

STATEMENT OF ASSURANCE

In strengthening the credibility of the Sustainability Statement, selected aspects of this Sustainability Statement have been subjected to an internal review by the company's internal auditors and have been approved by the Company's Audit Committee.

Subject Matter

The subject matter covered by the internal review included the following indicators:

Indicator	Sub Indicator	Sustainability Statement
Community Investment	C2 (a)	Total amount invested in the community where the target beneficiaries are external to the listed issuer In 2025, the Group invested RM712,487 in programmes supporting external beneficiaries.
	C2 (b)	Total number of beneficiaries of the investment in communities These investments spanned 13 different beneficiary categories.
Energy Management	C4 (a)	Total energy consumption Total energy consumption across the Group is 4,638,079 kWh with non-renewable energy made up 89% of this usage, and renewable energy contributing 11%.
Procurement Practices	C7 (a)	Proportion of spending on local suppliers Spending on local suppliers constituted 97% of total expenditure, exceeding the established target of 70%.
Customer Privacy	C8 (a)	Number of substantiated complaints concerning breaches of customer privacy and losses of customer data Zero substantiated complaints related to breaches of customer privacy and losses of customer data.
Water Management	C9 (a)	Total volume of water used Total volume of water used by the Group in 2025 is recorded at 85,614m ³ .
Waste Management	C10 (a)	Total waste generated, and a breakdown of the following: i. Total waste diverted from disposal ii. Total waste directed to disposal i. Total waste diverted from disposal is recorded at 15.9 tonnes. ii. Total waste directed to disposal is recorded at 1,533 tonnes
Emissions Management	C11 (a)	Scope 1 emissions in tonne of CO ₂ e Total emission of GHG Scope 1 is 3,539 tCO ₂ e
	C11 (b)	Scope 2 emissions in tonne of CO ₂ e Total emission of GHG Scope 2 is 3,618 tCO ₂ e
Biodiversity	S1(a)	Percentage of existing operations or projects assessed for biodiversity risks Zero assessment for biodiversity risks undertaken on existing operations or projects

Scope

The internal audit review covered Protasco Group operations within Peninsular Malaysia, applying a sampling methodology onto selected business units i.e. divisions to assess reasonableness.

Sustainability Report

GRI CONTENT INDEX

Statement of use	Protasco has reported the information cited in this GRI content index for the period 1 January 2025 to 31 December 2025 with reference to the GRI Standards.
GRI 1 used	GRI 1: Foundation 2021

GRI STANDARD	DISCLOSURE	PAGE NUMBER(S)
General Disclosures		
GRI 2: General Disclosures 2021	2-1 Organisational details	Pages 2 - 5; 13 - 25
	2-2 Entities included in the organisation's sustainability reporting	Page 31
	2-3 Reporting period, frequency and contact point	Pages 31 - 33
	2-4 Restatements of information	Restatements of information are disclosed at the appropriate sections of this report
	2-5 External assurance	Page 33
	2-6 Activities, value chain and other business relationships	Pages 34 - 39; 41
	2-7 Employees	Pages 75 - 81; 93 - 100
	2-9 Governance structure and composition	Pages 40 - 41; 50 - 168
	2-10 Nomination and selection of the highest governance body	
	2-11 Chair of the highest governance body	
	2-12 Role of the highest governance body in overseeing the management of impacts	
	2-13 Delegation of responsibility for managing impacts	
	2-14 Role of the highest governance body in sustainability reporting	
	2-15 Conflicts of interest	
	2-16 Communication of critical concerns	
	2-17 Collective knowledge of the highest governance body	
	2-18 Evaluation of the performance of the highest governance body	
	2-19 Remuneration policies	
	2-20 Process to determine remuneration	
	2-21 Annual total compensation ratio	Disclosure on compensation ratios is excluded due to the confidentiality of remuneration details.
	2-22 Statement on sustainable development strategy	Pages 28 - 29; 42 - 44
	2-23 Policy commitments	Pages 60 - 61
	2-24 Embedding policy commitments	
	2-25 Processes to remediate negative impacts	Pages 86; 92
	2-26 Mechanisms for seeking advice and raising concerns	Pages 61 - 62
	2-27 Compliance with laws and regulations	Pages 60 - 68
	2-28 Membership associations	Pages 31 - 32
	2-29 Approach to stakeholder engagement	Pages 44 - 47; 66; 85
	2-30 Collective bargaining agreements	Not included

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GRI STANDARD	DISCLOSURE	PAGE NUMBER(S)
Material Topics		
GRI 3: Material Topics 2021	3-1 Process to determine material topics	Pages 48 - 55; 90
	3-2 List of material topics	
Economic Performance		
GRI 3: Material Topics 2021	3-3 Management of material topics	Pages 56 - 59; 74
GRI 201: Economic Performance 2016	201-1 Direct economic value generated and distributed	
	201-2 Financial implications and other risks and opportunities due to climate change	
	201-3 Defined benefit plan obligations and other retirement plans	
	201-4 Financial assistance received from government	
Indirect Economic Impacts		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 203: Indirect Economic Impacts 2016	203-1 Infrastructure investments and services supported	Pages 57 - 58; 73 - 75
	203-2 Significant indirect economic impacts	
Procurement Practices		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 204: Procurement Practices 2016	204-1 Proportion of spending on local suppliers	Pages 69 - 72
Anti-corruption		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 205: Anti-corruption 2016	205-1 Operations assessed for risks related to corruption	Pages 61 - 66; 69
	205-2 Communication and training about anti-corruption policies and procedures	
	205-3 Confirmed incidents of corruption and actions taken	
Materials		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 301: Materials 2016	301-1 Materials used by weight or volume	Pages 105 - 107
	301-2 Recycled input materials used	
Energy		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 103: Energy 2025	103-1 Energy policies and commitments	Pages 108 - 109
	103-2 Energy consumption and self-generation within the organisation	
	103-3 Upstream and downstream energy consumption	
	103-4 Energy intensity	
	103-5 Reduction in energy consumption	

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GRI STANDARD	DISCLOSURE	PAGE NUMBER(S)
Water and Effluents		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource 303-2 Management of water discharge-related impacts 303-3 Water withdrawal 303-5 Water consumption	Pages 101 - 102
Biodiversity		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 101: Biodiversity 2024	101-1 Policies to halt and reverse biodiversity loss 101-2 Management of biodiversity impacts 101-3 Access and benefit-sharing 101-4 Identification of biodiversity impacts 101-5 Locations with biodiversity impacts 101-6 Direct drivers of biodiversity loss 101-7 Changes to the state of biodiversity 101-8 Ecosystem services	Pages 114 - 116
Climate Change		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 102: Climate Change 2025	102-1 Transition plan for climate change mitigation 102-2 Climate change adaptation plan 102-3 Just transition 102-4 GHG emissions reduction targets and progress 102-5 Scope 1 GHG emissions 102-6 Scope 2 GHG emissions 102-7 Scope 3 GHG emissions 102-8 GHG emissions intensity 102-9 GHG removals in the value chain 102-10 Carbon credits	Pages 110 - 113
Waste		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts 306-2 Management of significant waste-related impacts 306-3 Waste generated 306-4 Waste diverted from disposal 306-5 Waste directed to disposal	Pages 102 - 104

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GRI STANDARD	DISCLOSURE	PAGE NUMBER(S)
Supplier Environmental Assessment		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers that were screened using environmental criteria	Pages 67; 69 - 72
Employment		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 401: Employment 2016	401-1 New employee hires and employee turnover 401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees 401-3 Parental leave	Pages 93 - 100
Labour/Management Relations		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 402: Labour/Management Relations 2016	402-1 Minimum notice periods regarding operational changes	Pages 93 - 100
Occupational Health and Safety		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system 403-2 Hazard identification, risk assessment, and incident investigation 403-4 Worker participation, consultation, and communication on occupational health and safety 403-5 Worker training on occupational health and safety 403-6 Promotion of worker health 403-9 Work-related injuries 403-10 Work-related ill health	Pages 81 - 84
Training and Education		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee 404-2 Programmes for upgrading employee skills and transition assistance programmes 404-3 Percentage of employees receiving regular performance and career development reviews	Pages 94; 100

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GRI STANDARD	DISCLOSURE	PAGE NUMBER(S)
Diversity and Equal Opportunity		
GRI 3: Material Topics 2021	3-3 Management of material topics	Page 50
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	Pages 75 - 81; 95 - 96
	405-2 Ratio of basic salary and remuneration of women to men	
Non-discrimination		
GRI 3: Material Topics 2021	3-3 Management of material topics	Pages 75 - 81; 95 - 96
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	
Tax		
GRI 3: Material Topics 2021	3-3 Management of material topics	Pages 67 - 68
GRI 207: Tax 2019	207-1 Approach to tax	
	207-2 Tax governance, control and risk management	
	207-3 Stakeholder engagement of tax-related concerns	
	207-4 Country-by-country reporting	
Local Communities		
GRI 3: Material Topics 2021	3-3 Management of material topics	Pages 73 - 75
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programmes	
Supplier Social Assessment		
GRI 3: Material Topics 2021	3-3 Management of material topics	Pages 67; 69 - 72
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	
Public Policy		
GRI 3: Material Topics 2021	3-3 Management of material topics	Not material and covered in the report
GRI 415: Public Policy 2016	415-1 Political contributions	

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GRI STANDARD	DISCLOSURE	PAGE NUMBER(S)
Customer Health and Safety		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 416: Customer Health and Safety 2016	416-1 Assessment of the health and safety impacts of product and service categories 416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	Pages 50; 85 - 89
Marketing and Labelling		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 417: Marketing and Labelling 2016	417-1 Requirements for product and service information and labelling 417-2 Incidents of non-compliance concerning product and service information and labelling 417-3 Incidents of non-compliance concerning marketing communications	Page 89
Customer privacy		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	Pages 89; 91 - 92
Socioeconomic Compliance		
GRI 3: Material Topics 2021	3-3 Management of material topics	
GRI 419: Socioeconomic Compliance	419-1 Non-compliance with laws and regulations in the social and economic area	Pages 50; 64 - 67

IFRS S2 CLIMATE-RELATED DISCLOSURES

In FY2025, Protasco began aligning its climate-related disclosures with IFRS S2, supporting the Group's alignment with Malaysia's National Sustainability Reporting Framework (NSRF). This reflects Protasco's commitment to strengthening sustainability reporting through a best-practice approach to energy, emissions and other climate-related disclosures, including the key climate risks and opportunities that may affect the Group's operations and long-term performance.

This section outlines Protasco's alignment with the four IFRS S2 pillars, namely Governance, Strategy, Risk Management, and Metrics and Targets, together with the corresponding disclosure recommendations. Looking ahead, the Group intends to further deepen its alignment with the NSRF and progressively enhance its adoption of IFRS S1 and IFRS S2, as internal capabilities, data readiness and reporting maturity continue to evolve.

Sustainability Report

BASIS OF PREPARATION

Statement of Compliance

The sustainability-related disclosures of Protasco have been prepared with reference to the IFRS Sustainability Disclosure Standards issued by the International Sustainability Standards Board (ISSB), in line with Bursa Malaysia's Main Market Listing Requirements.

These disclosures are prepared for the Group and should be read together with the Group's consolidated financial statements, which are prepared in accordance with the Malaysian Financial Reporting Standards (MFRS), IFRS Accounting Standards, and the requirements of the Companies Act 2016 in Malaysia. This report covers the financial year ended 31 December 2025 and is aligned with the reporting period of the related consolidated financial statements.

First-time adoption of IFRS Sustainability Disclosure Standards

The Group is reporting with reference to the IFRS Sustainability Disclosure Standards for the first time for the annual reporting period ended 31 December 2025, also known as FY2025. For the reporting period commencing 1 January 2025, the Group has applied the following standard:

IFRS S2 Climate-related Disclosures

As a Group 2 company under the NSRF, Protasco is scheduled to commence formal climate-first NSRF reporting aligned with IFRS S2 Climate-related Disclosures from FY2026 onwards. The Group has proactively presented its climate-related disclosures in FY2025 before its formal implementation timeline in order to enhance its reporting transparency and build internal readiness ahead of the mandatory reporting requirements. This early adoption approach reflects the Group's continued commitment to strengthening its climate-related governance, risk management and disclosure practices in line with regulatory expectations.

GOVERNANCE

Board's Role

The Board of Directors of Protasco has oversight of the Group's approach to sustainability matters, supported by the Board Risk Management Committee (BRMC) and the Sustainability Steering Committee (SSC).

An overview of the Group's sustainability governance structure is set out below:

- At Protasco, the Board Risk Management Committee (BRMC) holds ultimate responsibility for overseeing sustainability-related matters.

In practice, the Board's oversight of climate-related risks and opportunities is integrated into the Group's broader governance and risk management processes, with the BRMC providing Board-level review, supervision and recommendations on sustainability strategy, ESG targets, performance, progress and scorecard matters that are relevant to climate transition and physical risk exposure. The function of the BRMC has been expanded to incorporate sustainability governance in order to adopt sustainability practices and principles.

- The Sustainability Steering Committee (SSC), which is chaired by the Group Managing Director, reports to the BRMC. This governance arrangement supports the Board's ability to direct, review and challenge management on climate-related priorities by ensuring that climate-relevant sustainability strategies, implementation progress and key issues are escalated through the SSC to the BRMC for oversight and decision-making.

The Board monitors the sustainability performance of the Group against the target set for the year from the aspects of Environment, Social and Governance (ESG). The Board also takes appropriate action to ensure it stays abreast with and understands the sustainability issues relevant to the business, including climate-related risks and opportunities.

Sustainability Report

Management's Role

Management's role in assessing and monitoring sustainability related risks and opportunities at Protasco is embedded within the executive level Sustainability Steering Committee (SSC).

The SSC comprises senior management and is chaired by the Group's top management, bringing together leaders from the Group's key BUs to ensure sustainability considerations are integrated into strategic and operational decision making. The Chair of the SSC provides structured updates to the Board level governance forums, supporting the Board's oversight of sustainability matters within the Group's overall risk management and governance framework.

The SSC assists the Board Risk Management Committee in the strategic management of Protasco's sustainability related risks and opportunities, including, but not limited to the following:

- overseeing the materiality assessment process and key sustainability priorities
- developing and refining sustainability strategies, policies, and action plans across the Group
- monitoring day to day implementation of sustainability initiatives in line with the Group's strategy and BU responsibilities
- recommending sustainability metrics and targets, and reviewing progress against agreed targets and performance indicators
- reviewing inputs and key messages for the sustainability report, including consistency of disclosures and supporting data

The SSC convenes up to 2 times a year and receives updates on sustainability targets, progress, performance, and emerging risks and opportunities from the Sustainability and Strategy and Sustainability Office (SSO), supported by the Sustainability Working Committee and Division Working Committees across BUs.

The SSC provides half yearly reports to the relevant Board committee and delivers quarterly updates to the Board on material sustainability related matters.

STRATEGY

Protasco is a diversified group with operations across several sectors that are directly exposed to physical climate conditions and resource constraints.



Sustainability Report

Climate-Related Risks and Opportunities - Physical Risks

Physical Risks

Protasco underwent a climate risk assessment exercise in October 2025 and have concluded that extreme weather events and climate change are both acute and chronic physical risk that could affect the Group's various operations in the short, medium, and long term.

Heatwaves (Rising Temperatures)	Heavy Rainfall	Dry spell / Drought
Prolonged heatwaves, which can increase safety and health risks for outdoor activities and affect operating conditions.	Heavy rainfall and subsequent flooding, which are common during monsoon periods, can cause physical damage and operational disruptions.	Extended dry spells and drought conditions can constrain water availability and increase the need for water efficiency and storage measures.

Physical risks may affect Protasco across both its upstream and downstream value chain.

Upstream	Downstream
Extreme weather can disrupt the availability and movement of key inputs, including materials, logistics support, equipment and workforce capacity.	This extreme weather can interrupt project execution and service delivery and may affect the performance and reliability of completed assets and customer facing operations.

Effects on Business Model and Value Chain

Climate Hazard	Category	Effects On Business Model and Value Chain
Heatwaves (Rising Temperatures)	Workforce Health & Safety	Increased occupational safety and health risks for outdoor workers (construction, maintenance, agriventure) due to prolonged heat exposure
	Productivity & Project Delivery	Reduced effective working hours leading to lower productivity, extended project durations and delays in delivery timelines
	Equipment & Materials	Higher temperatures cause equipment overheating, accelerated wear and increased maintenance needs Heat affects handling and performance of construction materials, increasing quality risks and affecting outcomes
Heavy Rainfall & Flash Floods	Logistics & Mobilisation	Flooding disrupts access to project sites, delaying movement of materials, equipment and workforce mobilisation Causes delays in site readiness and prolongs project schedules
	Cost & Operational Efficiency	Increased costs from rescheduling work and extended equipment standby time
	Site Operations & Project Execution	Work stoppages and slowdowns, especially for exposed or partially completed structures Increased damage to works and materials, leading to rework and higher operating expenditure Repeated disruptions (e.g. monsoon periods) reduce delivery certainty and increase cost overrun risks
	Asset Performance & Service Continuity	Flooding affects performance and accessibility of completed infrastructure assets Water ingress and access disruptions impact service levels in hospitality and property operations, affecting stakeholder satisfaction

Sustainability Report

Climate Hazard	Category	Effects On Business Model and Value Chain
Dry Spell / Drought	Resource Availability & Operations	Reduced water availability affects water-intensive construction activities and site welfare needs
	Supply Chain (Agriventure)	Water stress disrupts upstream agricultural suppliers, reducing consistency and availability of raw materials Leads to operational disruptions and increased costs, especially for water-dependent processes
	Customer Operations & Service Continuity	Water scarcity (rationing/low pressure) disrupts hospitality and property operations Reduced service continuity, customer comfort and satisfaction during prolonged dry periods

Effects on Strategy and Decision Making

Physical climate risks, including extreme rainfall and flash floods, rising temperatures and drought, influence Protasco's strategy by:

Category	Heatwaves (Rising Temperatures)	Heavy Rainfall & Flash Floods	Dry Spell / Drought
Strategic Risk Integration	- Influences evaluation of delivery certainty, asset exposure and operational continuity, particularly for outdoor workforce-dependent activities - Treated as a strategic consideration due to impacts on project feasibility, schedule reliability, workforce safety and asset performance - Management emphasises resilience, reliability and long-term viability alongside cost, quality and timing	- Influences evaluation of delivery certainty, asset exposure and operational continuity due to disruption to access, logistics and infrastructure - Treated as a strategic consideration affecting project feasibility, schedule reliability and performance of customer-facing assets - Drives management focus on resilience, reliability and long-term viability	- Influences evaluation of operational continuity and asset exposure, particularly for water-dependent activities and supply chains - Treated as a strategic consideration due to impacts on feasibility, reliability and performance of operations and customer-facing assets - Reinforces management focus on resilience, reliability and long-term viability
Strategic Planning & Time Horizons	- Considered in planning assumptions for outdoor workforce capacity across different time horizons - Influences evaluation of operational dependencies affecting project execution and delivery requirements - Supports decisions to maintain service continuity and reduce vulnerability of operations	- Considered in planning assumptions for site access, stable ground conditions and logistics across time horizons - Influences evaluation of upstream supply chain dependencies and downstream delivery requirements - Supports decisions to maintain service continuity during weather disruptions and reduce asset vulnerability	- Considered in planning assumptions for reliable water supply across operations and time horizons - Influences evaluation of upstream supply chain dependencies and downstream delivery requirements - Supports decisions to maintain service continuity and reduce vulnerability during water shortages

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Category	Heatwaves (Rising Temperatures)	Heavy Rainfall & Flash Floods	Dry Spell / Drought
Capital Allocation & Project Prioritisation	- Investment decisions consider exposure over asset life, including risks of downtime, operational instability and recurring maintenance - Project evaluation reflects climate exposure factors affecting approvals and programme expectations	- Investment decisions consider whole-life exposure, including recurring repairs, downtime and operational instability from flooding events - Project selection and site evaluation incorporate climate exposure factors affecting approvals and programme expectations	- Investment decisions consider long-term exposure to water scarcity, including operational disruption and instability - Project selection incorporates climate exposure factors affecting approvals and programme expectations
Operations, Procurement & Risk Governance	- Workforce planning prioritises safety and continuity for site-based operations - Risk governance integrates climate risks for early identification, escalation and decision-making - Influences insurance, financial planning and operational risk appetite	- Procurement considers supplier reliability under disrupted logistics and mobilisation conditions - Risk governance integrates climate risks for early identification and escalation - Influences insurance coverage, financial planning and operational risk appetite	- Procurement considers supplier reliability under resource constraints and input availability risks - Risk governance integrates climate risks for early identification, escalation and response - Influences insurance, financial planning and continuity assumptions

Financial Effects

Heatwaves (Rising Temperatures)	
Classification	Financial Effects
Current Financial Effects	Rising temperatures contribute to reduced labour efficiency, leading to higher operating costs
	Heat conditions increase equipment servicing needs due to overheating and accelerated wear, increasing costs
	Contributes to overall cost pressure across project delivery timelines
	Effects are episodic but increase sensitivity of costs and delivery certainty to climate conditions
	Chronic heat conditions may increase long-term productivity impacts for outdoor workforces
	Contributes to higher recurring cost base associated with maintaining heat-exposed assets and operations
	May increase pressure on margins if higher costs cannot be recovered
	Strengthens need to consider climate risks in investment planning and long-term asset strategy

Sustainability Report

Heavy Rainfall & Flash Floods	
Classification	Financial Effects
Current Financial Effects	Higher operating costs due to temporary work stoppages, rescheduling and overtime following weather disruption
	Repair and replacement costs for damaged machinery, equipment, materials and partially completed works
	Revenue timing effects due to postponed projects, slower progress and delayed milestone achievement
	Deferred billings due to site inaccessibility and disrupted inbound deliveries
	Insurance-related cost pressures from higher claims exposure and renewal conditions
	Effects are episodic but impact cost profiles and delivery timelines
Anticipated Financial Effects	Higher recurring maintenance costs for roads, buildings, equipment and operating sites exposed to flooding
	Increased cost volatility and reduced schedule predictability due to logistics disruptions
	Higher insurance premiums, more restrictive coverage terms or exclusions for high-risk locations
	Increased likelihood of severe asset damage and potential impairment risk in flood-exposed areas
	Increased uncertainty in cash flow timing and pressure on margins if costs cannot be recovered
	Greater importance of climate risk in investment planning, siting decisions and long-term asset strategy

Dry Spell / Drought	
Classification	Financial Effects
Current Financial Effects	Periods of low rainfall contribute to operational cost pressure affecting cost profiles and delivery timelines
	Effects are episodic but influence sensitivity of operations to climate conditions
Anticipated Financial Effects	Water stress and variable weather may increase variability in raw material availability for agriventure
	May affect operational consistency, throughput and revenue stability
	Contributes to higher operational cost variability and reduced predictability
	Increases uncertainty in cash flow timing and potential pressure on margins
	Strengthens importance of climate cons

Climate Resilience

Protasco's climate resilience approach is implemented through a strategic climate plan that focuses on practical adaptation and mitigation measures across business divisions. These measures are designed to strengthen operational continuity, protect workforce welfare, and reduce disruption to key assets and service delivery during periods of extreme weather. The actions below summarise measures that are currently implemented.

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Extreme rainfall and flash floods

Measure Implemented	Business Unit	Implementation Status / Remarks
Solar arrays installed above identified flood levels	Clean Energy	Implemented / reduces flood damage and downtime
Concrete canvas for slope stabilisation	Engineering & Consultancy Services	Implemented / improves slope stability in wet conditions
Temporary earth ramps / fabricated steel structures for access	Engineering & Consultancy Services	Implemented / maintains site accessibility during heavy rain
Flood barriers and sandbags	Engineering & Consultancy Services	Implemented / protects work areas, materials, equipment
Monsoon fogging for vector control	Engineering & Consultancy Services; Hotel & Hospitality	Implemented / reduces health risks from vector-borne diseases
Insurance coverage assessment for natural disasters	Engineering & Consultancy Services	Implemented / strengthens risk transfer planning
Early warning channels with government agencies	Group-wide	Planned / enhances preparedness and coordination
Integration of flood risk into ERM	Group-wide	Planned / improves oversight and prioritisation
Insurance options with flood coverage	Group-wide	Planned / strengthens financial protection
Flood gauge & traffic management enhancements	Maintenance	Planned / set up Standby Team and shift working schedule for readiness

Rising temperatures and heat stress

Measure Implemented	Business Unit	Implementation Status / Remarks
Water dispensers at work areas	Agriventure	Implemented / supports hydration and reduces heat stress
Air conditioning in facilities	Agriventure	Implemented / stabilises operating conditions
Shaded rest areas for projects	Clean Energy	Implemented / reduces heat exposure
WC and EAR facilities before project execution	Clean Energy	Implemented / supports workforce welfare
Adequate spacing between solar arrays	Clean Energy	Implemented / improves airflow and reduces overheating
Toolbox training on heat risks	Property and Construction; Maintenance	Implemented / strengthens safe work practices
Daily plant & machinery inspections	Maintenance	Implemented / prevents heat-related equipment failure
Cold drinks provision	Trading & Manufacturing	Implemented / improves worker comfort
Temperature & humidity tracking with SOP thresholds	Group-wide	Planned / improves decision-making during extreme heat

Sustainability Report

Drought and water scarcity

Measure Implemented	Business Unit	Implementation Status / Remarks
Alternative water sourcing	Agriventure	Implemented / ensures continuity of operations
Water storage tanks	Hotel & Hospitality	Implemented / maintains water availability
Rainwater harvesting system	Hotel & Hospitality	Implemented / reduces reliance on direct supply
Water efficiency (dual flush, sensor taps)	Hotel & Hospitality	Implemented / reduces water demand
Engagement with local water authorities	Engineering & Consultancy Services	Planned / improves coordination during shortages
Staff training on water saving	Engineering & Consultancy Services	Planned / enhances site-level water management
Manager training on water efficiency oversight	Engineering & Consultancy Services	Planned / strengthens governance
Quarterly staff training on water conservation	Hotel & Hospitality	Planned / reinforces consistent water-saving practices

Transition Risks

Transition risks arise from the shift towards a lower carbon economy and are driven by changes in regulation, technology, market expectations, and stakeholder behaviour.

For Protasco, these risks may affect operating costs, procurement and supply chain decisions, project delivery requirements, and the level of reporting and governance needed to meet evolving expectations.

Risk Category	Transition Risk Effects
Policy and Regulatory Risks	Increasingly stringent environmental and energy policies, including stricter green building requirements
	Requirement to use green-certified materials or suppliers, affecting procurement decisions and supply chain selection
	Potential exposure to carbon tax or carbon ceiling, increasing operating cost pressure
	Heightened expectations for recycling and waste management compliance
	Increasingly complex and expanding climate-related compliance and reporting requirements
Cost and Input Price Risks	Potential cost implications from removal of fuel subsidies, increasing operating and logistics costs
	Broader increase in compliance-related costs due to more demanding regulatory expectations
Legal and Compliance Risks	Risk of fines or regulatory censures if sustainability-related obligations are not consistently met
	Expanding scope of sustainability disclosure requirements increases compliance burden
	Possible delays to expansion or investment plans due to stricter permitting processes and standards
Market, Customer and Stakeholder Risks	Shifting market and stakeholder expectations influence competitiveness and customer demand
	Sustainability performance increasingly affects access to financing and investor confidence
	Reputation and credibility increasingly important in securing market position and stakeholder trust

Sustainability Report

Effects on Business Model and Value Chain

Potential Transition Risks	Effects On Business Model and Value Chain
Potential carbon tax or carbon ceiling measures	Increases cost base for emissions-intensive activities and carbon-intensive materials used in infrastructure and construction
	Raises procurement costs for materials and services across the value chain
	Increases site operating costs from fuel and electricity consumption
	Creates margin pressure where contracts do not allow full cost recovery
	Requires stronger contract pricing discipline, operational efficiency, and emissions monitoring to manage cost volatility and protect profitability
Higher expectations for recycling and waste management	Requires more structured waste segregation, recovery and tracking at project sites and facilities
	Increases process controls and coordination with contractors and subcontractors
	Strengthens oversight of waste handling partners across the value chain
	Enhances downstream customer and regulatory scrutiny through higher delivery standards and documentation requirements
Removal of fuel subsidies and related energy price adjustments	Increases transportation and logistics costs across operations
	Raises operating costs for heavy equipment and fleet-dependent activities
	Alters economics of road maintenance and construction delivery
	Requires changes to route planning, scheduling, equipment selection and fuel efficiency measures
	Affects pricing strategy and competitiveness in tenders where fuel is a key cost driver
Growing compliance and reporting burden	Reputation and credibility increasingly important in securing market position and stakeholder trust
	Requires stronger internal systems, data governance and assurance readiness for climate-related reporting
	Increases need for consistent data capture across sites and business units
	Strengthens internal controls and accountability for climate metrics
Compliance and legal risks (fines or censures for non-compliance)	Increases operational overhead costs but improves risk management, decision-making and stakeholder credibility
	Can cause direct financial impacts and operational disruption across the Group
	Requires stronger compliance controls in procurement, contractor management and site operations
	May affect ability to bid for projects, maintain licences/approvals and sustain customer trust
Reputational risk from not meeting climate expectations	Increases need for documented compliance evidence across the value chain
	Affects market positioning, stakeholder confidence and reputation
	May impact client retention, partnerships and workforce attraction
	Influence's ability to secure projects and negotiate favourable commercial terms
	Increases scrutiny from regulators and financiers on delivery and disclosure credibility

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Potential Transition Risks	Effects On Business Model and Value Chain
Decarbonisation initiatives	Creates opportunity costs as capital is allocated to emissions reduction initiatives (e.g. renewable energy, RECs)
	Reduces short-term flexibility for other growth priorities
	Influences implementation pace of upgrades across business units and sites
	Requires strong prioritisation and governance to ensure alignment with long-term competitiveness and resilience
Supply chain trade-offs	Arises from efforts to reduce Scope 3 emissions through stricter supplier requirements or lower-carbon materials
	May affect availability, quality, pricing and quantity of materials and services
	Can create delivery and cost pressures if not managed through supplier engagement and alternative sourcing
	Requires adjustments to procurement frameworks and contract terms to balance decarbonisation with operational continuity

Financial Effects

Category	Financial Effects
Current Financial Effects	Transition risks are already creating observable financial effects driven by evolving regulatory expectations, rising compliance and reporting requirements, changing customer preferences, and increasing energy and carbon-related cost pressures
	Effects are not uniform across all BUs but influence cost structures, tender competitiveness, procurement decisions and delivery requirements
	Higher operating costs arise from increased compliance effort, stronger documentation requirements and additional internal controls for climate-related disclosures and stakeholder expectations
	Procurement and supply chain costs may increase due to sourcing green-certified materials and higher-standard suppliers, affecting availability, lead times and pricing
	Energy price increases or removal of fuel subsidies create cost pressure across logistics, fleet operations and site activities, impacting project cost profiles and margins
Anticipated Financial Effects	Transition risks are expected to intensify as regulatory frameworks, standards and stakeholder expectations continue to tighten
	Medium-term increase in recurring cost base due to stronger compliance, reporting, governance, emissions management systems and internal controls
	Higher procurement costs and project cost volatility as clients and tenders prioritise sustainability criteria (e.g. low-carbon materials, responsible sourcing, waste management)
	Financing conditions may become more sensitive to sustainability performance, affecting access to capital and cost of funding for long-term or capital-intensive projects
	Longer-term risk of misalignment with low-carbon pathways if assets and capabilities do not adapt, potentially leading to accelerated upgrade cycles
	Possible increased capital requirements and risk of stranded assets
	Overall increase in cash flow uncertainty, margin pressure if costs cannot be recovered, and stronger need to integrate transition risks into strategy, procurement and investment planning

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Climate Resilience

Protasco's climate resilience approach is implemented through a strategic climate plan that focuses on practical adaptation and mitigation measures across business divisions. These measures are designed to strengthen operational continuity, protect workforce welfare, and reduce disruption to key assets and service delivery during periods of extreme weather. The actions below summarise measures that are currently implemented.

Transition Risk Area	Climate Resilience Actions
Environmental and Energy Policy Shifts	To address tighter requirements for green-certified materials, carbon pricing exposure, and higher waste recovery expectations, Protasco is strengthening efficiency and sustainability across operations
	Engineering & Consultancy Services, Maintenance, Trading & Manufacturing, and Agriventure are adopting more energy-efficient equipment and machinery to reduce fuel consumption and improve operational efficiency
	Property and Construction and procurement functions are increasing budget allocation for green-certified products and projects while maintaining certification of existing developments
	Clean Energy and other divisions are increasing investment in renewable energy and electric vehicle-related initiatives to reduce emissions and prepare for policy changes
	Operational teams are strengthening waste recovery and recycling practices to meet stricter circular economy requirements
Compliance and Legal	Protasco maintains active engagement with authorities to track regulatory developments and implement compliance measures ahead of enforcement timelines
	Engineering & Consultancy Services ensures engineering designs and advisory services comply with current and emerging environmental regulations
	Trading & Manufacturing enforces supplier and product compliance with recognised environmental certification standards
	Agriventure maintains compliance with agricultural, land use, and sustainability requirements through documented practices and certifications for audit readiness
	Maintenance applies environmental compliance procedures across maintenance projects to ensure adherence to permits and operational requirements
	Property and Construction integrates green building and regulatory compliance requirements at early planning and design stages to reduce redesign risk and approval delays
	Hotel & Hospitality applies sustainability and regulatory practices for energy, water and waste management and is transitioning towards ISO 14001 or equivalent-certified suppliers
Market, Reputation & Technology	Protasco strengthens external engagement through participation in industry forums, regulatory consultations, and sustainability and renewable energy associations
	This supports awareness of market and technology developments and strengthens credibility with customers, financiers and stakeholders
	Collaboration with complementary industries is being explored to access specialised, higher-margin sustainable projects
	Diversification efforts are particularly relevant for Property and Construction, Engineering & Consultancy Services, and Clean Energy, while supporting overall Group reputation and market access

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Transition Risk Area	Climate Resilience Actions
Transition to Low-Carbon Business Model	Protasco is implementing decarbonisation measures across business units through greater use of energy-efficient equipment and renewable energy adoption
	Group-wide initiatives aim to secure long-term green energy and supply arrangements to reduce exposure to energy price volatility and support national decarbonisation alignment
	Procurement and operational teams prioritise lower-carbon suppliers to reduce embedded carbon exposure and support Scope 3 emissions reduction
	Focus areas include Trading & Manufacturing, Property and Construction, Engineering & Consultancy Services, and Maintenance

Opportunities

In addition to climate related risks, Protasco recognises that the transition to a lower carbon and more climate resilient economy also presents opportunities across its business segments. Although climate change presents various risks that the Group must manage, it also offers opportunities to enhance operational efficiency and strengthen long term resilience. These opportunities include the adoption of renewable energy solutions to support energy cost optimisation, rising market demand for more sustainable property developments, and the potential to generate additional revenue through the acquisition and sale of excess carbon credits in the Voluntary Carbon Market (VCM). Under IFRS S2, the Group assesses climate related opportunities alongside risks to better understand how they may influence business model, value chain, current financial effects and anticipated financial effects.

Climate-Related Opportunities	Effects On Business Model and Value Chain
Adoption of Renewable Energy Solutions	On site renewable generation reduces dependency on grid stability and supports continuity of operations, particularly where disruptions to electrical infrastructure may take time to restore by third parties.
	Renewable energy assets allow the Group to manage energy related specifications and maintenance scheduling more directly, supporting better planning for energy reliability.
	Renewable energy adoption supports the Group's carbon reduction efforts by lowering greenhouse gas emissions associated with purchased electricity and supporting longer term climate resilience positioning.
Purchase of Carbon Credits	Supports Protasco's transition toward a lower-carbon business model by enabling the Group to offset residual emissions across key operating segments
	Creates value chain opportunities through potential partnerships with carbon offset projects, including reforestation, mangrove restoration, and other nature-based solutions.
	Strengthens downstream market positioning, especially in hospitality, by allowing Protasco to position its hotels and offerings as more carbon-conscious.
Deploy Integrated Solar-plus-Storage Systems (Clean Energy)	Builds Protasco's internal engineering expertise through early adoption of advanced battery energy storage system (BESS) technologies
	Lower reliance on grid electricity, and reduced exposure to energy price volatility.

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Financial Effects

Climate-Related Opportunities	Current Financial Effects	Anticipated Financial Effects
Adoption of Renewable Energy Solutions	Protasco incurs higher upfront investment when deploying renewable energy installations compared to sourcing electricity from the grid.	The Group expects reduced reliance on grid electricity to lower medium to long term exposure to rising electricity costs, including the impacts of subsidy rationalisation and emerging carbon pricing mechanisms.
	Renewable generation offsets a portion of electricity purchased from the grid, which reduces exposure to near term electricity cost volatility where systems are operational.	Protasco expects renewable energy adoption to improve longer term cost predictability by enabling electricity to be sourced locally rather than fully purchased at market tariffs.
	Improved energy reliability reduces the likelihood of disruption related costs for operations that are sensitive to power interruptions.	The Group foresees that, where feasible, excess electricity generated may be exported and sold back to the grid, creating the potential for an additional income stream over time.
Purchase of Carbon Credits	Additional revenue-related opportunities linked to the acquisition and sale of excess carbon credits in the Voluntary Carbon Market.	Carbon trading and carbon credit participation may create future revenue potential through emissions management and participation in carbon markets, including Malaysia's voluntary carbon market landscape.
	Purchase and management of carbon credits strengthen Protasco's market positioning and brand value, particularly in hospitality, where carbon-conscious offerings improve commercial appeal to corporate clients, multinational organisations.	Carbon offset projects may also enhance long-term enterprise value indirectly through stronger reputation, biodiversity-linked co-benefits and closer alignment with national climate commitments.
Deploy Integrated Solar-plus-Storage Systems (Clean Energy)	Access to energy storage incentives provide near-term financial support for deployment.	The group expects to lower long-term operating costs associated with rising energy tariffs and fuel price volatility.
	Integrated solar-plus-storage systems improve operational efficiency by optimising energy use, reducing reliance on grid electricity and lowering exposure to short-term energy price volatility.	Integrated solar-plus-storage systems are expected to reduce operating costs associated with higher energy tariffs and fuel price volatility. The group expects to strengthen revenue potential by supporting client demand for integrated low-carbon and energy-resilient solutions.

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RISK MANAGEMENT

Climate-Related Scenario Analysis

Protasco utilised globally recognised climate scenarios that are most likely to occur based on current ESG trends, serving as a foundation for evaluating potential risks and opportunities across various future possibilities. The Shared Socioeconomic Pathway (SSP) 2-4.5 scenario was created by the IPCC as the most likely projection to occur in the mid-to-long term, assuming a moderate development of climate-friendly initiatives that involve advancement in decarbonisation technologies with continued reliance on fossil fuels. The Net Zero 2050 framework is a more optimistic scenario that was established by the Network of Green Financing Systems (NGFS), an international organisation with 144 members from national banks and financial institutions. The scenario assumes that most, if not all countries achieve their carbon neutrality goal by 2050 through policies such as the National Energy Transition Roadmap (NETR) in the case of Malaysia.

Two primary scenarios were used in the assessment:

SSP 2 – 4.5	NGFS Net Zero 2050
SSP2-4.5 has been rated as one of the most probable scenarios in peer reviews and serves as a foundational basis for estimating future conditions.	It aims to guide financial institutions in aligning their portfolios to achieve net-zero greenhouse gas emissions by the year 2050.
Under SSP2-4.5, moderate yet persistent greenhouse gas emissions will lead to incremental warming, resulting in gradually intensified climate impacts projected for the years 2035 and 2050.	This initiative is part of a broader global effort to limit global warming to 1.5°C above pre-industrial levels, as outlined in the Paris Agreement, via stringent climate policies and innovation.

For this assessment, the timeframes were defined below to capture the evolving nature of climate risks:

Short Term	<2 years	2025 – 2027
Medium Term	2-10 years	2027 – 2035
Long Term	>10 years	2036 – 2050

The application of the SSP2-4.5 scenario to project medium-term (2035) and long-term (2050) climate conditions allows for an evaluation of the evolving physical risks, such as floods and other climate-related effects, resulting from alterations in temperature and precipitation patterns. Similarly, the NGFS Net Zero 2050 scenario offers valuable insights into the operational and financial consequences of governmental policies and regulatory changes linked to the national shift towards a low-carbon economy. This proactive strategy planning enhances the precision of Protasco's risk evaluation, enabling the rating system to account for both gradual and significant fluctuations in climate variables over time, subsequently improving the Group's readiness and resilience planning.

To support this assessment, Protasco engaged external consultants to facilitate the climate risk assessment process, including technical desktop analysis to strengthen location specific understanding of physical risks. This analysis incorporated climate and site related mapping inputs such as flood susceptibility, digital elevation model interpretation, proximity to streams, land use and land cover characteristics and annual average rainfall patterns. The process was complemented by this technical desktop analysis to provide a more robust basis for evaluating location specific exposure and to support more informed resilience planning.

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The results are summarised below, together with the impact of each scenario on the Group's strategy and business model:

Scenario 1 - SSP2-4.5 (Moderate to high physical risk)

Physical Risk	Time Horizon	Timeframe	Overall Risk Rating	Impact on the Group's strategy and business model
Extreme rainfall and flash floods	Short term	2025–2027	Moderate	Continued monsoon-related operational challenges. a) Construction, maintenance and certain property activities may face reduced productivity, temporary access constraints and minor site disruptions. b) For agriventure, short interruptions may arise mainly from supplier and logistics disruption affecting inbound crop deliveries and material handling.
	Medium term	2028–2035	Moderate	a) Flash flood events projected to become more frequent and intense, potentially leading to wider operational and supply chain disruptions. b) Heavy rainfall may damage temporary works, hinder logistics and delay delivery of materials and equipment, affecting project timelines. c) For agriventure, supplier-side disruption may increase variability in raw material availability and delivery reliability.
	Long term	2036–2050	High	a) Intensifying rainfall extremes increase the potential for recurring disruption across business segments, including greater exposure to site damage, more frequent work stoppages and higher maintenance needs, particularly in flood-prone areas. b) For agriventure, higher disruption risk may be driven by supplier production and transport constraints affecting continuity of inputs.
Rising temperatures and heatwaves	Short term	2025–2027	Low	a) Generally manageable operational impact. b) Impacts may include temporary productivity loss, isolated heat-related symptoms and minor equipment overheating in outdoor operations. c) For agriventure, the more immediate exposure is upstream, where heat stress may affect supplier crop quality and consistency, with downstream implications for processing stability.
	Medium term	2028–2035	Moderate	a) More frequent and intense hot periods may place greater pressure on operational efficiency across segments and reduce effective working time during peak heat. b) For agriventure, heat-related stress on supplier crops may begin to affect input quality and availability more noticeably, increasing variability in processing throughput and fulfilment reliability.
	Long term	2036–2050	High	a) Significantly intensified heat-related risks. b) Occupational safety and health exposure may rise for outdoor workforces, increasing the likelihood of structural productivity losses. c) Higher cooling demand may become more material for buildings and hospitality operations. d) For agriventure, prolonged heat may increasingly affect supplier crop yields and quality, creating larger and more persistent supply-side volatility for the manufacturing segment.

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Physical Risk	Time Horizon	Timeframe	Overall Risk Rating	Impact on the Group's strategy and business model
Drought and water scarcity	Short term	2025–2027	Low	a) Drought risk expected to remain manageable, with impacts mainly from localised water supply interruptions. b) Exposure is most evident in water-dependent operations such as hospitality and certain site activities. c) For agriventure, near-term impacts are more likely to arise indirectly if upstream suppliers face short-term water constraints that affect crop supply consistency.
	Medium term	2028–2035	Low	a) More frequent dry spells and hotter conditions may increase the likelihood of water shortages and pressure drops, particularly during El Niño influenced periods. b) This could create more noticeable operational constraints for hospitality and certain site activities. c) For agriventure, supplier-side water stress may increase variability in crop output and delivery, affecting input availability to Protasco's processing operations.
	Long term	2036–2050	Moderate	a) Water scarcity may become more recurrent and persistent, increasing the risk of material disruption for operations requiring consistent water access. b) Hospitality and site operations may face higher disruption risk if rationing or pressure drops become more frequent. c) For agriventure, prolonged drought conditions may increasingly affect supplier production capacity and consistency, with downstream implications for Protasco's raw material supply reliability and processing continuity.

Scenario 2 - [NGFS NET ZERO 2050]

Physical Risk	Time Horizon	Timeframe	Overall Risk Rating	Impact on the Group's strategy and business model
Environmental & Energy Policy Shifts	Short term	2025–2027	Moderate	a) While no immediate legislation limiting energy consumption or carbon emissions is anticipated in the short term, the Group recognises that carbon taxation presents an imminent regulatory risk and will proactively implement measures to reduce its overall carbon footprint. b) The enforcement of MSPO 2.0 and alignment with RSPO principles require immediate investment in compliance audits, traceability systems, and supplier engagement to ensure adherence to zero-deforestation standards.
	Medium term	2028–2035	High	a) Carbon taxation is expected to be applicable to other industries as well, and the Group needs to take measures to decarbonise its value chain. b) Green building certification schemes may become increasingly stringent, causing customer demands to shift towards more sustainable products. c) Higher tariffs and reduced fuel subsidies are also expected to occur, necessitating the Group's renewable energy transition.
	Long term	2036–2050	Very High	a) In line with the country's 2050 national commitment, there may be a possibility of increasing tariffs. But by this point, the Group should implement various infrastructures such as EV and solar panels throughout all operations. b) Green-certified materials should become common place throughout all the Group's products. c) However, achieving net-zero greenhouse gas (GHG) emissions faces substantial challenges, particularly within the real estate sector.

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Physical Risk	Time Horizon	Timeframe	Overall Risk Rating	Impact on the Group's strategy and business model
Compliance and Legal Risks	Short term	2025–2027	Moderate	While the Group has fulfilled most compliance requirements, laws have been continuously developing like the NFRS's mandatory reporting of Scope 1 and 2 emissions. Accordingly, audited GHG emission benchmarks are urgently needed as they will be mandated in 2027.
	Medium term	2028–2035	High	a) Higher likelihood of increased disclosure requirements and a stronger regulatory push to adopt green building standards for the Property team. b) This will require additional resources to address, including enhanced data collection, reporting systems, and certification processes, potentially driving up operational costs and posing challenges to the Group's readiness in meeting evolving compliance expectations.
	Long term	2036–2050	High	a) By this stage, supply chains are expected to be well-established in regions with strong ESG integration, reducing challenges related to sourcing alternative suppliers. b) Climate-resilient infrastructure is also projected to be more advanced, and the Group is expected to have developed internal systems capable of accommodating increasing disclosure and compliance requirements. c) However, the Group acknowledges that regulatory compliance may become progressively complex, particularly as the nation advances toward its net-zero GHG emissions target.
Market, Reputation & Technology	Short term	2025–2027	Low	Business operations face limited immediate market pressure to demonstrate high ESG performance. However, early adoption of sustainability practices and transparent communication of environmental initiatives can enhance brand reputation, attract potential investors, and strengthen market positioning ahead of stricter regulations and growing stakeholder expectations.
	Medium term	2028–2035	High	Risks associated with the market and reputation to remain relatively unchanged from those seen in the short term. While ESG awareness will continue to grow among the populace, the Group estimates that its coverage of green-certified residential projects will be more than sufficient to accommodate the demand by this point in time.
	Long term	2036–2050	Significant	Green financing requirements and market preference for sustainable materials will have reached their peak, especially as the timeline grows closer to the country's carbon neutrality target in 2050.

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Physical Risk	Time Horizon	Timeframe	Overall Risk Rating	Impact on the Group's strategy and business model
Transition to Low-Carbon Business Model	Short term	2025–2027	Moderate	a) Continuous research and development efforts are underway to drive innovation in new technologies that respond to evolving customer demand. b) In parallel, renewable energy initiatives are being expanded to support a reduction in Scope 2 greenhouse gas emissions. Based on current progress in carbon-related regulations, exposure to near-term carbon compliance risks is assessed as relatively low. c) Nonetheless, proactive steps continue to strengthen preparedness for future carbon taxation and related regulatory developments.
	Medium term	2028–2035	High	a) By this stage, various decarbonisation initiatives and technologies are expected to be in place, strengthening positioning in sustainable real estate development and responsible plantation management. b) Nonetheless, further exploration and implementation of additional low carbon solutions, including carbon capture and utilisation and nature-based carbon sequestration projects, will remain important in preparation for the nation's 2050 carbon neutrality target.
	Long term	2036–2050	Very High	a) Key decarbonisation measures are expected to be implemented, including renewable energy integration, adoption of energy efficient equipment, and the use of low carbon materials across operations. b) However, as Malaysia advances toward its national net zero target by 2050, exposure to evolving decarbonisation legislation and increasingly stringent regulatory requirements is anticipated to increase.

METRICS AND TARGETS

The Group has targets in relation to its material climate related risks and opportunities and broader sustainability related risks. These targets, which have been developed internally, are supported by performance metrics that enable the Group to monitor progress and assess effectiveness over time. Further details on the Group's targets and corresponding metrics are set out on pages 54 and 55.

In addition, Protasco currently discloses its greenhouse gas (GHG) emissions across Scope 1, Scope 2 and Scope 3. Scope 1 emissions comprise direct emissions from mobile combustion, stationary combustion, LPG gas, fugitive emissions and process emissions. Scope 2 emissions relate to indirect emissions from purchased electricity usage. Scope 3 emissions currently include business travel, employee commuting, waste generated and transportation by suppliers or contractors for Protasco's business purposes. For further details on the underlying calculation approach, boundaries and year on year comparisons, please refer to pages 112 and 113.

The Group did not purchase any renewable energy certificates (RECs) during the FY2025. However, Protasco may consider the use of RECs in the future as part of its broader approach to managing emissions and supporting decarbonisation efforts.

Global warming potential (GWP) values

The Group applies the GWP values based on a 100-year time horizon from the most recent (6th) Assessment Report (AR6) of the IPCC to convert the constituent gases into CO₂ equivalent values, which represents the latest published GWP values by IPCC.

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BURSA MALAYSIA CSI PLATFORM PRESCRIBED TABLE

Protasco Berhad BMLR Transition Period		Date & Time: 2026-04-23_12:23:48 FYE 31/12/2025			
Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance
Bursa (Anti-corruption)	C1(a) Percentage of employees who have received training on anti-corruption by employee categories - Senior Management	Percentage	1%	>60%	No assurance
Bursa (Anti-corruption)	C1(a) Percentage of employees who have received training on anti-corruption by employee categories - Middle Management	Percentage	9%	>60%	No assurance
Bursa (Anti-corruption)	C1(a) Percentage of employees who have received training on anti-corruption by employee categories - Executive	Percentage	44%	>60%	No assurance
Bursa (Anti-corruption)	C1(a) Percentage of employees who have received training on anti-corruption by employee categories - Non-Executive	Percentage	46%	>60%	No assurance
Bursa (Anti-corruption)	C1(b) Percentage of operation assessed for corruption-related risks	Percentage	29%	>60%	No assurance
Bursa (Anti-corruption)	C1(c) Confirmed incidents of corruption and action taken	Number	0	0	No assurance
Bursa (Community/Society)	C2(a) Total amount invested in the community where the target beneficiaries are external to the listed issuer	MYR	561,776	200,000	Internal
Bursa (Community/Society)	C2(b) Total number of beneficiaries of the investment in communities	Number	13	5	Internal
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Senior Management (<30 years)	Percentage	0%	—	No assurance

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Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Senior Management (30 - 50 years)	Percentage	28.13%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Senior Management (>50 years)	Percentage	71.88%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Middle Management (<30 years)	Percentage	0%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Middle Management (30 - 50 years)	Percentage	63.77%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Middle Management (>50 years)	Percentage	36.23%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Executive (<30 years)	Percentage	28.68%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Executive (30 - 50 years)	Percentage	60%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Executive (>50 years)	Percentage	11.32%	—	No assurance

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Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Non Executive (<30 years)	Percentage	21.07%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Non Executive (30 - 50 years)	Percentage	66.61%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Non Executive (>50 years)	Percentage	12.32%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Senior Management (Male)	Percentage	81%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Senior Management (Female)	Percentage	19%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Middle Management (Male)	Percentage	66%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Middle Management (Female)	Percentage	34%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Executive (Male)	Percentage	57%	—	No assurance

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Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Executive (Female)	Percentage	43%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Non Executive (Male)	Percentage	84%	—	No assurance
Bursa (Diversity)	C3(a) Percentage of employees by gender and age group, for each employee category - Non Executive (Male)	Percentage	16%	—	No assurance
Bursa (Diversity)	C3(b) Percentage of Directors by gender and age group - Male	Percentage	71%	—	No assurance
Bursa (Diversity)	C3(b) Percentage of Directors by gender and age group - Female	Percentage	29%	—	No assurance
Bursa (Diversity)	C3(b) Percentage of Directors by gender and age group - <30 years	Percentage	0%	—	No assurance
Bursa (Diversity)	C3(b) Percentage of Directors by gender and age group - Between 30 - 50 years	Percentage	14%	—	No assurance
Bursa (Diversity)	C3(b) Percentage of Directors by gender and age group - >50 years	Percentage	86%	—	No assurance
Bursa (Energy Management)	C4(a) Total energy consumption	Kilowatt-hour (kWh)	4,638,079 kWh	Cumulative reduction by 1% sq ft compared to baseline (2024)	Internal
Bursa (Health and Safety)	C5(a) Number of work-related facilities	Number	0	0	No assurance
Bursa (Health and Safety)	C5(b) Lost time incident rate (LTIR)	Rate	0	<1	No assurance
Bursa (Health and Safety)	C5(c) Number of employees trained on health and safety standards	Number	694	> 50%	No assurance

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Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance
Bursa (Labour Practices and Standards)	C6(a) Total hours of training by employee category - Senior Management	Hours	336	—	No assurance
Bursa (Labour Practices and Standards)	C6(a) Total hours of training by employee category - Middle Management	Hours	2,570	—	No assurance
Bursa (Labour Practices and Standards)	C6(a) Total hours of training by employee category - Executive	Hours	11,592	—	No assurance
Bursa (Labour Practices and Standards)	C6(a) Total hours of training by employee category - Non Executive	Hours	8,098	—	No assurance
Bursa (Labour Practices and Standards)	C6(b) Percentage of employees that are contractors or temporary staff	Percentage	3%	< 5%	No assurance
Bursa (Labour Practices and Standards)	C6(c) Total number of employee turnover by employee category - Senior Management	Number	1	—	No assurance
Bursa (Labour Practices and Standards)	C6(c) Total number of employee turnover by employee category - Middle Management	Number	13	—	No assurance
Bursa (Labour Practices and Standards)	C6(c) Total number of employee turnover by employee category - Executive	Number	54	—	No assurance
Bursa (Labour Practices and Standards)	C6(c) Total number of employee turnover by employee category - Non Executive	Number	52	—	No assurance
Bursa (Labour Practices and Standards)	C6(d) Number of substantiated complaints concerning human rights violations	Number	0	0	No assurance
Bursa (Supply Chain Management)	C7(a) Proportion of spending on local suppliers	Percentage	977%	>80%	Internal

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Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance
Bursa (Data Privacy and Security)	C8(a) Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	Number	0	0	Internal
Bursa (Water)	C9(a) Total volume of water used	Cubic meter (m3)	85,614 m3	Reduce by 1% sq m2 from the baseline by 2027	Internal
Bursa (Waste Management)	C10(a) Total waste generated	Metric tonnes	1,549	—	Internal
Bursa (Waste Management)	C10(b) Total waste diverted from disposal	Metric tonnes	15.9	To increase by 3% annually	Internal
Bursa (Waste Management)	C10(c) Total waste directed to disposal	Metric tonnes	1,533	—	Internal
Bursa (Emissions Management)	C11(a) Scope 1 emissions in tonnes of CO2e	Metric tonnes	3,539	Cumulative reduction by 1% from the baseline (2024) by 2027	Internal
Bursa (Emissions Management)	C11(b) Scope 2 emissions in tonnes of CO2e	Metric tonnes	3,217	Cumulative reduction by 1% from the baseline (2024) by 2027	Internal
Bursa (Emissions Management)	C11(c) Scope 3 emissions in tonnes of CO2e (at least for the categories of business travel and employee commuting)	Metric tonnes	1,639,114	—	No assurance

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Protasco Berhad IFRS S2		Date & Time: 2026-04-23_12:23:48 FYE 31/12/2025			
Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance
GHG emissions	—	—	—	—	No assurance

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